

Phil 270 Business Leadership Ethics

Numbered Transcript

PHIL 270 • Dr. Stephen R. C. Hicks

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Lecture 1: Business Revolution

At a glance — Hicks opens on business leadership ethics and the moral significance of the business revolution.

- 1.1 Welcome to business leadership ethics. I want to start with a claim that while human beings have been doing business for centuries, millennia, hundreds of thousands of years, making things, trading things, and so forth, we are now living in revolutionary times. There are constants in human experience, but at the same time, some innovations, exciting, disquieting, about our current business world.
- 1.2 Now, to see that, what I want to do is go back about 200 years. We're recording this in the early 21st century, and we feel very progressive and modern and innovative and so on. But at the same time, we've grown up in a culture, and we often, like fish and water, take for granted our environment. History is enormously valuable for putting some things in perspective.
- 1.3 Let's go back to—I'm going to go back to the 1830s, and we'll start in the United States. I've got here a sample map of what the United States looked like in 1830. We can see the upper-right quadrant, a burnt red color, and then the lower-right quadrant, a green color. This is the difference between the free States and the slave States.
- 1.4 So this is a generation before the U.S. Civil War. Slavery is a hot, burning issue and still a dominant issue in the culture. Florida is not yet a state. There has been the Louisiana Purchase, but there are a lot of territories in the middle part of the country. And then, what we now think of as the far Southwest part of the United States is also not part of the United States. A lot has changed in two centuries.
- 1.5 Now, a question for historical perspective: What do you think was the average life expectancy at birth in 1836?—I've chosen that date for sneaky reasons to be revealed in a moment. The answer to that question is that if you were a white male, your life expectancy as an American was in the high 30s at birth. Now, a lot of children died in the first year or in the first five years. If you survived that, you had a good chance of making it into your 50s on average.
- 1.6 If you were a white female, life expectancy was around 40, maybe 41. Then, since slavery was still a significant part of, particularly in the South, the numbers for black people were lower. Black women, interestingly, their numbers were about the same as the numbers for white men, partly because there seems to be a biological male-female difference that's constant across the world. But then, if you were a black male, your life expectancy was in the middle 30s or even lower because they were doing the worst of much of the work and in the worst conditions.
- 1.7 But overall, life expectancy at birth in the 30s in the United States, which was not a first-tier nation yet, it was a young, growing nation, but it was doing pretty well—that number is sobering from our perspective in the 21st century, to think of life expectancy

being in the 30s in the United States. Then, interestingly, if we go back further in history, we see around the world, the number was by and large in the 20s, even. So already life expectancy up in the 30s, things are doing pretty well.

- 1.8** All right, now, partly a sideways question. These are life expectancy numbers, another trivia question: In 1836—this is why this precise date—who is the richest man in the world? You might not know the answer to that question, but it is not an American. America is an emerging nation. The richest man in the world is a European. And what is also interesting and a sign of the new revolutionary times that we are in is that the guy is not a king. He's not an aristocrat. He is instead someone who is in business.
- 1.9** We are in the first century ever in human history when the people who are at the top of the heap in terms of economics—there's still lots of rich kings and warlords and so forth around the world—start to be people who become rich and fascinatingly rich by making stuff, trading with stuff, and in this case, financing stuff being made around the world. It starts to be a new environment. This is Nathan Rothschild in 1836. He is in his late 50s. Around the world, life expectancy in England, where he was living, was the highest, a little bit higher than the numbers in America, and he had become the first of five sons, the one who really built up the Rothschild Banking family.
- 1.10** It started as a small regional bank in Germany. The father had five sons. He basically sent each son to a different European capital because he wanted to expand the bank. Nathan got sent to London, proved to be a financial genius, and turned the Rothschild Bank into an extraordinarily successful venture.
- 1.11** By the time he was 59 years old, he is the richest man in the world living in London, and he has his annual health check at the beginning of the year. As you can see, he's standing upright, he's very well dressed, he's a little bit heavy. His doctor basically says after checking everything over, everything looks good, Nathan, but you eat too much, you drink too much, cut down, so he gets the usual sermon from his physician.
- 1.12** The doctor goes away. A couple of months later, though, the doctor is called back because Nathan is suffering from a boil or an abscess in his lower back. Now, the records are not very precise here. It might be a euphemism for his upper buttock, but somewhere down in this area, he's got a boil that's bothering him, and he's feeling like he's a little bit infected. So the doctor comes in, tries to lance the boil to get the pus out, but Nathan gets worse. The doctor has to come back. They start to bring in specialists.
- 1.13** Nathan is getting worse and worse. He ends up making a trip to Germany. While in Germany, Germany is at this point in the 1830s, a rising medical scientific nation, he gets the best treatments there, but nobody can do anything for him. And by the middle part of the year, in July of 1836, he dies. He's dead. The richest man in the world dies from an infection from a boil.

- 1.14** Medical forensics in the 20th century would go back and study very carefully the notes, and it was basically simple blood poisoning. People now, of course, get simple blood poisoning, but nobody now dies from simple blood poisoning anymore. The reason for that is these little guys. It will show and tell, this is a pill. It's an antibiotic pill. We're all familiar with them. Nathan Rothschild, the richest man in the world, less than 200 years, could not get these things to save his life.
- 1.15** This is one indication of how different our lifestyle is now, because we don't necessarily think of ourselves as rich people, the majority of us. By historical standards, we are extraordinarily rich. We are rich to the point where we can take for granted that if my life is at stake, it doesn't matter how poor I am, I can get the antibiotics necessary. Basically, there are pharmacies almost every other block, it seems, sometimes when you are driving around, that have lots of these. The question then is: How did that happen?
- 1.16** The theme of this course, or one of the sub-themes of this course, is that the business world, as we started to do business, not very long ago, is a big part of the story. We might say, this was the 1830s, they didn't really know about germs yet, so they hadn't developed germ theory. They hadn't changed hygiene standards. They hadn't discovered antibiotics. That is a big part of the story.
- 1.17** We did a huge amount of science starting in the 1800s, transforming the medical world. That's an interesting part of the story because science is very expensive to be able to afford people who can devote themselves to the pursuit of knowledge. And already we're starting to be rich enough to be able to support lots and lots of scientists to do the discoveries that lead to germ theory and the discovery of antibiotics and so forth. So that then, is already a connection to business. That's an important one. How did we become rich enough as a society or some parts of the world to be able to support lots and lots of scientists to discover the things that are going to save lots and lots of people's lives?
- 1.18** We know, of course, it's not just a matter of a scientist figuring out a certain amount of knowledge. We then need to take that knowledge and even, suppose we have discovered that there are such things as antibiotics, be able to manufacture millions and millions and billions of the little pills and have logistics systems and business systems and entrepreneurs who are going to go out and make those available not only to a few rich people, but to everybody in the population. One indication of how the world has transformed in the last two centuries, and the business story is a big part of that.
- 1.19** Here's another one, a little more recent. This is a photo. I have this. It's one of my favorite things in my personal possession. It is a portable CD player, compact disc player. When I show this to my students who are of a different generation or my children who are of a different generation, they laugh at it, and I still use it, and that also brings a chuckle from many people. Now, what you can do is with this, if you

remember CD technology, the top lid pops open, you put the CD in, you can plug in your headphones with the wire—this is from 30 years ago now— put the headphones on.

- 1.20** But this is a very cool thing. I bought this in the year 1991. We think how long ago 1991 is—it's what, 30-something years or so— and already we are laughing at, "Oh, that old technology from the 1990s, how very 20th century that is." We made huge amounts of progress with respect to this personal entertainment devices. And again, that progress is something that is a part of our culture, and we take it for granted.
- 1.21** Already, this is two or three generations old. But if we were to think in terms of the technological developments, about what an amazing thing it was in 1991—and I remember distinctly when I bought this because I was just finishing up graduate school. I had almost no money. I love music, but of course, everybody loves music. It's a hugely important part of our lives.
- 1.22** I had gotten my first job, and I knew that I was going to have income, and I had just a little bit of savings. I was at a conference in New York City, and I went down to Times Square, which was then surrounded by all kinds of electronic shops as well as lots of other things, and I shopped around because I wanted to get a good deal.
- 1.23** I ended up having a conversation with this Pakistani immigrant who was running one of these electronics shops. I got his story: he'd come over from Pakistan 15 years or so ago and just started selling T-shirts and ball caps out of a van. Just a bunch of guys would drive over to New Jersey to a factory, load up the van, come into Manhattan and start selling stuff to the tourists. And then he'd worked his way up to having his own electronic shop just off Times Square—an immigrant success story. But again, in the modern world, this is a very standard success story.
- 1.24** I'm an immigrant myself; I originally come from Canada. I was down here, I'm in New York City for this philosophy conference, and I'm saving my money, and I ended up paying a little less than \$100 for this device, which was a lot of money to me at the time. But think about what I can do with that: I can listen to any music I want, anytime I want, anywhere I want. When have human beings in history ever been able to do that? Here I am, basically, I'm not so starving, but close to starving, so to speak, metaphorically, a graduate student in philosophy, and I can afford a piece of technology that does that for me. We can all afford the technology that does that thing for us.
- 1.25** When I start looking at this device more carefully, the plastic casing that it is made of, most of the oil at that time was coming from the Middle East, and plastic is an oil derivative. The components were manufactured in Japan. The circuitry, though, was designed in Silicon Valley by a firm there. The headphones that I used were imported from an Italian company. They were relatively cheap ones, at that point, all I could afford.

- 1.26** When I took this, I went back to Canada. I was visiting family over a vacation. My very first CD, I had ordered it from a mail-order company in Vancouver, Canada, and had it shipped to my parents' place in Ontario, Canada. I picked it up. It turns out the first CD that I listened to was a Russian composer from the 1800s, Peter Tchaikovsky. I put that in. But here's a Russian composer, and it was the Berlin Philharmonic Orchestra that had recorded this. And the disc itself had been manufactured in Germany, Deutsche Grammophon.
- 1.27** So the point of all of this is that all of these people with all of their skills from all over the world are making products and putting them together such that I, a standard guy at that point, 1991, can afford something absolutely amazing by world historical standards.
- 1.28** Now, again, we take that thing for granted. It's nice that we can take it for granted, but also an important thing is to be able to figure out, particularly those of us who are going into business and likely going into management and leadership positions in business, and of course, we're also going to be leaders in other ways in our lives as our parents and as heads of various other kinds of organizations, to be the ones who reflect on the culture, including the business culture that we have developed.
- 1.29** If we think it is good, if we think it is good that we have taken life expectancy for Americans, which was in the high 30s on average, less than 200 years ago and more than doubled that, more than doubled that. If we think health and living is a good thing, knowing why that good thing happened is important so that we can then teach it to the people we are leading and they can continue to do that good thing. If we think it is amazing that we can enjoy all of the music that is out there, the best music being produced pretty much anywhere in the world is available to us at relatively low cost, including all of the great music from history, and that has never happened before for human beings in human history, what made that possible?
- 1.30** The business story is a big part of that, being able to figure out what business culture we have created and, of course, there are still problems, what things we need to fix, but to keep the good things going so that in another 200 years, people will be looking back and saying, "Wow, look how far we have come in the last 200 years."
- 1.31** Those are two anecdotes, and I chose one from personal entertainment and from health. We want to live, we want to live pain-free, we want to live a long time, and we want to enjoy our lives. What is necessary in the underlying business culture and business institutions to make that possible? Here's some data in addition to the anecdote. This is 5,000 years of human history along the horizontal axis, and then the vertical axis is the best economic history and number crunching—how much people were making, how much stuff they were making: GDP, gross domestic product world, per capita, per head, per person.

- 1.32** What it shows is basically, at resolution, for most of human history, people have been desperately poor. Enough calories to keep body and soul together until next week. Maybe, if you get through the winter, it is a big accomplishment. Then, to be able to do that repeatedly until you are old enough to have your own children, get them to adulthood, and then the price cycle continues. Subsistence-level living has been the norm for human beings.
- 1.33** This is just 5,000 years of human history. If you were to go back 10 times that amount of time, 50,000 years, it's almost hard for us to wrap our minds around. Then, that would still be about 20% of human history. Multiply that by another five or six; that takes us to around 300 BCE, according to the anthropologists who do this. That's when human beings, us, Homo sapiens, with the really big brain, came into existence. That line is flat line.
- 1.34** And then, 1 AD, in Western political history, Rome is no longer a Republic. It's now transitioned to being an empire. In religious history, that would be the lifestyle of Jesus. It's still the same. And then not very much is happening. Maybe a little bit of improvement over the next 1,800 years, but somehow 200, 300 years ago, suddenly that line goes vertical. It never happened before in human history. Never. Nowhere. For some reason, it starts to take off in the 1700s on into the 1800s, and it starts to take off in certain places in the world and not others, mostly Europe, mostly Western Europe, mostly Northwest Europe. Why it happened there—also an important part of the historical story.
- 1.35** Here's another economic history, number crunchy, very simple chart. These are all of the human beings who have ever lived, and these are early 2000s American dollars, everything normalized, adjusted to that. Basically, 97% of the world's entire historical population has lived on less than U.S. \$1,000 per year. The number of people who have lived on more than that, 3% of the entire historical world population. That then is to say if you are making more than \$1,000 per year, you are in the elite of the elite in human historical time. Putting food on the table in your mouth, in your belly, and in your family's belly, is a thing that used to spend most people's time or occupy most people's time.
- 1.36** Here's another number-crunchy chart. Just a century and a bit ago, people would work for about 10 months a year to make sure they had enough to eat. All the other things that you want to do in your life or that they wanted to do in their life, they had the remaining two months for all of that. Now, this was actually from about 20 years ago; the number is down to less than a month and a half. So yes, we complain about when food prices go up, but our complaint should also be nested in a historical context. I say that's a complaint, but that's a rich person's 21st-century complaint that we have now.
- 1.37** There's another one. One of the things we like to do is have disposable time. Choose how much we're going to work versus how much we're going to spend on other things in our lives. The fact that we have that choice, instead of just saying, "Every day, I need

to get up and work to get enough calories, to get a roof over our heads in order to get ready for winter, and then during the winter, keeping busy with stuff so that we make sure that we survive until spring." Work, work, work. You start working when you are young, and you work basically until you die. That is the historical norm.

- 1.38** For us now, as we can see, the amount of time that we have to work is much more under our control. Typically, when we choose to work extra hours, it's because we want more really nice things in our life. "I would like to get a bigger house, a newer car, a longer vacation to another exotic part of the world." And that, again, is a measure of how rich we are in contemporary times.
- 1.39** In terms of the revolution—and this is something that has happened in two, maybe three centuries, maybe four centuries, we can get into those historical arguments, and those are a lot of fun—but we are wealthy, and to some extent, we take it for granted that we are wealthy. We expect things to improve and get better in all various dimensions of our lives. There's innovation going on, and that's normalized for us. We don't have much higher standards for what we expect out of our lives. We want things to be better and better, and we've normalized the idea that things can and should get better.
- 1.40** In many cases, we'll talk with our grandparents, and we will realize that our grandparents, even though they were back in the 20th century, they lived pretty good lives compared to people a century ago. But our parents did better, and we're doing better than our parents. Our expectation is not merely a hope; it's an expectation. We can make the world a better place for our children, and they will do the same thing.
- 1.41** Again, that attitude is a very new attitude because for most of human history, if you ask people about progress, well, maybe little bits here and there, but then everything's just going to fall back to the historical norm. So the expectation was that things were going to be pretty much the same. Or maybe, even, that things used to be really good in the olden days, and things are just getting worse and worse and worse. Of course, we have people who think things are just flat and cyclical. We have people who think that things are worse than they used to be. But culturally, those people are in a minority. We are very optimistic, and this idea of progress is now a part of our culture.
- 1.42** The big question is: why? Why did this happen? Part of the claim I'm going to make is, after this brief excursion into history, is that business and how we revolutionized our business culture, including our business ethics, and how the people who are making the big decisions about business, the leaders, started to think in the modern world was different, and that affected some fundamental changes. This is also a philosophical question. It's the favorite question philosophers like to ask. Whatever the phenomenon is, why? Then, you give an explanation. Why that? You see how far you can push that "why" back. So I want to engage with that "why question" now.

- 1.43 Here's another simplified chart. This is only about 2,000 years. The last one was 5,000, but it shows exactly the same progression. This is measuring the world's gross domestic product: how much stuff people are making. You can only survive on what you are making, production and consumption. So flat line until it starts, if you look very closely, around 1,500 to go up a little bit, and then a little bit more, a little bit more, and then 1,700, 1,800, it goes vertical. Why did that happen?
- 1.44 To motivate this question, since this is a business and leadership ethics question, I wanted to consult or draw this quotation from John Train, who was a leading investment counselor, a New York City guy, in the 20th century. He was also a highly literate person who was one of the founding editors of *The Paris Review*, one of the leading semi-intellectual or public intellectual magazines of the 20th century.
- 1.45 He's the guy that a lot of young people would come to, and reporters, when they were interviewing, would ask him, "I want to, as a young person, be successful in business. How should I prepare myself to be really successful in business? What should I study, etc?" And then interviewers are going to publish an interview of him in some magazine, knowing it's what readers like to know. "Here's a successful person. How did you become successful? How can I become like you?" is essentially the question.
- 1.46 He gave a very interesting answer. I want to read this to you. "If someone asks me what is the best preparation for or the investment council profession I usually reply: the classics." I'm going to pause there—by which he means classic literature, classic history, old books, recording. Sometimes, at the same time, people are living through various events in history, but then the most excellent reflections on the human condition, including our historical progression or not, are by the smartest people, in the books that have become the classic pieces of literature in all fields.
- 1.47 Why? "The vast tableau of century upon century of detailed analysis of discoveries, conflicts, and statecraft, learning and human growth and turmoil offers a unique perspective on the problems we find so puzzling." Real human beings engage in the things that real human beings have always been engaged in. But then the smart people who do the writing, analyzing and passing the lessons learned on to us in the next generation.
- 1.48 History, in a sense, is a huge laboratory of human living. We can learn from human experience. The more diverse and historically grounded by smart people we can learn from, the better we will be when we plunge into our own very complicated lives, very complicated world. Of course, some things are different, but many things are the same. "The problems of NATO are familiar ground to the reader of Thucydides". NATO, writing in the context of the Cold War in the 20th century, but if you go and you read 2,400 years ago, Thucydides reflecting on the Athenians versus the Spartans, much is the same. We get the benefit of Thucydides's brilliance in what the lessons learned are. Churchill, 20th century, World War II, standing up to Hitler and so forth. All of those

issues "is often an echo of Cato."—Cato, a Roman writer, toward the end of the Roman Republic as it's transitioning.

- 1.49** Of course, one of the big questions we always ask is, "We've created a pretty great culture in many respects, but is it at the end? Are we in a decline phase? Or are we going to go the way so many successful cultures have gone before?" Well, read about cultures that have gone down exactly that path. They've gone up, they encounter problems, and they decline. The way we're going to be able to assess our own extraordinarily complicated business, political, etc, circumstances is by reflecting on the brilliant people who've been there before. You want to be successful in business? It's not just number crunching and minute analyses. It's the big picture. We are human beings, and human values are always at stake.
- 1.50** With that as an invitation, let's try to look at this amazing chart that shows a flat line in productivity for hundreds and hundreds, perhaps thousands of years, and then suddenly it takes off in the last couple of centuries. What happened? Why did that happen? We might have other charts that show a similar progression here, but they start to add possibly explanatory events. We might then say, on this one here, which has a timeline, GDP per capita, world, is \$6,000 and something right per year. But just below that, or so, it says the "Industrial Revolution." That's got to be one of the very first go-to explanations when we're trying to explain what's happening.
- 1.51** We say, "Well, the Industrial Revolution is happening by and large in the Midlands of England, transformation, development of the steam power, an amazing number of inventive people tinkering in their garages sometimes or in small workshops, making very clever mechanical devices. So there was this culture of inventiveness that had somehow popped up in England at that time. And then you add this almost unlimited source of mechanical power, the steam engine that was developed at the same time. And then with various mechanical devices, you can take that power and just turn it into whatever you want.
- 1.52** So it's partly then going to be an explanation in terms of inventiveness, steam, power, energy. We revolutionized our culture of inventiveness and how we think about energy, and tapped into amazing sources of energy. That then meant the stuff that we used to have to make by hand, people get tired, they get sloppy, some people are better or worse, but we can devise machines now to start making those things. Things that are very expensive and sometimes not very well made can then become very uniform, and there can be thousands of them made very quickly, millions of them made, and then, of course, various other kinds of machines to get them out to the people. So a lot more stuff, price is going to come down, and that's going to be a big part of the explanation. Okay, good.
- 1.53** Industrial Revolution—there had never been an Industrial Revolution. There had been inventiveness. There have been interesting inventions here and there, but nothing that really caught on the way things did in the 1700s.

- 1.54** Now, on this chart, we might then go back a little bit earlier. There's another notation that says, "Columbus lands in North America." So we go to the 1500s. And again, that's going to be a game changer. So most of the world is thinking of itself in more isolated terms. We're vaguely aware that there are other parts of the world. But this land, an earthshaking discovery from the European perspective—there's whole other continents right there. And then, of course, from the perspective of the people who are already living there, there's a whole other world right there that are out there. There's all this diversity of people and diversity of religions. Now we're going to start trading with each other. Of course, we're going to start doing wars with each other on a larger scale.
- 1.55** But the world changes in around 1500. As that percolates, we start to think about ourselves as parts of a globe in a way that we didn't think about ourselves prior to Columbus. So maybe it was a cultural shift that was going on. Now, that's to go back to 1500s. Maybe we start trading with other people from all other parts of the world, and that's going to have an effect on business.
- 1.56** Other things we might mention. All of this inventiveness that's going on in the 1700s, maybe you push it back to the 1600s, where did all of that inventiveness come from, and why did it first happen in England? We also start to talk about how it wasn't just inventiveness in terms of practical applications and engineering. There was a huge amount of science that was going on. A lot of the inventors were people who were quite up to speed on some of the newer scientific discoveries in physics, sometimes in mathematics, in material sciences, in figuring out gravity, how heat and temperature and pressure, and elaborating a chemical table, and so on.
- 1.57** There's all kinds of science that had started to occur in a very sophisticated way, late 1500s on into the 1600s, into the 1700s, so maybe it was the inventiveness combined with all of this new theoretical knowledge. There was a Scientific Revolution and an Industrial Revolution that both fed off [each other], and it starts to become global because we're after Columbus as well.
- 1.58** There's the European Renaissance, some people will say. What happened in the Renaissance? Well, 1400s, 1500s, on into 1600s. We start having artists like Michelangelo, Leonardo da Vinci, Albert Dürer, and they're much more interested in the human being, in the human form, much more natural and worldly concerns. Instead of seeing human beings as maybe sinful, not interested in the body, they start to see human beings as noble, potentially beautiful. The physicality matters.
- 1.59** What happens when you start taking your body seriously, physicality seriously? Instead of just saying, "I'm only interested in the soul, and physical reality does not matter very much." Well, if you're only interested in the soul and physical reality not very much, then you're not going to do very much in terms of business. Because business is often about money and making money so that you can have a better physical life. Maybe this artistic revolution is supposed to become much more worldly and naturalistically and include how can we make human beings better and more noble and more beautiful. It

affects the culture in a way that business people and regular people start to want to pay attention to those things. That's going to be important.

- 1.60** We might say that also in the 1500s, there was a Protestant Reformation that occurred. We had the long institutions of the Catholic Church, at least in Western Europe, and there had been a split with the Eastern Orthodox Church and so forth. But what really happened significantly in the early part of the 1500s was Luther and Calvin and some of the other Protestant reformers, were challenging the institutional authority of the church, which was very hierarchical and very matched up with the futile hierarchy politically.
- 1.61** One of the things—there's lots of theological issues here, though—is to say, "From our Protestant perspective, if you want to get to God, you don't necessarily need to go through the church. You don't need to go through the hierarchy. You can read the Bible for yourself and make your own decisions because the Bible is God's word, and think for yourself, take charge of your own soul. You are responsible for your own ultimate salvation, destiny."
- 1.62** If you take that as a religious thesis, that's very interesting. What if you expand that beyond religion? What if I'm responsible for my soul and my destiny, not only in terms of my ultimate meeting my Maker or not, but that I don't have to go through this established institution? What if I'm responsible for my life in all of these other ways? If I want to make my life better, it's up to me, not going through various institutions. Well, that religious idea then is going to undermine the hierarchical authority of the church and the associated institutions and encourage people to go off and start taking charge of their own lives in lots of various ways.
- 1.63** If we say you want to get to God, you have to know God's word. Well, in order to get to God's word, you need to read scripture. In order to read scripture, you need to be able to read. So one of the effects of the Protestant Reformation is to say, instead of relying on the priests who will read scripture in Latin, and they will interpret and tell you what it means in terms of the authoritative tradition that has come down over the course of many centuries, you will read it for yourself.
- 1.64** One of the implications—this might be an unintended consequence of the Protestant Reformation— is to say that we need to take scripture and interpret, or rather translate it into all of the languages. Get it translated into French, get it translated into German, into Italian, into English, into Dutch, into Swedish and so on, and get many, many copies. And maybe, an early Industrial Revolution point here: we have Gutenberg's Print Press. We're going to start making thousands and millions of copies of these books and teaching people to read in their own language because we want them to be able to save their own souls and take responsibility for their own souls.
- 1.65** But what happens when now, instead of having 1% or maybe 2% of the population that can read, you've got 40% of the population who can read, and then 55% of your

population who can read? Once they start to read, human beings are what human beings are; they don't want to just read the Bible, they want to read other stuff. So then, they start to read other stuff, all of these other books and magazines and newspapers come into existence, and people become more educated, more informed.

- 1.66** Of course, when you and I are reading the Bible, we get together and have our Bible study group. You have your interpretation of what this passage in scripture means. I have my interpretation of what this passage in scripture means. Of course, I think you are wrong, and you think that I am wrong, but we start to have an argument about it. What happens as we start to argue about stuff every week for years? We get smarter, we get more logical, we get better at argumentation. When we take all of those skills, people are reading more, they are knowing more, what's going to happen culturally, including what's going to happen to the business culture?
- 1.67** The point of all of this is then to say—and this is just 10 or 15 minutes of fascinating stuff, and we're just getting a taste of it. We're trying to explain how we became so rich and how our mindset changed in so many ways in a very short period of human historical time. We're interested in business and leadership in this course, but already we are talking about technology, and we're getting up to speed on thinking about technology. We're going to have to talk about politics.
- 1.68** We're talking about the political transformations. We haven't talked about the American Revolution and the French Revolution, the Glorious Revolutions that have occurred and so on. But obviously, those transformed the business landscape as well, dramatically in the early modern world, how people are doing religion in the modern world, the way we think about economics in the modern world.
- 1.69** If I want to do a job, if I want to have a career that's open to me, is it like old feudal times where I'm born into a class or into a caste? And what my profession is going to be is locked in. It's already decided before you're born into this class; this is the range of jobs that are open to you. You don't have choices about that. We got rid of feudalism, and basically, part of getting rid of feudalism was getting rid of all of the restrictions on the work that people can do.
- 1.70** We let people choose their own work, and that brings a responsibility with it as an ethics point. It's up to me to make my own decisions about who I'm going to be and to make my own way in the world, instead of society has forever chosen certain slots, and they've plugged me into this slot, and I know what I'm supposed to do. I just follow the rules and fulfill my place in society. That's a cultural transverse.
- 1.71** And then all of the ethics that goes along with that. If I say that I'm responsible for my soul, it's up to me to learn, to read; it's up to me to make decisions. I'm responsible for my career choices. Maybe I'm starting to think as people did under the Glorious Revolution and then the various democratic republics that started to come into existence. I am responsible for the political system. I need to vote. I have to be an

informed voter. In order to become an informed voter, I've got to read and think and argue and so on. That responsibility comes on to me as well. And so the kind of people who are taking full responsibility in all of these areas of their lives are a different kind of people in terms of their ethical agency and their psychology from the kinds of people who often existed in other parts of the world.

- 1.72** Here's a bit of a summary. I want to start emphasizing the theme here, nudging us in a certain direction. As we get into the modern world, the way we do business is in terms of the concept of free labor. You're not a serf, you're not a peasant, you're not born into this family of guilds. You're not the daughter of the Duke, in which case your job is to get married off to whomever Dad chooses for you and start producing heirs in the other family. You're free labor. It's up to you to choose what your work is going to be. That's a very modern idea.
- 1.73** At the same time, we haven't even mentioned this: slavery starts to become something morally suspect early in the modern world. We go on this big campaign to get rid of slavery. We free all of the slaves, we free all of the peasants, we free all of the serfs. Everybody is free is the agenda. We largely realize that in a very quick period of time, as history went along.
- 1.74** Instead of thinking in terms of from the top—everything is going to be decided by the king or the aristocrats or whoever—everybody's going to be making their own decisions, and the best stuff is going to emerge from the bottom up, so to speak. If we think about democracy. You have responsibilities, you have agency. You can run for office. Anybody can become a politician. Anybody can put their ideas out there. If you're not interested in becoming a politician, you're still expected to take responsibility for voting and voting responsibly. Of course, you're going to have lots of discussions in your circle of friends. Instead of the traditional idea—somebody else is making the decisions far away, and my job is just politically to follow the orders that come down from on high—it's a do-it-yourself political system.
- 1.75** A big part of science is being willing to question the previous generation's theories and say, "Maybe they are wrong. What about this? And what about this other thing?" When you're a good student, you're questioning all the way up all of the assumptions. Because we don't think that everybody, as smart as they were in the past, got all of the answers right. Some things need to be tweaked. Some things still might need to be revolutionized. We're training as many people as we can to be able to think in a way that they can think for themselves and do so.
- 1.76** The way we do religion. It's very common for people to say, "Maybe I am your parent, and I have certain religious views, and I would like you to believe my views, but I still recognize you have your own mind. It's your soul, it's your life. I want you to be aware of the alternatives and to make an informed choice for yourself as a young adult." If I'm not too authoritarian, I will give you lots of freedom and information so that you can go

do it yourself. Then, more generally, with respect to your life, your life is yours. Take responsibility for it, take agency for it.

- 1.77** So the concept I'm working toward is this concept of entrepreneurship. My first historical thesis is that we are entrepreneurial in the modern world in an unprecedented way. Obviously, there have been people who have been entrepreneurs in business for a long time. The classic account of being an entrepreneur is that I have an idea for making a living for a product, for a business or whatever, and I take some initiative and I start a business, and then hopefully I make a go of it. That's what the entrepreneur does.
- 1.78** The distinction is from people who then might be hired by the entrepreneur to work for the entrepreneur's business, and those people are employed. They're still doing work, adding value and so on, but they're not entrepreneurial. They are working for the person who was the entrepreneur.
- 1.79** But that idea that whatever you're doing in your business life, if you approach it as an entrepreneur, if you generalize that to other areas of life, you need to be your own entrepreneur in your religious life. We all need to be entrepreneurs, say, in our romantic lives. Instead of mom and dad choosing our partners for us, it's up to me to decide who I want to be with, what person. Then you go out and find that person, and just as the entrepreneur in business has to make the business work, it's up to me to make the relationship work. I have to be very entrepreneurial. In many cases, as we know in the modern world, the expectation is you're not going to marry the first girl you meet or marry the first boy you meet. You're going to meet a number of them, date, get lots of information, and then develop the relationships over time.
- 1.80** This idea, then, of being an entrepreneur, if we can generalize it beyond just a business contact, is being the entrepreneur of your life. If we have entrepreneur-minded people who are having their own ideas, who are self-starters, who are committed to making whatever it is that they make, you then generate a different culture. We do religion, we do science, we do politics, we do business differently in the modern world, even though we are still biologically, and in many cases, psychologically the same as human beings for a long time.
- 1.81** But that common phrase that we have for kids, especially: your life can be anything you want. My job as a parent is to empower you and encourage you to do what you want and succeed in the world. That's an entrepreneurial approach to parenting, even.
- 1.82** That takes us into philosophy. I'm a philosopher by training, and so everything that we're going to say over this course about business leadership and ethics is from this philosophical perspective. I've carried around with me in my head and on my computer, and before that, it was a photocopy from when I was a little kid—this came out in 1966, and I remember when I was a young teenager, I was at my grandparents place, and they had stacks of old magazines, leafing through this old copy of Time

Magazine, which was a popular interest magazine. It still is in existence, but it's to some extent a shadow of what it used to be in the culture 50 or 60 years ago.

- 1.83** I was struck by this phrase about philosophy, which was a new term to me at that point as a young teenager. There's an old saying that "philosophy bakes no bread." That is the idea that philosophy has a certain reputation for being impractical, head in the clouds, irrelevant. It's just a philosophical point that I'm making, which means if we're feeling like it, play around with it, but it's not going to make any difference to anything. So that's the attitude.
- 1.84** But this thing goes on to say, maybe the opposite is in fact true. "It is perhaps equally true that no bread would ever have been baked without philosophy. For the act of baking implies a decision on the philosophical issue of whether life is worthwhile at all." That's interesting to pause over because we don't ordinarily think about the baker getting up at 4:00 in the morning, as they typically do, saying, "Let's think about philosophy before I go off to the shop." But there is a decision. Am I going to get out of bed in the morning? Sometimes that is a real issue.
- 1.85** Why do I get out of bed this morning? Do I really want to get out of bed this morning? Then, when I say, "Okay, I'm going to get out of bed," I've got an answer: it's worthwhile. But what makes it worthwhile? I'm going to go to work. I'm going to spend time with my family. I'm going on vacation. I've got some important value. I want to get something accomplished in my life today. I've prioritized that over all of the other possibilities that, as a reflective person growing up, I've considered.
- 1.86** I've got this value framework: this is important, this is less important, this is important now, this is going to be important in the future. If I'm a good baker and I'm on the path to becoming a successful baker, I've done a lot of philosophy, and it's folded in. What we want to do is step back and unpack some of that philosophy.
- 1.87** "Bakers may not have asked themselves the question in so many words, but philosophy traditionally has been nothing less than the attempt to ask and answer, in a formal and disciplined way, the great questions of life that ordinary men put to themselves in reflective moments." We're all philosophical, even if we're not all professional philosophers. We think about our own lives, what we want to get out of them. You become a parent, and the first time you see your child, you realize this child has his or her entire life ahead. What do you want for that child?
- 1.88** The other end: we go to someone's funeral. Person's life is over, and we think about what the person's life was. Was it a good life? Then, is there something I can learn for my life in this philosophical funeral moment, so that at some point, I know I will die, what will the end of my life be? We're all philosophical in that way, but there is a great value to setting aside time to step back and be more systematic about it instead of just occasionally, at various other moments. And that's what we are here for.

- 1.89** The purpose of this course is going to be to take our three organizing concepts that are in the name of the course. We are interested in business. What is business? We're interested in leadership. What is it? How does it connect in the case of business? And then ethics. Is there a connection between business and ethics, ethics and leadership? And can we have an integrated philosophical perspective on this important territory in our lives?
- 1.90** Let's start with a rough draft. This concept of leadership. What do we mean by leadership? Typically, it's the person who goes first. And either from that person's having communicated something important or by example, other people choose to follow that person. So a leader implies at least one follower.
- 1.91** What makes the person who goes first, the person who goes first? We have to know this when we're getting together with little kids, what are we going to do this Saturday? In a group of four, five or six of us, someone starts coming up with ideas. Often, it's the person who comes up with the first idea—that person becomes the leader.
- 1.92** Or there are several ideas, and they get kicked around. A person who prevails in the discussion over which idea that we're kicking around, is the best idea. Or the person whom other people are assessing: I rely on, or I trust this person more than this person over here. So if I'm going to be a follower, I'm going to follow this person instead of that person.
- 1.93** What goes into all of that? When we start to reflect on this more systematically, and the stakes get higher, the organizations get bigger and more complicated, we start to generate lists of things that we want our leaders to do. We want our leader to have some vision for the organization. What is the organization about? Somebody has to decide. However many people, this is where we want to be next year, five years, perhaps 10 years. There's a cognitive skill, and it requires some imagination and some awareness of different possible places we could go.
- 1.94** So we use this word vision, strategy. It's nice to have a vision. It might be some pretty words, but how are we going to operationalize that? How are we going to take the nice words, the value we want to realize in the future and where we are now, and take the steps to get wherever we need to go? The larger the organization, the more in the future we are planning, the more difficult that is.
- 1.95** Being able to make decisions—we know in many cases, making a decision is a hard thing to do. We're at a restaurant with a menu. There's a lot of choices. We all know that indecisiveness. Sometimes it is easier just to say, "Oh, you choose," to get someone else to make that choice for us, but someone has to step up and make a decision. This is not just what am I going to eat right now? It's going to cost me however much money, and maybe I'll like it, maybe I won't. I'm making a decision where the stakes are a thousand people's lives, 10,000 people's lives, a million dollars, 10 million dollars. Being able to step up and make a decision is an important trait.

- 1.96** Human resources—a leader is not going to do everything himself or herself. Typically, we say, particularly as the organization gets bigger, division of labor, specialization. An important part of the leader's job is finding people who are able to perform all of those other functions. They have the right knowledge, they have the right skills, they have the right character set. So that being a human resource, number one person is perhaps the most important. Of course, you're not going to be the leader forever. Finding the person who's going to become the leader when you step down and grooming that person, so the transition in the organization, that becomes very important.
- 1.97** Now we're talking here about some cognitive skills. We're talking about imagination. We're talking about a character, an ability to make a decision, knowing that it might not be the best decision. You might be making a mistake, but still making a decision, and having confidence in your decision. Knowing people, being able to judge people, all of the psychology that goes into that.
- 1.98** Communication—it's not enough for the leader just to have the ideas in his or her head. The leader, almost by definition, has to be a communicator. This is where we're going. This is how we are going to get there and to be able to communicate and inspire other people to follow, and to be able to teach them what they need to know if they are relatively newer to the vision, to the strategy, to whatever it is to be able to do what it is that you would like them to do and so on.
- 1.99** In many cases, of course, it's not just a one-way street. This communication is a two-way street. If you are a good leader, most good leaders will say, "I'm not necessarily the smartest person in this team. I might be the CEO, but these people over here are a lot more smart than I am. These people are a lot more skilled than I am. These ones are a lot more knowledgeable than I am."
- 1.100** So we have a division of labor here, but I also need to do a lot of listening. I have to be able to be empathetic to where they're from, what their problems are, what their issues are, what their challenges are, as well as understand what it is that they want to do. So how I become a really good communicator?
- 1.101** Accountability—someone has to be responsible, final responsibility. The famous President, Harry Truman, had on his desk a little sign at the White House, "The buck stops here." It's a little bit metaphorical in the American context. We have this idea of passing the buck, and the buck was a metaphor for responsibility. We know how it goes in groups. Something goes wrong, and immediately a certain number of people are saying, "It wasn't me. It was that person." You're passing the buck over to this person, passing the buck. And he's communicating: "I am the leader. The buck stops here. I am the person who is ultimately accountable for this." And that's a character decision.
- 1.102** Being able to bear risk and bear uncertainty—in many cases, people want to have work. They show up, they clock in, they clock out. That's it. That's fine if you're that person. You add value for that certain amount of time. But what you want to know is at

the end of the week, say, "I'm going to get my paycheck. If this whole business goes belly up, I'm not going to be out of pocket for this. I want to minimize my risks." Versus the person who's going to be the entrepreneur, and in many cases, the owners of various organizations, they know there's a lot of risk involved, and they can handle the risk, maybe they even embrace the risk. So again, a certain character set.

- 1.103** And then the uncertainty—sometimes we know what the risks are, we know what the probabilities are, but a lot of times we don't. We don't even know what all of the variables are, what all of the circumstances are. And nonetheless, somebody has to make a decision and take the organization forward in a motivated way, even though they don't necessarily know that they are on the right path.
- 1.104** So that's a rough draft, an initial talking through of some, not necessarily all, of the important traits in leadership. But already we are into ethics, personal psychology, personal responsibility issues deeply. The best leaders are going to be people who take on that self-reflection and self-training necessary to build themselves into the person who can become the best leader possible.
- 1.105** Business—the other big concept here. What is business? Well, again, rough draft. It's about making stuff. Somebody has to make stuff. We need stuff. Stuff doesn't just exist. It needs to be produced. It needs to be created in the first place. I might be a farmer. I take some seeds, I plant them in the ground, I look after them, they grow up into a crop, I can harvest the crop, do various things. I have produced food. Someone has to do that. That's not enough for business because it's possible I'm a completely self-sufficient farmer, or maybe I can make a living as a hunter-gatherer on the land, just taking stuff and more or less in isolation.
- 1.106** Business, the standard, is when you have someone who has produced and someone else has produced something else; this person wants what this person has, this person wants what this person has, they become aware of each other, and they trade. That's an exchange. Hopefully, both of them are benefiting from that exchange. Now we're in business. Particularly, if you are making stuff in the first place with the expectation that eventually you're going to trade what you make for stuff that other people are making, then we're starting to talk about a business culture or society within which business occurs.
- 1.107** There's a fundamental difference here between people who say, "Yeah, I know stuff has to be made, but I don't want to make it." The expectation is that other people are going to make it, and you're going to try to get them to make more than they need so that you can also survive in a perhaps parasitic way on them. This already is a decision. "I'm going to make something."
- 1.108** When I'm dealing with other people, other people often have things that you want. One way of getting those things is not by trade, but rather by, say, intimidation. I show you my fist and my powerful philosopher's biceps. I will hit you if you don't give me that

thing. I try to coerce it away. Well, that's not business, but it's a different way of conceptualizing how I'm going to make it in the world.

- 1.109** But if I say, "I know I'm going to make stuff, I'm going to take that responsibility," now we're starting to fold ethics into it. I'm not going to be a parasite and expect everybody to make stuff and just live off their efforts. When I'm dealing with other people who have what I want, I'm going to have to get them voluntarily to trade with me. That means I need to bring something valuable to the table. That's different from someone who just steals stuff or tries to coerce stuff as well.
- 1.110** Then all of this is ultimately for consumption. I make stuff and I trade with other people. Now I have this stuff, eventually I'm going to consume it. Of course, some of the stuff I've traded for. Or some of my initial production, I might have saved over for the next round of production, but I need to survive, and I want to survive well. So ultimately, I'm producing with an eye toward: What do I want to consume and what do I want to trade for? Knowing myself as a consumer, what's really going to add value to my life is an important part of the decision about how I act as a producer, how I act as a trader.
- 1.111** We might then say the business part of the world is, or what we're doing when we're conceptualizing business, is focusing on people when they are making stuff, entering into trading relations with an eye toward consumption. That can be a rough draft definition of what business is all about.
- 1.112** Then the ethics part of this. Ethics is broader than business. We have an ethics of family life, we can have an ethics of political life, we can have an ethics of sports. But when we are doing business, when we say people are producing, people are trading, people are consuming, what ethicists are interested in or moralists—depending on whether we're drawing on Greek language or Latin language originally, the first systematic study of these as a discipline— what are the valuable things in life?
- 1.113** If we're going to be the best in business, it's important for us to go into business knowing what our values are. What do I really want to accomplish in my business life? We know we have time. Time is a value, but I only have a certain amount of time. How much of that time do I want to allocate to my business life? The standard question— how much to my family life, how much to my leisure life? And so on. I need to clarify my values here.
- 1.114** We might say more generically in sophisticated economies, I go into the business world and I produce something and I trade that for money. So money becomes my approximate value. But how important is money? What can I buy with this money? How much money do I want before I start trading for other consumption items, trading for leisure, putting things in investments and so on? All of those value questions.
- 1.115** I want to trade with other people. How do I evaluate something, particularly in a barter economy, where I've got some chickens, and this person over here has a wooden cart?

How many chickens do I need to trade for a wooden cart? That's a very hard calculation, absent money to make. But knowing my values is going to help me make that calculation more clearly.

- 1.116** Now, suppose we say all of these things are important. It's important to be a productive person. It's important to trade well with other people. It's important to know what your values are, what you want to consume in your life. When we introduce the concept of virtues, we are talking less about those things and more focusing on ourselves. What person do I need to be to be successful in these other areas?
- 1.117** Suppose I say I want to be a productive person—that's my value. I want to produce a lot of stuff because ultimately I want to consume a lot of stuff and lots of different kinds of stuff. What person do I have to be to be a productive person? It might be that I have to be a person who has some initiative, say. Well, if I'm going to be productive, that means I do have to get up and go to work. There's a difference between people who can get up and go to work and other people who find a reason not to get up and go to work. Maybe I'm just going to stay in bed. Maybe I'm just going to put that off for another day. Maybe I'm going to try to guilt somebody else into doing that for me and manipulate them in a particular way.
- 1.118** If, though, I say, and I make the judgment call, that production requires people of initiative, and I decide I'm going to be one of those people, then I have to work on myself to become a person of initiative. How do I do that? Or we might say in a trading context, there's negotiation that is going on. Well, how do I become a good negotiator, instead of, say, taking the first price that is offered, asking for further information questions, not letting my eyes be larger than my stomach, so to speak, assessing the information well?
- 1.119** Is there a difference between lying and bluffing? When I say things like we're trading and I say, "I couldn't accept less than \$10,000 for this thing." Well, really, I'm willing to accept less than \$10,000, but maybe in a negotiation context, that's only bluffing; it's not lying. Sorting out, at what point do I have an obligation to disclose information? What things can I keep private? And under what circumstances will I require the other person to disclose certain information? So trading requires a certain level of honesty and trust and openness. People who are not good at those things aren't going to be very good traders. So how do I think about that constellation of virtues and automate them?
- 1.120** And then actions—we know what we want, know who we are, but we actually work in the world, getting up and working consistently, persevering. We all run through points where we struggle with various things and we feel like we're not going to accomplish it. At what point do I give up? At what point do I overcome that willingness to give up and go on?

- 1.121** Or we face various risks. I might fail. I say, nonetheless, that even though I'm feeling like I might fail, I'm going to persist and I'm going to act in a way that requires courage and so on. What are the characteristic actions going to be? What am I after? What person do I need to be? And how do I need to act in order to be successful in the world? That is the terrain of ethics. Here we're stressing the business connections in all of those.
- 1.122** The point of all of this is going to be that it's all controversial, particularly as we get into the modern world. One of the things that is characteristic of the modern world is its innovativeness. We used to have controversies all throughout human history about lots of things. But every time anybody does anything new, it's always controversial because doing something new means at least an implied criticism of the old way of doing things, which means that people who are wedded to the older way of doing things are going to feel under attack, and they will, in many cases, automatically resist the new thing. The new thing always has to engage the controversy and make the case that this is, in fact, better than the old way of doing things.
- 1.123** What we have, though, is a culture that is extraordinarily innovative in so many dimensions, so we are always in the midst of controversy. Constantly. It's a fact of life. And so being able to engage in the controversy, and not necessarily in a defensive and defeatist way, but in a positive and productive way, is then necessarily an ethical feature of the modern world that is stressed in a way that was not stressed in previous times.
- 1.124** Another thing that is important about the controversies in the modern world is not just that we're doing so many things different in so many ways, and in many cases, even the rate of innovation is increasing, but that we used to, by and large, live in cultures that were morally and ethically homogeneous. Here, we might take Columbus crossing the ocean as an important point. Before Columbus, people argued about politics, they argued about religion, they argued about all sorts of things. But people were arguing within a broader culture, European culture or the Americas or Asian culture or wherever, within a cultural framework on which they, by and large, agree.
- 1.125** After Columbus, that is no longer true in the modern world. We have many different cultures with many different ideas about politics and religion, how business should be done, what is ethical, what it is to be a good person, what the meaning of life is, even. We're mixing all of these people from all over the world in a historically unprecedented way. It's not just people of different ethnic backgrounds; it's people of different religious backgrounds, men and women working together on the same jobs is a relatively new phenomenon. All of that then brings controversies and new challenges for us in the business world.
- 1.126** That then is to say that it's not simply enough to keep up to speed on what your business values are for you personally and to recognize that you're in a culture that's changing very quickly and you're going to have to adapt those things very quickly. But

as we are becoming more modern, we're dealing with more and more people from different parts of the world with very different philosophical value sets, moral value sets, different evaluations of business, and that is part of what we have to learn how to deal with.

- 1.127** To take a couple of sampling. We have one modern idea that business is really a very exciting place. All the people who like to read business magazines have all kinds of ideas for businesses. They want to engage in the business world because they think of that as the most interesting arena for them to realize themselves as who they are as human beings.
- 1.128** There's a dignity in being a self-supporting person. I made my own career. I'm not getting an allowance from mom and dad anymore. I'm a grown-up person. I'm not living off other people's earnings. I started this business, I built it up. I feel good about myself, even noble.
- 1.129** One characteristic example of this from recent times is Steve Jobs, who for many people in the business world, young people, was a hero, someone they looked up to. He's on this great romantic adventure quest in this innovative computer field. "I want to be like Steve Jobs when I grow up." This quotation from Jobs himself captures a lot of this. "The only way to do great work is to love what you do."
- 1.130** Notice what's built into that: the idea that you should want to do something great with your life. Instead of maybe before the modern times, 1% of the population could have that as a realistic aspiration. What is your life going to be about? There should be something great, romantic, adventuresome about that. Set your sights really high. Dream, really dream big dreams.
- 1.131** The other part: to do what you love. It matters what you love. It's not, "Here's a job, and we expect you to perform this job as a matter of duty or obligation." In another way: What do you want to do? People have different aspirations, and so it becomes a very personalized, romantic business adventure. That's one way of thinking about the work world, the business world that is very characteristically modern.
- 1.132** But at the same time, we know in the modern world, there's lots of people, and I run into these people regularly—I'm a business ethics professor. I go to conferences and people say, "What do you do?" I say, "I'm teaching this course on business ethics, blah, blah, blah." Their response will be, "Ha, ha, ha, business ethics, isn't that a contradiction in terms, an oxymoron?"
- 1.133** It's another huge part of our culture that says business, whatever that is, is just about making money. It's about materialism. There's nothing noble or pretty or beautiful or romantic about that. And then there's ethics. That's what it is to be a good person. What it is to be a good person is in some sense the opposite of what it is to be a business person. You do what you need to in the business world, but that's not anything to be proud of. Maybe it's something you're going to be a little bit ashamed

of. I'm a noble, non-businessy, non-materialistic, not a profit-seeking person. That also is a part of our culture.

- 1.134** Both of those parts of our cultures have deep historical roots, but they're still alive and strong right now. So we're constantly having this debate. Here's a cynical version of Ambrose Beers, one of the great cynics from the last century. He offered his definition of commerce. "It's a noun, it's a kind of transaction in which A plunders from B the goods of C, and for compensation B picks the pocket of D, of money belonging to E." That's the business world. It's not noble. It's not dignified. It's not about production; it's just about people stealing and robbing and defrauding each other. It's a very cynical understanding of what's going on in the business world, and that's a big part of our culture as well.
- 1.135** This one I just pulled off of social media. "Why do rich people work when they don't have to?" This was a serious question for this person. "I've always wondered this. I think the primary reason I wanted to be rich is so I don't have to work anymore." I can't wait till I retire. When I retire, I won't have to do anything. Now, if you think about that, that then is to say not doing anything is your standard of value. The idea that you have to do something, that you would even want to do something is alien to this mindset.
- 1.136** Of course, chances are good that this is a younger person, and this younger person is asking a question, and we know lots of young people have this question. They haven't found anything that they really are passionate about in life, maybe in general, or particularly in their work life. They have to work. Maybe mom and dad kick them out. They have this crummy job. They hate their job. They will start saying things like, "Oh, man, Monday, I have to go to work."
- 1.137** But we know there's a huge number of other people in our culture: "Monday, I get to go to work"—very different psychologies at work. "I'm only working for the weekend"—another common phrase, that is to say, "Monday through Friday, I'm basically a zombie just going through my routines at the job. I start to live when the weekend arrives." Versus, "My work life is an important and vital part of my life as a whole, and I'm an all-integrated person."
- 1.138** All of these are a part of our culture. They say something about business. They say a lot about ethics, but they also say, I think, a lot about leadership because all of the young people about whom we might be worried about what their attitudes are toward work and the business world in general, chances are good they learned that from certain people who were in leadership positions: their parents, their educators, whatever cultural leaders they were reading and interacting with.
- 1.139** So this course, the point is that everything is going to be controversial. How do we think about work? How do we think about production, distribution, profit? Profit: a good thing or a bad thing? Competition: good thing, bad thing? We know both of these arguments. Money: Do you love money? Do you want to be a billionaire, or do you

think loving money is the root of all evil? Very different attitudes with respect to money.

1.140 Understanding the fairness, standard argument: you get three philosophers together, and you ask the

Lecture 2: Egoism, Altruism, Predation

At a glance — Egoism, altruism, and predation illustrated through three lives.

- 2.1** I want to tell you three short stories about three young women. Carly, a young woman, went to university, a good university, a good student, studied hard during university, got a good degree. Upon graduation, got a good job working for a business, but she always wanted to be an entrepreneur. She had an idea for a business. She also wanted to get married, but she wanted to get her business career launched before getting married and having kids. So she worked hard, learned business skills, saved her money, worked on her business plan. After a couple of years, she quit her job, went entrepreneurial, started her business. Good idea. She was able to scale the business up very successfully within a few years, at which point she sold the business for \$10 million, at which point she got married, put the money in investments, and was living a good life, travel, raising her family, living well.
- 2.2** The second young woman, a woman named Tonya. Also smart, good student, went to a university, decided to major in finance and money, was good at it. Upon graduation, got a job at a financial institution. She was very clever, and she noticed there was a flaw in one of its funds routing procedures, which enabled her to siphon \$10 million from international transactions that were going on out of the system, in which case she bounced that \$10 million through a number of bank accounts all over the world, ending up in a private bank account only known to her. After the scandal died down, no one was found guilty. They didn't know how this had occurred. She resigned from her position about eight months later and is now living a quiet life of discreet luxury with her \$10 million.
- 2.3** A third young woman named Jane went to college, studied, graduated, got her degree. Unfortunately for Jane, the month after she graduated from college, both of her parents died unexpectedly. But fortunately for Jane, they left her \$10 million in their will. But Jane, during her college career, had learned that when it comes to money, she should not spend it on herself. So what she decided to do with the \$10 million was to give \$9.9 million of it away to charity. She took the remaining \$100,000, put it in some very safe investments that are earning 5 or 6% a year, and her plan is to live very simply and frugally on the remaining \$100,000, the earnings from it.
- 2.4** Carly, Tonya, and Jane—keep those three short stories in mind. Now I want us to plunge into ethical philosophy or moral philosophy and start becoming analytical about the concepts underlying how we think about values, virtues, responsibility, and so on. Three organizing concepts in analyzing a situation, analyzing a person morally or ethically, are that we're interested in a person's intents, we're interested in the person's actions, and we are interested in the consequences of that person's actions. We pay attention to all three. This is in part a naturalistic explanation of human behavior.

- 2.5 We have certain ideas or certain intentions. They're motivated, and I act in the world in a certain way. As a result of my actions, there are consequences that can be identified. We want to evaluate what are good intentions, what are good actions, and what are good consequences. Then, hopefully, the big prize would be if we can come up with a theoretical understanding or a set of principles that integrates all of those so that we act with the right intentions and yield the good consequences. That would be the best possibility.
- 2.6 Now, we know sometimes people engage in an action, but they didn't have good intentions, or sometimes they have good intentions, but the consequences were bad. So all of those are relevant dimensions that we need to tease out.
- 2.7 For example, suppose I walked over here, behind this gentleman here, and I looked, and I smacked him in the back of the head—I would never do that, but this is a thought experiment in philosophy. Your first question would be, "Why did you do that?" So what we're interested in is the intent. What was your intention? And that matters. If it was just my hand, reflexively went up like that, because I have a condition of some sort, then we would say that was not necessarily a moral action. But if it was guided by choice, by an intention, then that would matter.
- 2.8 If I said, "When I was over here, I noticed that there was an insect on the back of your head and it looked like it might be a biting insect, so I was flicking the insect off the back of your head." Then, immediately, we would evaluate that intention as a good intention. If, on the other hand, I just walked over, and you said why did I do that? If I said, "Sometimes, I like to hit people in the back of the head." Then, you would say, "Bad intention." The point is that the intention matters.
- 2.9 Now, we also think, though, that not only the intent matters, but the action that follows. Sometimes we will say, "He had good intentions," but that's faint praise because we're trying to say that even though he had good intentions, something very important did not happen as a result of that. So we're also interested in the actions, how you go about various things.
- 2.10 To take an example here: suppose it's your birthday and you're having a party, and I show up at your party and I've got a nice gift-wrapped thing here. Initially, you're thinking, "Oh, this is going to be nice. A nice intention. He brought me a present." I say, "Yes, happy birthday. I stole something very nice for you." Then you say, "Oh, well, that changes."
- 2.11 So the intention might be fine. In this case, the consequence also might be fine, because it might very well be that the thing I stole for you is something that you want. Or you might not keep it under those circumstances. But in this case, we say the intention is not enough. How you acted on that intention was not appropriate. Stealing, I don't think, is the right way of bringing about various intentions. That might have good consequence for you, but not a good consequence for someone else.

- 2.12** This brings us to the other dimensions that we are interested in. We are interested in not only why a person did what he or she did, how the person did what he or she did, but what are the actual results in the real world. We live in the real world, and so we want our actions to change the real world in a beneficial way.
- 2.13** Now, sometimes our actions don't involve other people. I might be spending time by myself. I'm going for a walk on the beach, and so my intention is to relax. I enjoy natural beauty, and so I take a walk. I do relax and I enjoy natural beauty. So that's a good overall result. Intention, action, consequence are aligned. Sometimes the consequences are more complicated in that they involve other people. In that case, you have to say, what is the result of this with respect to the other person as well as the respect to yourself?
- 2.14** If I say I want to go for a nice relaxing three-hour walk on the beach and so on, but I have a newborn baby at home, and I've taken responsibility for this newborn baby, I'm just going to leave the baby all by itself, well, that is going to have consequences for the child that are not necessarily overcompensated by the consequences for me. Ideally, what we then want to be able to do is know what the intent is, know what the action was, and then, for everyone who is relevantly affected by that action, what the consequences are for them.
- 2.15** This makes moral evaluation sometimes complicated because we have to attend to all four of these things, sometimes within a single person's framework. Then we also know that people are interacting with each other, and the other person is bringing his or her intentions and acting in a certain way and having consequences. So social circumstances can become very complicated.
- 2.16** If we take, for example, just a fun one—I always like to think about when my daughter was very young, four years old, it was the first time it was my birthday coming up, and she was aware of what birthdays were and that people are giving presents, and she had a little bit of money that had been given to her to buy presents for something. She went to a craft fair and came home. On my birthday, I opened up this little, not very well-wrapped bundle of whatever, and inside it was a Chicago Bears keychain. She was so happy to be giving me this Chicago Bears keychain.
- 2.17** Now, as it turns out, I'm not really a professional football fan. If I think I were going to be a professional football fan, I would be for my home team of Toronto rather than Chicago. But she was delighted to give me this present. She was absolutely sure that this was the right thing for me from her four-year-old perspective. As it happens, this is something that I still have, and I treasure it. But what's good about this?
- 2.18** Even though I've never actually used it as a keychain, I don't particularly care about the Chicago Bears. But in this case, we say that it was the intent that counts, even though the consequences in terms of materially my life being better off are irrelevant. She's actually out, I think it cost her a dollar at this little craft thing or whatever. She lost a

dollar. I'm not getting anything material, but the intent is the important thing in this particular case.

- 2.19** In some cases, we don't worry too much about other people's intent. Suppose we are on the same side of a particular political battle. Ordinarily, your politics and my politics are very different. Our intentions are very different; in the long run, what we would like the political system to be. But nonetheless, there's a particular piece of legislation that we both want passed. The consequence of my working with you on this will be that we will both get consequences that we think are good consequences, even though I disapprove of your intentions in doing so.
- 2.20** All of these things are relevant and it's worthwhile having a table to write them down and then make the notes so you can come up with an overall evaluation. The more people who are involved in one's decision making when you're trying to sort out an overall situation, the more important it is to have a notation method like this.
- 2.21** Now, what I want to do is turn to the three short stories and use those as particular examples of moral types. In our first session, I mentioned that everything in ethics is controversial, including what is ethical. One of the things that is very significant about Western civilization is that it's not a monoculture going way back. We draw a lot on Greco-Roman tradition. We draw a lot on Judeo-Christian tradition. As we become an increasingly immigrant-friendly society over the generations, we're drawing on lots of other moral traditions, and they have their very distinctive ideas about what the right intents are, what the right ways of acting are, and what the consequences for all of the people involved should be.
- 2.22** When philosophers have done the ethics theory work, but then also integrated that with the anthropological work of looking at how people actually use ethical and moral language, I'll make this claim that there are three broad types of moral theories or ethical theories that have emerged, hence the three stories that are on the table for our consideration.
- 2.23** Carly is representative of a certain moral type. If we ask Carly when she had her business idea and was working very hard, so she had a certain intention, she was acting in a particular way, doing her business, and the business had certain results, certain consequences, how would we analyze and put the vocabulary in this table? In this case, we would say, "What is Carly's intent?"
- 2.24** Well, she's a young woman. She's thinking about her life, and probably it's something like this: "I want to live the best life I can for me. I want to have a lot of money because there are all kinds of things I want to spend my money on. I want to realize my business dreams. I want to raise a family, and I'm going to need money and freedom in order for doing that." So, she's acting in her self-interest. "This is my life, myself, and I want to achieve certain interests in my life."

- 2.25** How did she go about doing so? Well, we would say she went to work, in which case she traded some knowledge and skills, and people gave her money for that. Then she went entrepreneurial. She made some product, or she made some service, and then she traded with other people who voluntarily wanted that product or service. If she was hiring people, then they would bring knowledge and skills to the table. She would get the results of those, and she would give them money. So she is being productive, fundamentally, and trading with other people.
- 2.26** As a result of her doing so, we know she ends up with \$10 million. That consequence to herself is a benefit. All of her actions led to a certain result. It was a benefit for her. This is going to be measured because now she can achieve all of her self-interests, her investments, her house, her family, her travel, whatever those things are. Then, since she did this in a social context, what is the result with respect to all of the other people she was dealing with?
- 2.27** If we take the people that she was selling her product or service to, they thought it was worthwhile; each of them who said, "I will give you, Carly, a certain amount of money because I think this is going to benefit my life," so that person is better off. If Carly hired someone, then that person gets a job, the money that comes with that, that person thinks, "I'm better off working for Carly." The people who gave her \$10 million to buy the business outright, they think it's worth \$10 million to them. They would rather have the business than the \$10 million. She would rather have the \$10 million than the business.
- 2.28** So what we would say in that case is, this is our distribution: she's acting fundamentally on her self-interest. She's being productive and trading with other people, and the results are mutually beneficial. Or, in the economists' language, you would say it's win-win, socially. She wins, and she engages with other people in a way such that they win as well. This then means that she is representative of a certain moral type.
- 2.29** If, as a matter of principle in her life, she's a thoughtful, self-reflective person, she says, "I'm going to be the person who strives for this happy, fulfilling life. That's what my life is all about. I'm not just going to randomly act or do whatever people want. I have my self-interest, and I'm going to achieve it. But I'm going to get there by being productive. I'm not going to steal, I'm not going to be a parasite, I'm not going to defraud people. I'm going to be productive, and I'm always going to trade with people, and those trades are going to be mutually beneficial." That is a morally principled way of approaching life.
- 2.30** The contrast, then, would be to Tonya—I'll put Tonya over in this column. Tonya also was acting in her self-interest. She was saying, "What do I want to do with my life? I would like to have a lot of money. With my money, I can live in a certain house, I can travel, I can do blah, blah, blah. I've got my thoughtful list of things that I think are in my self-interest." It might be very similar to the things that were in Carly's interest. So the intention, initially, of the two young women is, broadly speaking, the same.

- 2.31** But the important thing is that Tonya, in order to get the \$10 million, is not engaging in productive work. She did not create \$10 million worth of value, and she is also not involving in a voluntary trade with other people. Instead, in that one case, somebody else has produced the \$10 million worth of value. She's in some fiduciary trust position with respect to it. She's taking the money, and she's taking it without the other person's consent. So she's a thief, she's an embezzler, whatever version of taking precisely we would describe this as.
- 2.32** In this case, she did so successfully. She was smart, she covered her tracks, so she ends up benefiting from her act of taking for her. But it's not an act of where her benefit is also to the benefit of other people. The other people who had the \$10 million, it was theirs; they are out that \$10 million. So if she says as a matter of principle, "Yeah, I want all of these things in my life, and I'm going to strive for those things in my life, but if I can steal or embezzle and get away with it, I'm willing to do so." Then she is committing on principle to this as a moral lifestyle.
- 2.33** She will evaluate it as, "I think this is the best lifestyle for me," which is to say as a moral code. Whether you agree with any of these moral codes is not quite our question yet. That's just what her principle of operation is. We do know, as a matter of fact, there are a lot of people who say, "Here's my self-interest. I'm going to take and benefit myself at the expense of other people." We have then a four-dimensional characterization of their mode of acting in the world.
- 2.34** Jane, by contrast, is representative of a third type. What her position is, "I do have this \$10 million, but my operative intent should not be to say, 'How can I use this \$10 million in a way that's going to best benefit me, myself?'" Then, as a philosopher used the language, the point for her is that the self is of less importance. "I will think selflessly. Maybe I will get some benefit from this, but more important than the self is other people," and the intentions should be directed toward other people.
- 2.35** In this case, I can imagine what other people need or want or could use this \$10 million for or the 9.9, as the story puts it, and so I will give it to them. That requires, with respect to me, a certain result. I have to give up \$9.9 million and the benefits that could accrue to me from the \$9.9 million. And so the language we use there is sacrifice. I am sacrificing \$9.9 million for the benefit of others.
- 2.36** We call this action giving, and it's a distinct action because she didn't produce the \$10 million, she didn't trade for the \$10 million, but she also did not take or steal or embezzle the \$10 million. It's a distinct action. Then what we have is a principle. It says, "As a matter of thoughtful principle, self-directed thinking and action, I think I should be selfless as my governing principle. And whatever assets I have that are valuable, I should primarily be willing to give them away in a way that does not benefit me as a sacrifice, but does benefit other people."

- 2.37 Taking away the bolding, the first point of ethical theory or moral theory is going to be that we have delineated three different types of people, three moral types. We've delineated them in terms of four dimensions and filled in all of the logical, and psychological, and existential possibilities here.
- 2.38 As a result of that, what we want to do—since we don't want to say "self-sacrifice for the benefit of others" all the time—let's come up with a single word. When we are talking about people who, as a matter of principle—anytime you have an -ism, it always means a self-reflective policy that one has adopted—says, "My approach to life is I want to be happy, I want to be fulfilled, I want to be self-realized. That's my governing intention."
- 2.39 But I'm going to take self-responsibility for my life and make my life. That is to say, I'm going to be productive to the extent that I'm dealing with other people. It will be on a voluntary trade basis. I'm going to then commit to productive trading actions that are beneficial for me and, to the extent that other people are involved, mutually beneficial to them. I expect other people to deal with me on the same basis. Those people we call in the literature egoists.
- 2.40 By contrast, people who are predators—and we use this language here—will say, "As a matter of principle, we're not very interested in production and trade, but we are interested in our self-interest. And so what we are interested in, by and large, is other people engaging in the productive activities, and then we are going to take from them whatever it is we want successfully. And the best actions are going to be ones where I don't have to work, I don't have to be productive. Nonetheless, I am successful at taking from other people at their expense, and I'm aware of that, but it benefits me." That's a predatory lifestyle or a commitment to predation as a lifestyle.
- 2.41 If, as a matter of principle, one thinks one should not act on one's self-interest— that it should not be one's governing principle, that would be second, third, fourth, or not on the list at all, always other people should come first—then the word altruism is the descriptive label philosophers use in this concept.
- 2.42 "Ego" is the Greek word for I, "alter" is the Latin word for other. So it's I-ism or other-ism. I'm putting other people first, and when I'm interacting with other people. If I need to sacrifice for their benefit, then I am willing, as a matter of policy, to do so. The idea then is that this maps out not quite all of the logical possibilities, but three of the logical possibilities. So what's one intent going to be? What actions, characteristically, is one going to engage in? Then, do you think that socially we should be win-win, lose-win, or win-lose in our transactions?
- 2.43 There is a fourth possibility where one is acting in a selfless fashion, one is sacrificing, but the sacrifice is both of oneself and with respect to others. There is a kind of nihilism that people will engage in: lots of self-destructive behavior, but they want to also take other people with them in their self-destruction. So it ends up being lose-lose or

everybody's destructive. Not very popular in the ethics literature and not very significant in the business world, so we're just going to set that one aside.

- 2.44** This is the three theories that are debated in the business world. What we will find is when we look at all of the important elements of business: production, trade, competition, profit, consumption, every one of them is characterized by a three-way debate. You will find an egoist position, an altruist position, and a predatory position on each of them.
- 2.45** Just to take profit as an example—well, what is profit? One position will say, something like, here's the egoist position: profit is: I'm a farmer, say—to take that very basic example—my self-interest is I want to live, I want to eat, but I recognize that I need to produce food in order to do so. I engage in the actions that, in fact, produce food. I'm taking responsibility for that to the extent that maybe you are a neighboring farmer and you're producing different kinds of stuff. We might trade with each other, but the trade is going to be one that is mutually beneficial to both of us.
- 2.46** But I took some seeds, and I looked after them, and maybe I had a thousand seeds initially, but I ended up with 100,000 seeds as a result of that and a whole bunch of crops. So I take another thousand, I set that aside for next winter, but I've got all these other 99,000 seeds and wherever they came from. That's a measure of my productivity, and it's a measure of how profitable I have been. That's a good thing, and we should think of profit in that way.
- 2.47** But for other people we know, profit means you have something that I want, and if I have successfully stolen it from you, I look at my bank account, last week, my bank account had \$900 in it. This week, it's got \$90,000. I've got the additional money because I stole it from you. Well, look how much profit I have made from my activities. Profit always means, from this perspective, that some people end up with more, some people end up with less. It's a zero-sum game, to use the economists' language.
- 2.48** Let's say some person's gain is always matched by someone's loss, so it zeros out in that sense. From this perspective, the way the business world is, there's a certain amount of stuff or a certain amount of money out there, and it's always just being shuffled around by various activities. So someone's profit is always at someone's loss. So it's just a giant arena for predation. That's how we think about the business world.
- 2.49** By contrast, one sign of an altruistic person will be someone who says, "I think the business world is a lot of predation and zero-sum transactions and people robbing each other blind whenever they can get away with it. I think that is morally wrong. So what I think I should do is not enter into the profit-seeking world. I'm going to go into the nonprofit sector."
- 2.50** But often, for someone who is approaching it from this perspective, the idea is that if I am a nonprofit person, I am morally superior to people who are working in the profit sector because they're interested in profit. And by definition, I'm not interested in

profit. And that must mean from their perspective, there's something morally suspect about profit, and not being interested in profit and so on makes you a better person.

- 2.51** That's just profit and three different evaluations with respect to profit. The claim I'm going to make is that as we work through examples in different domains of business, we will find that pattern. It's always a three-way debate, and these are the types. It makes sense.
- 2.52** Fundamentally, you are either going to act in your self-interest, or you're not going to act in your self-interest, kind of a duality there. You are either going to make stuff, or you're not going to make stuff. If you have stuff, you're going to trade with people, or you're not going to trade with people. You're going to try to steal, or you're not, you're going to give away. So there are fundamental dualities. Either as a result of our interactions, we're both better off, or one of us is better off, and the other one has lost, and then it's only a choice of whether it's you or me who is the winner and the loser. That's high abstraction. Let's get into some of the details.
- 2.53** On the importance of the philosophy behind this. I mentioned we have long philosophical traditions, long religious traditions, and most of them have morality as a central component of their overall philosophy or their overall religion. So I do want to mention two of the most important altruist philosophers in the middle part of the modern world that we are entering, two of the giant names in ethical philosophy.
- 2.54** Auguste Comte—I selected him because he is the one who coined the term altruism. There had been other theories that were altruistic, emphasizing sacrifices and selflessness, but they had different names. One that has stuck in the modern world comes from Auguste Comte, a giant in the philosophy tradition, one of the founders of sociology. This is his description of altruism. It literally is other-ism. You should always be thinking about other people, never thinking about oneself. That's what altruism means.
- 2.55** The way he puts it in his moral philosophy is that this is the big problem, that so many people are egoists, and from his perspective, that largely means that people are predatory. He hasn't got a deep distinction between those two, or he thinks that it ultimately is a non-distinction. So the great human problem we have is the subordination of egoism to altruism. This infuses his political philosophy, his moral philosophy, his approach to sociology, and has had huge implications for the last 200 years of intellectual life.
- 2.56** Arthur Schopenhauer, "Egoism and the moral worth of an action absolutely exclude each other. If an action has as its motive or intent an egoistic aim, it cannot have any moral worth." I'm emphasizing this because sometimes altruism and egoism and predation in ordinary speech are used in more approximate ways. We know this from almost any important concept in philosophy. People use it loosely or more tightly. In

moral philosophy, this is what it means for the thoughtful intellectuals who are using these words: altruism really means no egoism whatsoever, all the way through.

- 2.57** "If it is to have a moral worth,"—this is Schopenhauer again—"its motive cannot be an egoistic aim, direct or indirect, near or remote." Now, those are two strong advocates of altruism. We know there are lots of advocates of predation, lots of advocates of egoism. So the debate continues, and it flows into the business circles as well.
- 2.58** One thing I want to emphasize is this terminological issue. We're going to be using "predation," "egoism," and "altruism" precisely. We're also going to be using the words "sacrifice," "cost," "benefit," and "investment" precisely. Again, these are terms that are somewhat slippery in the language. Sometimes people will use the word "sacrifice" just to mean a cost. Things have costs. "In order to do this, I have to pay some time costs or some money costs. It's a sacrifice."
- 2.59** What I want to flag is, get out of one's intellectual system as soon as possible, the conflation of cost and sacrifice. Everything in life has costs. You have to incur costs, you have to expend time. So all things have a cost in that sense. But the question is going to be: What do you expect to come out of your expenditure of that time or that money? If you think, "Yeah, I'm spending this money, I'm spending this time, but I think it's going to be worth it in the long run, it's going to pay off," then that's an investment mindset.
- 2.60** I'm going to take this \$100,000, say, I'm not going to consume it right now. I'm going to put it in the market, say. So I'm out \$100,000. Other people are using my money, but I hope that in 10 years, that will have grown into \$200,000. In that case, what I have done is I've incurred a \$100,000 cost, but my expected benefit is \$200,000. So I'm expecting to make \$100,000 of profit, and I'm going to use that to benefit my life. That is egoistic thinking.
- 2.61** If, at the same time, I'm taking the \$100,000 and I am expending it as a cost, but I don't think I'm going to get anything out of it, it's a purely, say, a charitable action or some duty that I have to give this \$100,000 away. My expectation is I'm not going to get any return 5 years, 10 years down the road from that, and that is a sacrifice. In that case, the cost is greater than the benefit.
- 2.62** The difference is between an investment mindset, which is what the egoists are going to prize, and a sacrifice mindset, which is what the altruists are going to prize. Both of them recognize that things have costs, but it's the relationship between the two. A somewhat humorous example I'd like to borrow in this case is from John Allison, who was CEO for many years of one of the ten largest banks in the United States, BB&T. I heard him give this anecdote in a talk.
- 2.63** Sometimes in looser language, we'll hear things like "love involves sacrifice." In one sense, if one is speaking loosely, love does involve sacrifice because there are lots of costs that one has to incur with respect to the object one loves. You love your children, and so you give up certain things so that your children can do better. Or you're getting

married—that's going to be the example that Allison uses. When you get married, there are costs that are involved in marriage. You can't date other people, for example, so that might go into your cost ledger. So sometimes people will use the language of a sacrifice.

- 2.64** But Allison is a philosophically savvy guy, and he noticed this sacrifice language. Suppose you think that love really is sacrifice. Can you imagine on your wedding day when you and your partner are standing up, and you're going to say your vows to each other? Your partner says to you, "I love you, and I am marrying you, and love is sacrifice, and this is such a huge sacrifice for me." What would your reaction be to that person? Would you be honored or would you feel like you have been insulted?
- 2.65** The chances are good that you can understand both of them. But you would feel insulted because you don't want the other person to be sacrificing for you in the strong moral sense. Because, in that case, a person would be saying something like, to unpack it, "I'm being selfless here. I'm not doing this for me. I'm giving up all of this stuff, and I'm not expecting anything in return. I'm just doing this all for you. It's a big sacrifice, and that's what love means to me."
- 2.66** Well, if that's what love means to you, then that's not necessarily the person you want to be married to. You expect, "Yeah, I understand there are costs involved, but I want it also to be good for you as well as good for me." And that's a different use of language, not the sacrifice language. So the point is, again, to repeat, and it can't be repeated often enough: take some time on every morally charged term and make sure you are clear in your own thinking how you are using that term. A lot of times, when you're dealing with other people, you have to spend some time translating the language back and forth to get each other on the same page.
- 2.67** Here's Keith Richards, for example, one of the Rolling Stones, getting way up there in years. Often, then, he gets the question, "You're a multimillionaire. You got all of these awards. Why are you still working hard on your music and playing all these concerts and so on? His response was, "I can't retire until I croak"—a metaphor for die. "I don't think they quite understand what I get out of this. I'm not doing it just for the money or for you. I'm doing it for me."
- 2.68** So he recognizes that he's got a lot of money and he could retire; he doesn't have to work in that sense. But nonetheless, he is functioning as an egoist. "I know what I want to do, what my vision is, what I love doing. The money is great. I'm happy that you guys love my music, but really, fundamentally, this is about me." It's not predation, it's not altruism. It's an example of ethical egoism.
- 2.69** By way of sideways commercial advertisement, we have an entire course called The Philosophy of Ethics, where we go through several of the major philosophers, eight different ones, and they all disagree with each other on lots of subordinate issues.

Comte and Schopenhauer are in there, along with some egoists and advocates of predation, if one wants a deeper dive into those issues.

- 2.70** Now, this is still at a high level of abstraction. We've got this table worked out. We have some anecdotes, we have some dimensions. We filled in the dimensions. We said we need to carefully define all of our terms. What I want to do is work through some domains of life to see how these apply more specifically to make good on this claim that pretty much every important value and virtue in life involves a three-way debate because of our different ethical traditions.
- 2.71** If we think about money, for example, money is a value. We find it useful in various ways, but we have very different attitudes with respect to money. What I want to do is say very quickly how an egoist, an altruist, and an advocate of predation thinks about money. Now, we've seen this in the Carly, Jane, and Tonya stories, but very quickly.
- 2.72** The egoist is going to say with respect to money, "Money is a good thing. I want it. But I'm going to earn my money, and I'm going to take pride in earning my money. And as a matter of principle, I'm not going to do various things." That's an ethical evaluation or a policy with respect to money.
- 2.73** A predator, by contrast, would also say, "Money is good. I want to have lots of money, and I'm willing, basically, to do anything in order to get money, as long as I don't have to work for it or don't have to work very hard. I'm willing to steal, defraud, and so forth as a matter of policy. I might make that my career, so to speak, how I am going to act with respect to money. You want me to go and work in the insurance factory or at the hardware store? Oh, no way. That's not for me. I would much rather be a monetary criminal than that. It's beneath my dignity."
- 2.74** The operative language with respect to money is to say, "Money, yes, is a powerful tool, but it should be to the extent that one has it used for the benefit of other people. One should not be using it with respect to oneself." Egoists say we should make money. Predators say we should take money. The argument here is that you should give money. Those are the dominant policies of action with respect to money.
- 2.75** Move to sports, another important domain of human life. We know that people bring with respect to this value—there's health values and psychological values and social values and so on. But what are our policies with respect to sports going to be?
- 2.76** If I'm an egoist, I'm going to think of sports this way: "Yes, I like to play the sport. I want to get the values, the health values, the psychological values, the social values. Those are all in it for me. Also, I want to win when I play a sport. I want to get the glory, and I want to think of myself as a winner. Those are my intentions with respect to playing sports. But in the action of playing sports, I'm going to play sports according to skill and knowledge and strategy and according to the rules of the game, because if it's going to have those values for me, it has to be that I won fair and square, so to speak. I won

according to sports, and I'm going to take pride in winning by playing the game fair and square."

- 2.77** By contrast, if I'm a predator with respect to sports, I'm going to say, "I want certain values from sports, but I am willing to cheat in order to get the value. If we're playing some game where I can self-call, 'Was it in or out in a particular case,' anytime I think I can get away with it, if the ball was in, but I know that you didn't see it, I'm going to call it out. I'm willing to do that because I want to win and I want you to lose. So cheating is an acceptable action policy." A predator with respect to sports is going to be the person who cheats whenever he or she can in order to do so.
- 2.78** By contrast, with respect to sports, for an altruist, the language is typically going to be, "Isn't sports about thinking well about yourself and wanting to be a winner? But every time there's a winner in sports, somebody else is a loser, and it's all about competition and some people feeling better and getting trophies while other people don't get trophies. All of that seems very egoistic. So I think what I will do is not be interested in sports. I don't think that this is a legitimate—and particularly competitive sports—a legitimate area of human endeavor. I will be a non-competitive person, and any social interactions that we engage in will be ones that are more cooperative rather than competitive kinds of cooperation."
- 2.79** Or I might, as an alter, say, "I'm playing a game with you, and maybe I am more skilled at the game, and I could win the game, but I will intentionally—there's the word intentionally—be selfless, and I will let you win the game. I will throw the game," as we use in that way. In that case, I give up the benefits that come from winning the game. You get the benefits of winning the game, but intentionally, I gave those to you.
- 2.80** This one has to be a little bit tricky because the other person can't know that you intentionally threw the game in order for that person to get the benefits. So the psychology might have another level of analysis that's necessary. But nonetheless, either non-competitive because sports is competitive, or whenever you can, you let the other person win the game and get the benefits as a result of that.
- 2.81** Let's try sex, another important domain of human activity. We're interested in money, we're interested in sports, we're interested in sex. What would the different policies of action be? I think predation is the clearest example of a certain activity with respect to sex. It would be, "I want sexual pleasure. It doesn't matter to me if she wants the sexual pleasure. I will take what I want, and I will get the benefit of it, but she will suffer, and I don't care about the suffering." So rape is a policy. A person who's willing to commit rape in order to get sexual favors, that would be predation with respect to that domain of human action.
- 2.82** If, by contrast, you think with respect to sex, "I like sex, I want to have a good sex life, that's part of my self-interest, and so I'm going to engage in actions to attract people who ultimately will want to have sex with me. Then, in the act of sex, it's good for me, I

get benefits, but it's also important to me that the other person is not only participating voluntarily, but enjoying it. So it's a mutually beneficial transaction." That would be the egoist approach to sexuality. Both parties want the benefits that come from sex. They make the relationship happen, and in the encounter, the mutual benefit matters to both of them. So rather than rape, it would say something like a romantic understanding of what sexuality and sexual encounters should be.

- 2.83** Altruism with respect to sexuality—a couple of possibilities to think about here. One is to say, "Sex is something that is enormously pleasurable to me, psychologically and physically. But maybe I should not be so interested in myself and what's interesting to me. Instead of taking all of that time and all of that money and trying to get more sex into my life, I should give up sex altogether. And if I give up sex altogether, I become completely celibate, or I become completely chaste, then I can devote my life to other, more important things."
- 2.84** Many religious traditions, for example, that have a strongly altruistic ethic as part of their overall code, will require it as a high sacrifice, because it is a sacrifice to give up your entire sex life, but we'll say to be a good person, you and your sexual happiness are not that important. What you should be doing is sacrificing that so that you can serve other people better. So that would be a possibility as a strong historical example.
- 2.85** Other examples might be such, say, sexual encounters in a marriage that has gone somewhat stale, shall we say. You have two people, they've been married for a while. One partner still wants to have sex with the other partner on a fairly regular basis, but this partner is not particularly interested anymore, say. But suppose this person thinks, "I have an obligation to the marriage," or "I have a duty as part of this relationship to give sex to this other person."
- 2.86** Notice the language we're using now, "giving" sex to the other person. Even though I'm not going to get anything out of it, particularly, I will let the other person get the benefit. I would rather be doing something else, but I will set that other thing aside in order to do my duty and give the benefit, even though I don't get anything out of it. That would count, I think, as an altruistic policy with respect to sex.
- 2.87** Let's try one more, working into different domains of life, again, with my big overall agenda being here, egoism, altruism, and predation, at a high level of abstraction. The point that the moral philosophers make is that ultimately, if you're a thoughtful person, you need to make a commitment to one of those three and then integrate it into all of your areas of life. Business, we will be considering. We've looked more specifically at money, at sports, at sex.
- 2.88** Another very interesting one is gift-giving. Another common human practice: birthdays, special religious or other kinds of celebrations that we have, people getting promotions or retiring at work. Gift-giving is a big part of almost every culture that we know. But why do we give gifts to each other?

- 2.89** One example might be, say, the following: suppose you are a parent and you have a child, and it's the child's birthday that is coming up. You've worked, and you've saved a certain amount of money. You think about your child, what your child wants, and so you go, and you spend that money on the gift. You bring it home, you wrap it, child's birthday, give the present to the kid, kid opens it, big smiles, really happy, and then over the course of the next weeks and months, you see the child playing with it, having a really good time. That's a standard description of parents giving gifts to their children.
- 2.90** How would we put that in moralistic language? Well, part of the language would probably be something like this. "I am a parent, and I want to have this child because this child is an important part of my happiness. But as a parent, I'm also concerned with the child's happiness and the child growing to flourish. So my happiness and the child's happiness are in a symbiotic or connected relationship with it.
- 2.91** Yes, I went to work, and that involved time. I earned some money. And when I bought the present, I had to spend. So there are some costs here that are involved, definitely. But then, when I give the present to the child, there's also all of these benefits: I get to see the look on my child's face. How does that make me feel? That makes me feel great if the child is happy.
- 2.92** So the calculation then has to be: this present cost me a certain amount of money and time, is the benefit to me greater or less? Suppose I spend \$100 on the thing. Was seeing that look on my child's face worth \$100 to me? If my answer is yes, that's one thing. If my answer is no, that's a different thing. But if the answer is yes, I'm happy to spend \$100. I'd spend \$200, \$300 because my kid's happiness and my happiness are—that is to say, "I am operating on a win-win or mutually beneficial transaction way, and I did so intentionally as part of my broader self-interest. I'm a parent, and my child's well-being is a part of my overall happiness."
- 2.93** By contrast, I always think of an example when I was younger and my sister, who is three years younger than I am, and we always got along very well, except for one year. I remember it was Christmas coming, and my sister and I were not getting along with each other at that point. I had my allowance money, and I started buying presents, little presents for my mom and dad and my brother and my sister in years past, and that was all perfectly fine. But this year, my sister and I were fighting, and I announced at the dinner table that I was not getting my sister a present for Christmas that year. My parents actually informed me very quickly that I was, in fact, getting a present for my sister that year at Christmas.
- 2.94** As it turned out, I did get my sister a present at Christmas. I spent my hard-earned money. I got her something, she opened it, and she was not happy because it was coming from me. I was not happy because I had spent my money on her. So that was the situation, and that happens on a fairly regular basis, perhaps not as extremely as that.

- 2.95** Maybe you were at a work environment and someone who's in your work environment is retiring, but you didn't like that person. But nonetheless, your manager is coming around with the open box for contributions toward the gift for this person. You don't want to buy a gift for that person because you don't like that particular person. But nonetheless, you put some money in the thing.
- 2.96** How do we analyze that? Well, it feels like a sacrifice to me. I spent a dollar on my sister that year. I would rather have spent that dollar on something else. So the cost-benefit calculation is out of whack. Why am I doing it? Because it's an obligation. It's a duty, not something that's comporting with my— So that might be an example that fits into the altruistic, any duty gift, that you'd rather not spend the money, but for various social reasons, you feel you have to do so.
- 2.97** Predatory gift-giving is a more difficult one. That is to say, because you typically in a gift, give something that's valuable to another person. But in the case of a predation, it can't be that the value to that person is greater than the value that you get. The only example that I know of from real life is an example of a case where I knew a woman who was in an office job with a bunch of other people, and she was a colleague with another woman. It turns out there was a promotion that was on its way, and they were the two leading contenders for this promotion. One of them was going to get it. There was some office Christmas party, and everybody was going to the Christmas party.
- 2.98** Apparently, what this woman did was she bought gifts for everybody in the office, even though there wasn't an expectation that everybody was going to give gifts to each other. She made a point of buying a pretty nice gift for this other woman, who was her competitor for the promotion position. While everybody's around, everybody's just giving gifts to all these people. People are thinking, "Oh, she's a really nice person, a good work colleague," and so on.
- 2.99** She gives a gift to this person, and everyone knows that they are rivals for this position. The other woman opens the present, and it's something pretty nice. But then at that point, she has to say something like, "Oh, I didn't get anything for you." In that case, it might very well be that you say, "I'm thinking of this as an investment, that we are in a zero-sum situation. One of us is going to get their promotion, and maybe I will spend \$50 to get her a present, but that \$50 is more outweighed for me because she's more likely to look bad, therefore a little less likely to get the promotion. The promotion is worth a lot more than \$100 to me. So yeah, she gets this \$50 a thing, but it's going to cost her a lot more in the long run."
- 2.100** That's a bit of subtlety and some psychological and social manipulation that is going on there, but that strikes me as arguably something that would be predatory gift-giving, if it can work out.
- 2.101** Now, I want to come back in our final minutes here to this theme of entrepreneurship. We worked our way through, thinking more broadly speaking in our culture, as there

are cultures that encourage people to have their own visions, their own ideas, to show their own initiative and so forth in all of these domains of life. There are cultures and subcultures that do not do so. I want to drill down on the entrepreneur and business side of the equation after we've now spent some time talking about ethics, egoism, altruism, and predation.

- 2.102** What do we mean, specifically, when we talk about someone being an entrepreneur, and can we tie that to any of the moral character types? What I want to do is say, let's start with a businessy description of what it is to be an entrepreneur. Suppose we say, to be an ideal entrepreneur and be successful, what does that involve? The place it always starts is: someone has an idea. Typically, it's a new idea, or it's a creative idea, or it's an idea for some business that does not now exist but could come into existence. It starts there.
- 2.103** For entrepreneurship to happen, though, it can't just be that you have an idea; you also have to have a certain amount of ambition. There are lots of people who have ideas, but they're not particularly ambitious, so they don't do anything with their ideas. Chances are good, many of us have said, "Oh, that's a good idea. I should do something about that," but I don't get around to doing it. Then, five years later, somebody else did that, and I say, "Oh, I should have done that. I had that idea five years ago." It's got to be the idea plus the ambition to do something about it.
- 2.104** There's a cognitive trait, creativity, being able to work up an idea with a psychological trait that we're going to describe as ambition. Also, the ambition itself is not enough. A lot of people feel pretty ambitious inside their skin. "I really want to make something of myself. I want to do something." But they don't get off the chair and go do something about it.
- 2.105** If you ask why, it's because, they will say, "I'm afraid." In many of the debriefs with respect to people who thought they were going to be entrepreneurs who wanted to become entrepreneurs, but they didn't get around to it, they will say, "I was afraid of losing money. I was afraid of looking foolish. I was afraid of failing in some way." It's fear, fear, fear. So you have to have the idea and you have to have the ambition and you have to have the guts, to put it in colloquial language.
- 2.106** I like this quotation of Peter Drucker highlighting this point. He likes to say, "Every time you see a successful business, realize where it started. It started with courage." Because every business faces the option of courage. Someone had to have the courage to say, "I'm going to go for it."
- 2.107** But you have to have the guts, and you have to get up off the sofa, so to speak, and get out the door and start doing something. There are lots of people who are not particularly cowardly or fearful. They have some risk tolerance. They've got lots of ideas, but they don't have initiative. So the action step has to occur.

- 2.108** Almost all entrepreneurial ventures that become successful are not overnight successes. There's lots of effort over long periods of time, being able to stick with it for a long time, particularly if it's in an already complicated business environment. To do something genuinely new and innovative takes some perseverance. There are lots of people who will get up to the initiative point, but they hit some roadblocks, and they just give up the whole thing. The perseverance has to be there as well.
- 2.109** There has to be a willingness to adapt one's ideas to real-world feedback, building your prototype, trying the initial business model, the business thing and so forth. Almost no ideas, particularly in innovative contexts, work perfectly the first time. One has to be willing to take feedback—this is working, this is not working—and then make the adjustments. A lot of people stick to their guns. "I have this idea, and it's going to be this way and only this way." That pig-headedness then also will cause an entrepreneurial failure.
- 2.110** Almost all ventures reach a point where you know it's a good idea, you know that it's work, but it's still in the prototype stage. There's just a huge amount of grunt work that has to be done in order to get the product done and out the door. In my own way, I know I've got lots of writing projects that are 80% done or 84% done, but that final bit, I haven't gotten around to it. It always is a decision: "I'm going to go from 85% to 100%, and I'm going to grunt it out." Almost every significant project requires that bottom line commitment to productivity all the way through.
- 2.111** Entrepreneurs, again, almost always have to be leaders. If you are doing something new, you have to convince customers that this is worth their while. So you're leading them to your new product, to your new service. If you're hiring people as your business becomes more successful, then that requires a leadership position. You have to show them, teach them so that they can do whatever it is that your business is doing. Those character sets have to be in place as well.
- 2.112** And then finally, not quite finally, but also this willingness and ability to trade value for value. A lot of entrepreneurs will produce something valuable, but they are terrible at negotiation, and they end up out of business as a result of this stage, or they get taken advantage of by predatory people at this stage as well. Knowing what the value of your product is and being able to convince the consumer or the user of your product that it has that value, so that they get the value and you get the value, and you are both better off working all of that out.
- 2.113** Then, finally, being able to succeed and enjoy the success of your business. There's a phenomenon called the imposter syndrome that seems to be very common among entrepreneurs who make it successfully in many successful fields. Interestingly, women seem a little more susceptible to this than men. Not my area of expertise, but the data does seem to point to this. After you have been successful, being able to recognize that you did succeed, that you deserve your success, and you should be able to enjoy your success, that's another part of the classic overall entrepreneur success story.

- 2.114** The point is, I want to now say from the business side of it, since we've got a list of traits, and these traits are partly psychological traits, partly character traits, partly action-oriented traits. Sometimes they are habitual, sometimes they are ones that we need to think about explicitly and get ourselves to do so. We're all a work in process, but the entrepreneurs who are successful do all of those things in varying degrees and sometimes at varying times, and that is the textbook definition of success.
- 2.115** The point of all of this then is to say that if we think that an entrepreneurial culture, such as one that we have developed in the modern world, is a good culture—look at all the amazing stuff that has occurred, our longevity, all the entertainment that we have, the fact that we have less pain in our lives and so forth, the world is more exciting in many respects—then we have to say that those are the things that are the good things that should be identified in the business world, prized in the business world, and emphasized as part of our cultural training, teaching children how to be able to do all of those things so they can go off and be entrepreneurial in their lives.
- 2.116** The point of those is that when you identify a list in those explicit terms, very quickly, when you start talking to people who are philosophical and/or religious and/or intellectual about moral issues, they find that list very alien or they will find that list to be negative with respect to their moral evaluation. Instead of emphasizing initiative and wanting to be successful in your life, instead, what you will find is an emphasis on different concepts. I want to highlight these ones and talk through them in just a few minutes.
- 2.117** When you look at many historical codes of moral conduct and moral virtue and moral character, you will find this language, the one that I have put here on the left side. Conquest—your goal is to be the strongest conqueror you can be. Life is about conquest, and it's either conquer or be conquered. The best person, the best man, most of the case, is going to be the person who is the conqueror.
- 2.118** Power—particularly power over other people, to overpower them, to have them under your power, to make them do what you want to do, not necessarily what they want to do, is to be the best person. And that life is a hierarchy from top to bottom, and your goal is to get to the top of the hierarchy by any means necessary and stay there, recognizing that you are in a social world where everyone else is trying to claw their way to the top of the hierarchy, and you need to be able to defend yourself against those people as well. The best people are not the entrepreneurial description people. The best people are the most powerful top of the group conquerors.
- 2.119** By contrast, another moral code that has come down to us will emphasize none of those, but will emphasize duty, obligation, sacrifice, sharing, equality, and related concepts as well. That is an abstract set, but let me put some pictures to it. Prior to the modern world, if we say the thousand years in most of Western history—and there are analogs in all parts of the world: China, Japan, India, Africa, and so on—who is the best

person in those cultures? You would say, in some cases, "It's one of these two. These are the people we admire the most."

- 2.120** We admire the guys on the left because they're the most powerful. They're the ones who went to war. They overpowered other people. They conquered them. They took their stuff. In terms of their own social dismay, they are the ones who won the fights. They won the battles. They became the ones that everybody else looked up to fearfully and did what they were told to do. And then they institutionalized it in their societies: "I am the king, and I am the king who has the power, I'm at the top of the heap."
- 2.121** But what person do you have to be? It's not creative entrepreneurship and win-win trade, etc. It's a different set of character traits. This is bred into many cultures over thousands and thousands and thousands of years. Of course, it is still with us. It is one of the major competitors of the entrepreneurial ethical approach to life. It's the typical predatory code of life. But here it's valorized in a Samurai code or in a feudal code for the nobility, but the language is very different, and the practical implications are very different.
- 2.122** Or the opposite side might then be to say, "I'm not interested in money, I'm not interested in material prowess, I'm not interested in things physical. I am a selfless person. I serve others. I serve higher authority. I have no self." The point here is I fall on my knees to indicate my lower submissive position. I have no self. I am selfless. I am obedient, and so on.
- 2.123** In premodern cultures, there are many, again, both in the West and in the East, where they will say that these are the best human beings. These are the ones we should admire, strive to be, and if we can't ourselves become them, look up to them because they represent the best of what it is to be a moral person. But again, that's not an entrepreneurial approach to business life. It's also not a martial approach to business life and so on.
- 2.124** The entrepreneurial, what we might call the martial code or the Monkish code, they're historically mapping onto what we are now calling egoism, predation, and altruism. What's very interesting is, as we get into the modern world, since we are focusing here on business issues, that these two traditional codes had a very low, dismissive view of business, money-making, entrepreneurship, and so on.
- 2.125** If you are a warrior or you are the lady, the wife of a warrior, you will not be someone who works with his or her hands, who makes money. That's what the peasants do. That's what people in the lower orders do. You look down on them from your higher up position. And then to the extent that that code has carried on into the modern world, it is still with us. We say that there's something demeaning or lower about work, about money, about profit-seeking. It's a lower person.
- 2.126** And then by contrast, the same thing held with respect to the Monkish code, the purest of the pure monks would not work. Instead, they would travel around and they would

be offered charity from other people who were working. It was the idea that if I am a monk and I am forced to pay attention to my bodily needs and pay attention to business and money and so forth, I'm getting away from my spiritual calling, and my spiritual calling is a higher calling. It's about things that are more morally worthy than materialistic businessy money types of concerns in the real world. At the same time, I can't just commit suicide. I do have to attend to my bodily needs, but the expectation is that other people in society will do the work and they will support me as an act of charity.

2.127 Again, those attitudes come down to us, but they bring with them an attitude toward people who are committed to business, money, productivity, and so forth. We still have in our modern times a three-way debate. If one is interested in the history, this is a very interesting, recent book written by an economist, Deirdre McCloskey, called *Bourgeois Dignity*. Partly what she does is she is making the argument that we do live in very interesting times in terms of the modern world.

2.128 One of the important features was this moral revolution away from conquest and charity and being a monk or being a warrior as being the best life to people who are working in business in the early modern world, making things, trading with each other, engaging in finance, started to acquire some dignity, some moral status, rather than simply being the lower orders.

2.129 Part of her thesis is that what fed into the revolutions in the modern world was this revolution in moral thinking, a willingness to take people engaged in business as morally dignified. That spawns a whole lot of different cultural attitudes that feed into lots of other threads in the modern world. So this concept of the dignity of the bourgeois, that is to say, the people who are not merely city workers, but people who are engaged in business.

2.130 Then as that has evolved, it's evolved not as a simply, "I have some dignity if I'm a responsible, sober person who gets up and goes to work and supports my family and community," and so on, but as this more romantic, exotic code of being an entrepreneur as a lifestyle quest, also as continuous out of that code. So rather than conquest, rather than charity, rather than not working, and so on, these are the traits that are going to be emphasized. Okay, I'm going to pause there for now.

Lecture 3: Morals & Human Nature

At a glance — Morals and human nature, drawn from years teaching undergraduates.

- 3.1 As a Professor of philosophy, and for many years, I've been dealing with undergraduate students. One of the nice things about my university was that it was a smaller liberal arts-based institution, so smaller classes and students would regularly come to office. We'd get talking about not only the course, but life in general. I liked to ask them what they wanted to do with their lives.
- 3.2 They always spoke in a similar structural fashion about their lives because they were at an expensive private liberal arts college spending a lot of money. They were well aware of that, that they were doing so, but they saw it as an "investment" that was going to pay off. That language, I think, is important to moral philosophy or ethical framing of one's life.
- 3.3 They would be articulate about it. They would say, "Yes, I could have gotten a job and been earning a certain amount of money, but I think by spending this money and spending this time, it's going to pay off, and it's going to pay off in a few ways." It's going to pay off financially, the kind of job I will be able to get after I've invested in myself—I've acquired certain knowledge, I've acquired certain skill sets, certain character traits. I will be more marketable by the time I get out into the work world, and so I will make a lot more money.
- 3.4 But also, I'm well aware that I could make a certain amount of money, a good living, but I would be doing things that I don't necessarily want to do. I want to make good money doing something that I'm really into, perhaps something that I'm really passionate about. Maybe I'm 18 or 19 years old, I don't know what that is yet, but I'm here to find out what that is. I'm investing in myself psychologically, I'm investing in my character, I'm investing in myself financially.
- 3.5 The expectation is that by the time I graduate, then I will go out into the world and get a career, not just a job, a career that will make me good money, and I will enjoy doing so. Maybe [during] my time in university, I'm going to meet someone special, and we'll have a really good relationship, and maybe this will be the person I will marry after we are a little further along in our career because I do want to get married. I want to have kids. I think kids will make me really happy. I want to have a great romantic life, a great sex life. I want to travel the world. I want to have it all.
- 3.6 And that description of "this leads to this, which leads to this, and all of these other things" is a very egoistic way of thinking about one's life. It's common in the modern world to see that egoistic moral framework built into education, into parenting, and how we do education and higher education and into the workplace as well.

- 3.7** Now, what I want to do next, though, is turn systematically to the arguments for the other side. I want to say, "Egoism cannot be the right moral code," that either predation or altruism of some sort has to be the right way to approach one's life. Because part of the assumption of egoism is: I'm acting on my self-interest. I want to live it all. My 20-year-old undergraduate students said. I want to have all of these things, and I want it to all be good for me.
- 3.8** But built into that, though, for them is that to the extent they're dealing with other people in business, in friendship, raising children, and so forth, the kind of person they are and the value they are adding to those relationships is also going to be good for the other side of the relationship. So they don't see this in predatory terms, and they don't see it in self-sacrificing terms either. It's a thoroughly egoistic set of concepts.
- 3.9** The other sides want them to say that that cannot be realistically realized. Why might that be? Now, one of the classic stories that is always referenced in this context is to say, "If we are going to have a moral code as thoughtful people and say, 'I, as a thoughtful person, am going to commit my life to it,' that has to rely on a certain understanding of human nature." Because what we are saying is we are human beings. I am a human being. You are a human being.
- 3.10** The goals that we are setting for ourselves have to be realized as human beings, and they have to be good for human beings. If we are going to do some of these things individually and some of these things socially, they have to be socially realizable given that we are human beings. So what are human beings? And the other sides want to argue that egoism relies on an unrealistic understanding of human nature.
- 3.11** A story like the myth of Gyges—so it goes all the way back to Plato and before Plato to earlier thinkers, but the most famous version of it comes from Plato. What Plato tells is a story of a young man named Gyges, who lived in a village, and his job was to be a shepherd. So he would take all of the villagers' sheep out into the hills when the grasses grew at the end of the spring, and he would stay with the sheep all summer and into the fall while the sheep did sheep things. And then he would bring the sheep back into the village for the winter. So it was a very low-paying, very lonely job that Gyges had.
- 3.12** Now, as the story goes, one summer, Gyges is up in the hills with the sheep, and he's exploring some rocks and caves. And he's found in this cave that he had not explored before, a skeleton of an old person who had died, just right to the point where the skeleton was all that was left, all the flesh had desiccated. But on this skeleton, there was a ring, a very nice, well-made gold ring with a jewel on it that had remained on the finger of this skeleton. So Gyges—a little bit trepidation—but he reaches down, he takes the ring off of this skeleton, and he's admiring it, and he takes it out.
- 3.13** And then he puts it on to see how it looks on his finger, and it looks very nice. And then he starts to play, and he turns it so that the jewel is facing inwards. And then, when it

faces inwards, he becomes invisible. This is the myth part of the myth of Gyges, we think. But then, when he turns the stone so it's facing outwards again, he becomes visible. So he plays around with that and he realizes that he can become invisible anytime he wants, and he becomes visible anytime that he wants.

- 3.14** So question is, then, Plato asks: What does Gyges do next? And here we say, "Well, I don't know who Gyges is. He's just some guy." But Plato's point is going to be, "No, we know that Gyges is a human being. We know what human beings will do in this situation." And one thing that we know that Gyges will not do is to say, "Oh, this ring, invisibility ring, I'm going to put it back on the skeleton and leave the cave and pile up some rocks." No, he's not going to do that.
- 3.15** Instead, what Gyges does is what anybody would do in that situation. He takes the ring, forgets the sheep, goes back to the village. Then once he's in the village, over the course of the next week, it turns out that there are all of these thefts that start to occur all over the village, and all the villagers are completely mystified. "Somehow, the thing was just there, and it disappeared. I have no idea how this could possibly have happened."
- 3.16** So there's a crime wave of thefts that occur. And there's also a whole series of rapes that occur because Gyges didn't have any money, always smelled like a sheep. He wasn't around very much, so he had not had very much luck with the ladies, so to speak. But now, women end up being raped. And again, no idea how this is happening. And then some murders start to occur. Gyges probably had some enemies from childhood growing up, people he didn't like. And then, suddenly, some people ended up dead.
- 3.17** And then as the story goes on, Gyges carries on with this crime wave all the way up to the top of ancient Greek society, ends up killing the king, taking the queen to his own bed, becoming the king himself, and he becomes ultimately the most powerful guy in the kingdom.
- 3.18** So that's the story, that's the myth, and now we get all philosophical about this story. Do you find yourself saying, "Oh, come on, no way. Nobody would do that. That's not realistic." Or do you find yourself saying, "Sure, most people would do that." If they had an invisibility ring, they could do whatever they want. They would just steal whatever they want. They would rape whomever they want. They would just kill whomever they want. That's human nature.
- 3.19** Now, we might not want to go quite that far, but we would have to say, "I would want to do whatever it is that I want to do." And then the question is: What do I want to do, and what do human beings want to do, as a result of being human beings such that if they had the power to do whatever they wanted, that is what they would do? That then is to say, what we have to do is figure out what are human desires. What is it to be a human? What are our top values and where do those top values come from?

- 3.20** In this case, the ring, the magic ring, is a metaphor. It's a metaphor for power. The ring gives you power to do whatever you want. Now we have a new philosophymathematics formula: If you take human desires, whatever those are, add power, what's the result going to be? The myth of Gyges is meant to be a very pessimistic, dark account of how that equation works out. This is the result: Gyges steals, he rapes, and he murders. Those are the consequences, so to speak. And the actions that led to that are him being able to be invisible. And then behind that, he has certain intents. And those intents are driven by his human nature's desires.
- 3.21** So how would we flesh this out? Well, we would say human beings want stuff, they want sex, they get angry, they want certain people to be dead. That's just human nature. So if you have the power, you're going to act on the basis of that.
- 3.22** Now, that's an ancient Greek story—very pessimistic about human nature. We naturally are perfectly fine with stealing and murdering if we can get away with it. The reason why we don't do those things more is typically because we don't have the power. We are afraid that we would get caught by other, more powerful people. It's not because we're morally good and cooperative and beneficial and so on. Instead, we are naturally adversarial with respect to each other.
- 3.23** Now, this Greek story interestingly, has parallels with another set of stories from another part of the ancient world, further east. You keep going across the Mediterranean in the eastward direction, then you get to what we now call the Middle East, you get to the country of Israel, Jordan, and that territory as well. And some ancient myths that come out of that story are the stories that come out of Genesis.
- 3.24** So we tell the story of God—creates the world, puts Adam and then Eve in the Garden of Eden and everything is great and wonderful. And then God goes away for a while with one simple instruction that he's left to Eve, "Don't eat anything from the tree of the knowledge of good and evil, over here." And as soon as God turns his back, metaphorically speaking, what does Eve do? She steals the fruit from the tree. So it's an act of theft. It's an act of disobedience. And then the story carries on.
- 3.25** Adam and Eve had some children, two boys—Cain and Abel. And what's the story about the relationship between these two boys? Is it all brotherly love and affection? "Let's help each other out," Cain and Abel. No, it's envy and murder, is the important story here. And then the story in Genesis carries on. The other generations, there's a lot more, of stealing, and murder, and raping, and humiliations and all sorts of terrible stuff goes on.
- 3.26** Until, according to the story, human beings have totally polluted the world, morally speaking, and then God comes along in a generation of Noah and says, "Human beings are so awful, and given what they're doing, I'm just going to have to wipe them all out and we're going to try again. See if we can have a start over." So notice, again, we have: theft, murder, and rape are built into the stories of Genesis. Eve steals, Cain murders,

all of the sexual transgressions with respect to each other in various other's stories as well.

- 3.27** And what the myth of Gyges and the myths in Genesis are telling us is a certain account of human nature. They say what's fundamental to human nature, and any moral reflection has to start with a realistic understanding of what the raw material of ethics is going to be. Now, this carries on into the modern world. There have been lots of people who have had very pessimistic stories about what it is to be a human being, but I want to try to bring us up into the modern world.
- 3.28** So here is Sigmund Freud, who doesn't believe in the Greek gods. He doesn't believe in the Judeo-Christian God either. He is an atheist, but he has the exact same secular understanding of what it is to be a human being. Here's a quotation from his *Civilization and Its Discontents*, published in 1930 between World War I and between World War II. Partly what Freud is doing in the 1920s is reflecting on what had happened in World War I. What happened in World War I was all of these allegedly civilized nations around the world started killing and slaughtering each other by the millions. What explains all of this?
- 3.29** This is Freud's explanation as a psychologist and a materialist-based psychologist of the human nature that we are dealing with as serious moral philosophers. The quote goes like this, "I feel that the irrational forces in man's nature are so strong, that the rational forces have little chance of success against them. Every individual is virtually an enemy of civilization."
- 3.30** What we then have now coming down into the modern world is not just very powerful Greek myths from Plato, very powerful religious myths coming from the Judeo-Christian tradition, the most famous psychologist in the 20th century, with a certain account of human nature. What's it going to sound like from any of those traditions if you say, "Oh, no, what we want you humans to do is to pursue your dreams. Do what you really feel like. Life is an adventure. We're going to give you lots of freedom and encourage your entrepreneurial aspirations." From this perspective, that egoistic entrepreneurial understanding of life sounds just like a nonstarter, and it's setting things up for danger.
- 3.31** Carrying on from Freud, it's the exact same work. "Men,"— he's using men generically here, women also are included—"are not gentle creatures who want to be loved; they are, on the contrary, creatures among whose instinctual endowments is to be reckoned a powerful share of aggressiveness. As a result, their neighbor is for them not only a potential helper or sexual object, but also someone who tempts them to satisfy their aggressiveness on him, to exploit his capacity for work without compensation, to use him sexually without his consent, to seize his possessions, to humiliate him, to cause him pain, to torture and kill him."

- 3.32 That's Freudian human nature. We don't want love, we don't want affection. We might want it from other people, but we don't want to do that with respect to other people. We want the opposite. And notice the list is very similar here. To get someone to work without compensation, well, that is either to steal from the person or to make that person a slave, that's what we want. Not business partners, traders, and mutually beneficial transactions. "Use people sexually without his consent?" Yeah, we don't want love and romance. We want rape. We don't want friendship. We want to humiliate people and to cause other people pain. We like to see them suffer. That's what human beings are.
- 3.33 Now, of course, Freud will recognize that a lot of us have been educated by people who are trying to be nice, and they will tell us stories about what's possible, and they might cause us to drive our underlying human nature underground, so to speak, to repress and suppress all kinds of bad things in human nature. But it's there. It's always there, and it's just waiting for a moment to come out. It's instinctual; you can't change underlying instinctual human nature.
- 3.34 And for its explanation, it is even by the 20th century, despite all of the years of moral training and political training and cultural education and so forth, we haven't done a very good job of it. Recently, World War I is a very good example of that. "In spite of every effort, these endeavors of civilization have not so far achieved very much." And so a strongly pessimistic account, that people then cannot be given too much freedom, too much encouragement, too much suggestion, that whatever it is that they desire, what their dreams are, they should go for it. That we need instead a different approach to morals and a different approach to politics. So this is Freud's list: We naturally want to steal, rape, enslave, humiliate, and murder people. That's the raw material that we are dealing with.
- 3.35 Now, I want to put all of this now into the beginnings of a flow chart. What this side of the argument is saying is that human nature is, by its nature, fundamentally destructive. I should say "not constructive." It is basically conflictual, not cooperative. The fundamental thing we need to grapple with and deal with first is the destructiveness of human nature. Self-destructiveness, but certainly all of the social destructiveness because of all of the desires that Gyges has. He's a young guy. Of course, he wants sex with women. Of course, he wants more money. Of course, he wants more power. That's what it is to be a guy. That's always going to be there.
- 3.36 We have to figure out how we can have an ethics that will help Gyges deal with the kind of being that he is—and hopefully a social ethics, so that since we're all the same, we can all get along with each other, at least minimally, so we can have a kind of society.
- 3.37 But that then is to say there's a strong implication. If human nature, by its nature, tends to the destructive, then that means the most fundamental social factor is that we are in a conflict situation. Conflict is fundamental to human beings, and that conflict is zero-

sum, or win-lose. Human nature: destructive. Our social circumstance: zero-sum conflict. That's fundamental.

- 3.38** Now, that's a problem. This is a problem then that moral philosophy has to set itself to solve. Now, we might then say, well, we have a couple of options. One is we can try to change human nature. That means we maybe inside and re-engineer the biological or get inside the psychology and re-engineer the psychology. So that would be a possibility.
- 3.39** The other is if we can't get inside the human being, then we need some external constraints or suggestions or conditions that are going to massage or manage this unchangeable, destructive human nature. And in this tradition, that's where ethics comes in. Ethics is to try to manage an unchangeable human nature. Because you can't change human nature, this one wants to argue.
- 3.40** What we might then do is from the beginning have an ethic that says, look, if the human self is driven by greed—we want stuff, that's part of human nature, that's our basic desire. If it's a desire to want sex, sexual pleasure, but the greed leads to all of this conflict, the desire for sexual pleasure leads to all of this conflict—this need for status leads to all of this social conflict. But all of those are self-seeking values, self-seeking desires. "I want more money, I want more sex, I want more power. It's all about me, me, me." And the assumption is that "me, me, me" is in conflict with your doing the exact same thing, your "me, me, me."
- 3.41** And so what we have to do is start from the back and say the "me," and the "me" emphasis is the problem. It's the problem of the self. And so rather than an ethic that says self-interest is good, we have to go to war against the self from the beginning and encourage people to be self"less," to think less of themselves. So that in a social context, to the extent that we can get people to sacrifice what they really want to do, to set that aside, to submerge it, then it opens up the possibility that they will be able to get along with each other in some social way, at least for a short period of time.
- 3.42** If we are going to have any measure of social cooperation, the self needs to be submerged or sacrificed. And it requires sacrifice because our instincts or our desires, they want satisfaction. They want satisfaction, typically "now." It hurts when you don't get your desires satisfied—it's frustrating. So you have to endure that as a cost, and the cost is going to be for the benefit of other people, so that society can carry on in some way.
- 3.43** So what we will then need is an ethical code that systematically identifies every problem in human nature, and the self-interests and actions that are conflictual that follow from that, and set up a virtue that we try to teach young people from the very beginning that counterposes their natural self-seeking desires.
- 3.44** If we say, for example, it's part of human nature to be greedy, and we don't think we can change human nature. People are going to be greedy. That's the way it's going to

be. But greed is going to lead to people stealing from each other whenever they think they can get away with it. That's the myth of Gyges. Or that's what Eve did as soon as God wasn't watching and so on.

- 3.45** Then, since God isn't going to be watching necessarily all the time, and since we can't be watching Gyges and other people all of the time, we want people to be monitoring themselves. So what we do from day one is we teach them that greed is a bad thing. Get them to believe to some extent that greed is not good. That even though they want it, they should try to suppress it whenever they can. And maybe we will go to the other extent and say, rather than being a greedy, self-interested person, the best person is going to be someone who is not at all greedy. The ideal would be someone who has no greed whatsoever.
- 3.46** We're not going to say that's very realistic because we have a certain understanding of human nature, but we will pose it as an ideal. Strive to be anti-materialistic. Strive not to be interested in money. Try to give up the desire for wealth as much as possible. Then if we have people who are representatives of our moral tradition—who are taking a vow of poverty—uphold those people as your ideals and teach young people, try to be like that person as much as you possibly can.
- 3.47** Now, what that will then do is mean you will have a psychological moral code that people will believe in in various degrees, but it will act as a natural break or a retardant against the problematic self-interested human nature that you are dealing with. Now, we might try the same thing with respect to lust. Not going to change human nature—we all like sex, we want sex. But if we think lust is antisocial, is going to lead to rape, and all kinds of—even if not as extreme as rape—all kinds of bad sexual behaviors and so forth, we can't change that. But what we can do is teach people a moral code that makes them feel guilty about their sexuality, makes them feel that that's not something they should be celebrating, prizing, let out too much and so forth. Again, we might say, here are the representatives of our moral tradition who are the best people, and they have found a way to give up their sexual desire as much as possible.
- 3.48** Now, we might not believe, again, that this is very realistic for the vast majority of the population, but it will lead them to regulate themselves and to try to suppress their sexual desires on a more regular basis, and that will open up more space. Or if we think people want power, that's the problem, and that's going to lead to all kinds of terrible social and political consequences, including enslavement and so forth, then we will praise people who are meek and strive for meekness. And the same thing if we think people really are sadistic and like to torment each other, like to humiliate other people, well, teach them that humility for themselves is a virtue.
- 3.49** And the point of all of these things then is to say that your moral code—the traits that you are going to valorize and encourage and design your parenting and your education system, and sometimes your political systems in terms of—those are all seen as being at war with your underlying human nature. We're not going to change human nature

once again, and we're also not going to realize these. Instead, what we will end up doing is muddling along somewhere in the middle, and that's the best that we can do. It's morality, selfless sacrificing morality, versus human nature, and that's our operation.

- 3.50 What will this mean when we turn from human beings in all of the things that they are doing to business in particular? What we want to do then is say business is about greed. It's about money-making. From our perspective, if we are pessimistic about human nature, from the get-go, that is setting human beings up for antisocial behavior in the business world. We will expect that to the extent that people are acting on their greed, they're acting on their desire for money, they're acting on their desire for social advancement in the business sector, they're going to be doing so the way Gyges did it, the way Eve did it, the way Cain did it.
- 3.51 And so what we need to do is have a business moral code that will make them feel guilty about that and more likely to suppress it. And then to the extent that we turn away from business ethics and go to business politics, we will have a whole bunch of regulations that will be designed exactly to counter what we take to be the unsavory but unchangeable parts of human nature.
- 3.52 If we think that money-making desire, we call that greed, we get people to feel bad about greed. If we think people having a certain amount of money means that they're going to start feeling really good about themselves, people who start to feel really good about themselves do so by putting other people down, and people who don't have as much money, they don't like people who have more money. It's going to be human nature for them to envy and start to hate those sorts of people.
- 3.53 Then that pessimism about human nature is then going to say, "Well, we can't really have a society where there are inequalities of wealth." So the way of solving that will be anytime someone has more than his or her neighbor, we redistribute the wealth in some way so people are on a more equalized basis. So the redistribution might be well.
- 3.54 Or we will just have in our moral vocabulary language that discourages people from being ambitious or saying, "Yeah, I want to be a millionaire or I want to be a billionaire." That's not something you would say in polite company, because then you're nakedly expressing your ambition. But all of those are things that we are worried about institutionally.
- 3.55 Now, again, the moral philosophers in this tradition: we mentioned Freud as a psychologist, we mentioned the Judeo-Christian which has some contributions here, some strands of Greek thought that have had their contributions here as well. I wanted to mention Fichte here because he is in the philosophy of education and in the history of education, probably the philosopher who has been the most influential whom almost nobody has ever heard of. He is the one in the early 1800s in Germany that transformed, more than anyone else, German education.

- 3.56** After the Germans had been defeated by the French and it was under Napoleon, it was a great source of national humiliation, that the Germans decided to get together and reform a number of their institutions, including their educational institutions, to train people in a certain direction. We do know that Germany, as a rising nation in the 1800s, accomplished many important and impressive things in all branches of knowledge and literature, but it also had a certain moral culture and a certain political culture that was extraordinarily timely. Fichte, more than anyone else, is the philosopher who accomplished that philosophy of education. He became a professor at the University of Berlin and eventually the head of the University of Berlin, which was one of the more prestigious institutions in that tradition.
- 3.57** But he was a moral philosopher, and this is the foundation of this moral philosophy: If we are going to get against the decadence, as he sees it, of the West—all of that self-seeking and money-making and all of those greedy capitalists and so forth— the German moral character is going to be the one that saves us, and we're going to transform our moral education to breed and develop citizens in a certain direction, all based on a certain moral code. And this is the essence of it.
- 3.58** "There's only one virtue—to forget one's own person, and only one vice—to think of oneself." So this is a strong ethic of selflessness all of the way down. Self-interest is completely out, including the entire category. You are a servant of society as a whole to be molded and shaped and used—in this case, as German society sees it. He was a contemporary of Schopenhauer, whom we quoted earlier, an older contemporary of Comte over in France, whom we quoted earlier as well. So some giants on the landscape advocating altruism, selflessness, self-sacrifice, explicitly opposed to any entrepreneurial or egoistic code of ethics down into the modern world.
- 3.59** And again, a sideways commercial advertisement here. We have an entire course on important developments in the Philosophy of Education. So if we want to know more about Fichte, where he was coming from and his influence, I would recommend that course.
- 3.60** One sideways point is that in the American context, what came to be very important was as America was developing, and it recognized that it was still in the 1800s a second-tier nation, particularly in terms of culture and intellectual life, the common pattern came to be for intellectually ambitious young people to go to Europe to study. But starting in the middle part of the 1800s, they didn't go to London and Paris as much as they started to go to Germany. And so what was going on in German philosophy, German educational circles in the 19th century, became very important as those people came back and started to shape significantly the direction of American public education. So the philosophical story and the moral story is very important here.
- 3.61** Now, all of this takes us into some very deep territory. We're interested in business and leadership and entrepreneurship. But if we're going to be a business leader, then we're saying, "Well, I'm dealing with human beings, including myself, a whole team of them."

What is my raw material, so to speak? I have 1,000 people. Who are they? What can I expect of them? What is their character? What are their drives? What do they want? How can I get them to work together with each other?"

- 3.62** To the extent that I am a philosophical leader, I will have to have a certain theory of human nature. Because this is human beings that I am managing. It's not chimpanzees. I'm not a cowboy with a thousand cows. I'm a human being leading a thousand human beings, and I need to have a well-worked-out psychological, moral, and hopefully a realistic theory of human nature to base all of that upon.
- 3.63** Now, in this case, what we have is a dual opposition between moral codes that say, "Start with yourself, figuring out what you need to survive and flourish, work on yourself." The ultimate aspiration in that code is to say, "Develop yourself into an entrepreneur." So you have your own ideas, your own goals, and you become self-responsible, and we tell that whole story. But that is a certain understanding of what it is to be a human being and what a human being's natural goals are.
- 3.64** Now we have an opposite moral code that says, "No, that's not a good understanding of a human being." Human beings are creatures that have these drives. Maybe they are instinctual. Maybe they're somewhere in the soul; there's an evil sinfulness that is always going to come out in the soul. But we have a much darker understanding of human beings. What we don't want to do is cultivate that and empower human beings so they can go out and achieve their dreams; we want to stifle that and control that and contain that. And so our ethical codes are going to be very different as a result of those understandings of human beings.
- 3.65** If we put it in terms of a serious question: What is it to be naturally acting according to your human being, whatever it is as your human being? Is it natural for us to be creatures who want to make things, to do our own things our own way, to be self-reliant, to trade with other people? If we start with little kids, we start maybe doing some experiments, and maybe the child development becomes very important here.
- 3.66** We take the way this side of the equation likes to think: take little kids to the beach and watch what they do. Or put little kids in a sandbox with some toys and watch what they do. That's human nature in action. Almost always all the world over, you take little kids to the beach and they start making stuff. They make little sand castles, they make trenches, and they have their own ideas and they're experimenting. It might be then we're naturally makers and we are productive makers.
- 3.67** Maybe we might then say, "Well, that's just one kid. What if we add two kids into the mix?" Of course, once in a while, they're going to squabble with each other and have different ideas, but they're going to work it out, and they're going to start working together with each other. They'll say, "Well, that's a really cool idea, and I'm going to try to do that," or, "Can I help you with that?" That's going to be one story that we can tell about what human nature is, and it's going to be a much more optimistic story.

- 3.68** Or we might say, no, the more realistic story about kids is— I'm going on direct reflection, but you probably have similar stories here—well, you go to a beach and you see there's a family over there and there's a little girl. When I'm remembering, she was about 5 years old and she was making a little sandcastle and another little sandcastle, another little sandcastle. She had this little network of sandcastles going on there, and a little trench that ran down to the sea, just like a million kids all over the world do on a regular basis.
- 3.69** But socially, we add the little brother because the little brother was swimming over here and he came out of the water. He started walking over and he saw what his little sister was doing. The little brother was about 8 or 9 or 10 years old. You might be able to predict where this story is going because I was sitting there as he walked across my field of vision—as soon as he saw the sandcastles, I saw the change in his eyes and it became more predatory. His gait started to get a little stiffer and he was walking over and he was quite ready, and he did— walked over and he stomped on his little sister's sand castles.
- 3.70** That's another story we can tell about human nature. We say, "Well, is that natural?" You see somebody else has made something and you're in rivalry with it. What you want to do is you want to cause that person to feel a little pain and discomfort. He likes the fact that his little sister is crying as a result of this because that's also human nature. Is this human nature the one story or is human nature the other story? We have to have that in so far if you scale it up to human beings, adult human beings in a larger context, if we're going to be realistic in our organizations.
- 3.71** Now, that also, though, is just to focus on one set of human nature questions. What is the underlying material, the raw material? Is it the case that that raw material is set? Then we start to talk about language of instincts and habitual behaviors. The assumption then is whatever the raw material is, it cannot be changed or altered or that it can't evolve over time. Or is it the case that wherever this raw material is that human beings start with is much more neutral and or it's much more malleable— the choices we make as we grow up or the experiences, the parenting, the education that we experience, alters that human nature.
- 3.72** It might be that human nature is fixed and it's just going to go where it's going to go, develop into whatever it's going to be, or it might be that it's something that's much more malleable at the outset, a mixture of good, bad, and different desires, social and antisocial desires, but all of those are themselves flexible and evolving over time. Again, that understanding of the technology of the self is going to be important for working out our full theory as well.
- 3.73** This then means that we have to, even as moral philosophers who are interested in figuring out how to build optimal business organizations that we are hopefully going to be the leaders of, perhaps we already are the leaders of, have to, as moral philosophers, go back and have a good theory of human nature. That means we also

need to be good biologists. We also need to be good psychologists because all of these desires, whether we're talking about greed and lust or the desire to destroy or the desire to make things, all of those are going to be things that are sorted out by a biological and psychological worked-out science.

- 3.74** Now, when we come back, having done all of our business, almost always what we find then is these are the sort of catch phrases or single language formulations, when people will say, "Here's my understanding of human beings, biologically and psychologically." "Here's my moral philosophy." "This is essentially what business is about.
- 3.75** Some are absolutely convinced that human beings are naturally positive by nature. Or if you have people who like to destroy other people's products, and they would rather rape than have a romantic sex life, there's something wrong with those people. That's not human nature. Human beings are makers, they are productive, they are cooperative. And so we should, first and foremost, understand business as an arena of social cooperation and design our institutions and our policies on the basis of that as the assumption.
- 3.76** Others, by contrast, are equally thoughtful and convinced, though, that business is an arena of predation. It's dog-eat-dog, as the language says, the script. It's a little bit unfair to dogs because I think, naturally, they don't very often do that unless there's something wrong with them or they are starving. But we know what the metaphor is meant to be: that human beings really are just like a predatory animal, like a dog, we're just more sophisticated and more clever about it. And so we have to understand the business arena fundamentally as a zero-sum transaction. Maybe there's a little cooperation along the way, but basically it is not.
- 3.77** And the third, which is the one to say, "What we want to try to do is avoid business as much as we possibly can, not to participate in it in itself because we think it's a morally polluting enterprise." It may be a certain amount of necessity in our lives that we have to make and produce and be consumers and so forth, but we don't want to make that the focus of our lives. Also, broadly speaking, in our culture, we don't want to have business dominating the cultural landscape too much. We want to have the nonprofit sector, as we might describe it, or the government sector be the dominant sectors in society, not the business sector. And that's a long way of getting to the same conclusions.
- 3.78** Emphasize this phrase just for a couple of minutes. It's one of the very interesting tags that has a certain rhetoric that is built into it. One of the fundamental traits about human beings seems to be that when they have been successful, they'd like to engage in wealth transfers to people who have not been as successful as they have been. I'm using that big, long set of words to describe something that we have shorter words for, but partly because the shorter words themselves often have philosophical assumptions that are built into them.

- 3.79** For example, if I am a successful person and I say, "Okay, I've achieved all of my financial goals. I've got way more money than I know what to do with. I'm going to give a million dollars to some individuals or some organizations over here." How do I label that? There are different moral traditions that have given the interpretation.
- 3.80** One moral tradition is to say that I am engaging in the act of "philanthropy." If you break that language down, the philos goes back to the Greek and anthropos goes back to the Greek. To say that what you are doing is philos, which is love and anthropos, mankind. You are doing this out of love of mankind. And so that then is to say I care about other people, and since I've been very successful, I want to share my success with other people, and hopefully my money will be an investment that will enable these other people to become successful in their own right, and then that also will be a source of pleasure for me. So I'm giving up a million dollars, but it is seen as an investment society and in other people that is also beneficial to me, and that's a philanthropic understanding of what it is.
- 3.81** The other language that we often use to describe that same wealth transfer is the language of "charity." Charity comes out of a different moral tradition, which will be to say, if you have more than you need, and there are other people who have needs, the question is not whether they are a good investment—the question is not whether you love that other person or love that organization—the question is: Do you not see yourself as having an obligation to other people that even if you could use that million dollars for something else better in your life, you have an obligation of care or an obligation to do so, whether you want to do so or not?
- 3.82** The same action would be described from a more egoistic way versus a more altruistic way. That's a matter, of course, of etymology, and sometimes the etymology is blurred over history, but it is there. This is one of those phrases that has become a part of recent business culture, almost always involving very successful people who then will donate significant amounts of money to various other kinds of organizations. The phrase that they will often use when other people want to praise them for doing so is a deflection or a diffusing of the praise. And they will say, "Well, I'm just giving back." And if you notice from the tone of voice that I use, it's a flattening, and I am "just" giving back.
- 3.83** But then if we think about what's built into the phrase here, it's not that I am "giving" a million dollars. If I say I am giving a million dollars, then I'm saying, "I had this million dollars, and how did I get that million dollars?" If I think that I earned that million dollars, and this is my million dollars, I have earned it, but now I am choosing to give some of that money to you. And my other motivations, we're going to set that aside for a moment.
- 3.84** But if I add the "back" word to this, "I am giving 'back.'" Well, that builds into it an assumption that you have taken in the first place. We take something, and then we give it back. So the assumption then in this case is if I am giving a million dollars to this

group or these individuals over here, but I'm giving it back, then in some sense, I have taken it from them in the first place. And what that then means is that perhaps my taking is morally suspect in the first place.

- 3.85** And if it is morally suspect, then I should not get any praise for simply rightfully returning something that I took in the first place. And it also means that I should not then be given praise for my philanthropy, that I'm doing this out of love instead of just doing something that is right, that I have an obligation to do so.
- 3.86** For example, if you and I are neighbors and I need to cut my lawn and I go over into your garage and I take your lawnmower because maybe mine's not working and I mow my lawn, and then I say, "Well, now I'm going to give the lawnmower back." I'm not giving you a lawnmower, I'm giving a lawnmower back. You would not in that say, "Oh, thank you for giving my lawnmower back." You might say that a little bit sarcastically, but all I'm doing is I'm just returning something that rightfully belongs to you. The point of all of this is that all of this language has a lot of moral history, moral psychology, that is built into it rather tightly.
- 3.87** A new story for you to consider. One way of doing ethics is to sort out the principles that are involved. We do an analysis of intent, consequences, and the kinds of actions that are involved. We realize that we have to make certain assumptions about human nature in order to realize certain ethical traditions, whether we're more predatory, whether we're more cooperative or not. And in both cases, we go inside the human being. We start thinking about human biology and human biology as the raw material that are going to be our ethical agents.
- 3.88** Now, another approach to moral philosophy wants to say that that should be deemphasized. It's not primarily an issue of what human nature is, but rather it is our social circumstances or our environmental circumstances. That people are creatures of society or they are creatures of their condition. And what we call human nature is much more malleable in that sense. And it's going to be social circumstance that is the primary driver of moral philosophy.
- 3.89** And one of these approaches also is rather hostile to the egoist entrepreneurial approach to moral philosophy, arguing that it is based on an unsustainable or unrealistic understanding of what our social and/or environmental circumstances are.
- 3.90** One way of introducing this is by means of a lifeboat scenario. Now, there are realistic lifeboat scenarios where boats have gone down or airplanes have crashed into the ocean and people find themselves, they don't know where, but they're on a lifeboat with a certain number of other people. But these can also be done in stylized form. What I want to do now is introduce a stylized form of the lifeboat scenario, but using it as an allegory or a metaphor for thinking about more abstract and complicated issues.
- 3.91** So, lifeboat scenario—try to keep it in the 21st century. Suppose that you were on an airplane and you were flying across the Pacific Ocean from North America, say, to

Australia. And there was a terrible storm that knocked out the plane's communication technology. So the plane is now out of communication with the rest of the world. And also the pilots have started to deviate from the planned course in order to avoid the worst of the storm. And so you've been flying for a couple of hours and you don't know where you are and nobody else in the world knows where you are.

- 3.92** But finally another bad thing happens to the plane and it crashes into the ocean. But fortunately, you were listening to the instructions at the beginning of the flight and you know what to do. And you find yourself out in the sea and there is a lifeboat that materializes and you clamber into the lifeboat, and you see there's a certain number of other people in the lifeboat who have managed to get there as well. For this story to work in this 21st century context, imagine that your cell phones don't work anymore. The saltwater destroyed them.
- 3.93** And so the situation is you are on a lifeboat, I'm going to say, with five other people. There are six of you on a relatively small lifeboat. There's no room for any more people to sit there. And what do you do? You don't know where you are. Nobody knows where you are. You know that you're somewhere out in the middle of the Pacific Ocean, which is the biggest ocean in the world, and chances are you're not likely to be rescued.
- 3.94** Now, you know, though, that these lifeboats come with a certain amount of water and food packs. There's always a little container at the back that has a certain number of them. You know that this lifeboat holds six people, so it's probably designed for six people, so it probably has food and water in that little container at the back for keeping six people alive for a day or two until rescue can occur. That's what you know is the maximum.
- 3.95** What do you do? One thing you might do, if you're a quick thinker, is say, "I need to engage in a preemptive strike." I don't think it's very realistic that we are going to be rescued. Nobody knows where we are. I don't know where we are. There's only a certain amount of food and water here, and there's five other people. I also see there are some other people swimming around the ocean who have spotted us, and they are coming toward our boat right here. It's time for some rather urgent action. I might be neighbors with respect to you, and I would say, "Is that a shark in the water over there?" And you stupidly, turn your head to look to see if the shark is there, and "poom" I tip you over.
- 3.96** Okay, one down, four more to go. What happens next? Well, you guys are not stupid. You say, "Oh, that's the game we are playing." Then very quickly, we are trying to shove each other out of the lifeboat. At the end of that, chances are good there will be one person left in the lifeboat, or there might be two people left in the lifeboat, but they're both damaged as a result of all of the fighting.
- 3.97** But what's the abstracted consequence here? In this free-for-all of the preemptive strike, what's going to happen is the weakest people will die. They will die quickly, and

the strongest will survive. It might be that by strength, we mean intellectual strength. Someone has sized up the situation quickly, came up with a plan quickly, acted on that plan quickly. It might be a matter of muscular strength as we get into grappling with each other, who can throw each other out and who cannot do so. But however we have defined it, the weak are going to die, the strong are going to survive, and whether it's one or two or whatever. So that's a possibility.

3.98 And what we have done is enacted a moral philosophy. If we want to elevate this to moral philosophy, that's clearly aligned with predation, that we are thinking in predatory terms. It's me versus you. Someone's going to gain, someone is going to lose, but I'm interested in my self-interest, and so it's going to be me and not you.

3.99 Now, that's one possibility in the lifeboat scenario. But suppose I say, look, I'm just a philosopher, and I'm not necessarily super fit right now. These younger guys, I might be a little bit worried about them. I don't want to get into physical stuff with them. I might say, "Wait, let's stop. Let's talk about it. Don't do anything too quickly." Maybe what we should consider is: there's the six of us, we have this amount of food and water, let's share all of that equally. Everybody will get some water, everybody will get some food. I might use language like, "Isn't that fair?" "Isn't that equal?" We're respecting everybody equally as a human being, and that has a certain moral cachet to it.

3.100 Okay, so then we talk this idea over, and what is our likely conclusion going to be? Well, that's not really a very good idea because six people, we'll eat all the food and water—it's not very much. We're going to be without food and water; we're all probably just then going to die. That seems reasonable. How long can we go without water? Not very long. How long is it until we're going to be rescued? Maybe never. Who knows?

3.101 So suppose we say, "Let's not share everything." What we really need to do is to say, look, not everybody is going to make it. That's the situation. There's not enough food to go around. There's not enough water to go around. Pacific is a big ocean, but there are islands out there. Maybe what we should do is figure out who has the best chance of surviving and concentrate all the resources on that person, or those people, and distribute the resources that way.

3.102 What we need to do is sort people. We might say, does anybody have any navigation skills? Somebody might put their hand up and say, oh, that person's an asset, the rest don't have any navigation skills. They have knowledge. Do you have any knowledge about the map where we're going? Prevailing currents, winds. So knowledge might be an asset. So we have some people who know more, some people who know less.

3.103 Suppose one of us—so we'll name names, says, "Oh, this is terrible. We're all going to die!" It's just a complete emotional meltdown in this circumstance. Well, you've got to be tough in this circumstance. This person doesn't have the toughness. That would be a weakness in that circumstance. Maybe we might say, look, one of us is 80 years old. The rest are 20s, 30s, 40s. We might say in the plane crash, one of the young people,

though, broke both legs. Maybe one of the older people is still a triathlete—very good, vigorous physical condition. But this person broke their legs and so on.

- 3.104** What we then might do is I try to identify all of the relevant sorting capacities and divide people into stronger and weaker in each of those categories and come up with some calculus about, say, can we identify—here we've got a certain amount of food and water—if we choose two people with that amount of food and water, they can maybe last two weeks. In two weeks, they might have a really good chance of being rescued. As for the other four, sorry, but that's life. Sometimes, sacrifice is necessary, and we might ask them to be a little bit selfless in this overall circumstance. And notice the language that we're starting to put out here.
- 3.105** Now, if we go with this sorting method, then quite forthrightly, we are saying the weak people are going to die, and the strongest people, there's not going to be a guarantee, but we're going to maximize their chance of survival. And that is the best thing to do in this circumstance. Predation, if I just start offing people or trying to throw them out of the boat, that might not maximize because we all might get injured in that circumstance. Or we might end up throwing over the boat somebody who really had a much better chance of surviving than the rest. We don't want to go the equally share, even though we'd like to be equal in sharing and so forth. But we don't want to do something that's going to kill all of us in four or five days. They said, this gives some of us a chance of surviving so this is the rational thing to do; it's the moral thing to do.
- 3.106** Now we generalize. If we think of the lifeboat as a metaphor—there are real lifeboat circumstances—but for many approaches to moral philosophy, they will say, "The way we need to think about ethics is in terms of not human nature, but the resources that humans need." We are in a resource deficit situation. The most important fact about the world that we live in is that it is a world of scarce resources. In many cases, the argument will be, we are using these resources and we are using up these resources and we are going to run out of resources.
- 3.107** Just like people on a lifeboat, the kind of thinking that they need to do when it's only six people, that's the kind of thinking that we need to do if we're talking about 6 billion people or whatever the number ends up being. We have to scale up the reality of the lifeboat. The reality of the lifeboat is the reality of our resource situation. There is not enough to go around. We have to make hard decisions about who gets stuff and who does not get the stuff.
- 3.108** It also has implications then for people who have a lot of stuff versus people who don't have very much stuff. If we start from this scarce resources position, we're going to say, well, these people who have a lot of stuff are kind of hoarding. They have more than they need, these are bad people. There are going to be moral and political implications that result from that kind of scarce-resource thinking.

- 3.109** But we also then, in the shorter term—aside from certain attitudes toward those people—we need to say we need to think about the people, the quality of the people that we have right now. Should we be spending our social resources on people who are sick and probably not going to survive? How would we decide that on a lifeboat? Should we be spending it on old people, young people, people who are more knowledgeable, people who have more to contribute, not to the lifeboat, but more to contribute to society?
- 3.110** What we need to do as moral philosophers is just what we did as people on the lifeboat: start sorting people according to various dimensions. Who's adding value to society, who is not adding value to society? And at some point, we have to make the tough call. There's not enough to go around; some people are not going to get the resources. We're going to concentrate the resources on the other people.
- 3.111** So again, what we have here is not to say that human beings are bad and sinful and aggressive by nature—you take the sweetest people, most cooperative, creative, productive people—but if you think that they're in a lifeboat, certain dynamics have to happen. If you think the whole world is a lifeboat, then certain dynamics have to happen. So the fact, from their perspective, that we are in a world of scarce resources means that, again, the fundamental human equation is governed by conflict, zero-sum conflict, cooperation, encouraging people to make stuff, to become rich, to pursue their dreams, and so on. That's unrealistic.
- 3.112** In an absurd case, we'd be—suppose we're on the lifeboat, and we're going to say, "We only have a certain amount of food and a certain amount of water, but there's a young man and a young woman, and they really like the look of each other." They say, "We have a little privacy at the back of the boat here because we want to make a baby." You're going to say, "No, you can't make a baby, because the baby is going to be just one more mouth to feed. That's an irresponsible thing." And so your free choice to make babies, as many as you want, that's something that is a drain on society, and we need to think in terms of that.
- 3.113** Now, put that together, the point with our previous point about human nature. What we have then is on the moral landscape of those who have a very pessimistic understanding of human nature. And what they will argue is human nature is in a zero-sum conflict. We're all Gyges's, or we're all sinners in the Garden of Eden, and that's the raw material that we are dealing with. And so we have to do our ethics in terms of zero-sum, or conflict being our governing principle.
- 3.114** And at the same time, we have another group of people who might not at all believe that view of human nature, but they will say, "The fact is that we are living in a world of scarce resources that are running out and certain hard calls have to be made because, again, we are living in a world of zero-sum conflict." They disagree about what is driving the zero-sum conflict; but that we can't have this happily-ever-after growth, and entrepreneurship culture is something that they do agree upon.

- 3.115** The two major options that come out of this is one that leans more in a direction of a kind of predation. They'll say, "Look, if the world is zero-sum conflict, and the fact is that some people are more and some people are less, in terms of their ability to contribute to society, the right thing to do is to sort people and the weak have to be sacrificed to concentrate social resources on the strong, and that's the right thing to do." This position is typically called social Darwinism, taking the principles of, "nature, red in tooth and claw" or nature as a matter of scarce resources that the organisms are competing for and applying that to human beings. So, as a matter of policy, we identify the weaker members of society, they don't get resources. Only the stronger get the resources.
- 3.116** There's also, though, a traditional altruist position that disagrees and says the sacrifice should go the other way. Anytime we have a zero-sum conflict situation, we have this sorting of people into weak and strong; it is always the weaker and the needier who should have first call on our attention and on our resources. When necessary, we would sacrifice the strong for the weak. This is a very interesting one.
- 3.117** Let me give you an example of each of them. This is an overhead shot of caribou migration. The story here is the caribou, this is an older caribou that wandered off from the herd and it was separated by the wolves, and the wolves are surrounding it, and they are predators, they want to kill and eat the caribou. But I recall when I was watching the nature documentary of this going on, that the narrator said, "This is good for the caribou." But what the narrator did not mean is that it's good for that particular caribou. He meant it was good for the caribou species as a whole, or the caribou herd as a whole.
- 3.118** The idea here is this is an older caribou, it was on this 2,000-kilometer migration from Southern Alaska to Northern Alaska. It probably wasn't going to make it, or maybe if it did make it, there's only a certain amount of grazing land up in Northern Alaska for this huge herd of 300,000 caribou. And so if this caribou gets picked off by the wolves, then that just means there's more grazing territory for the younger, stronger caribou who are going to carry on the next generation.
- 3.119** Now, what's built into that then is: it's scarce resources. There's only so much stuff for them to eat, but there's all of these caribou. We need to find some way to pick off and sort out the weak caribou and get rid of them. And then fortunately, the wolves are doing that service for us. So it is a social Darwinism, and this is what Darwin is describing and saying, "Well, it's good for the caribou." It's good for all species, and so it should also be good for human beings because we also are in a world of scarce resources just like them.
- 3.120** Now, by contrast, though, consider this example from a little over 100 years ago. The Titanic went down and there's all these people then on the deck of the Titanic, and all of the lifeboats that they could get out into the water are put out into the water. But they realize very quickly that there's not enough space on the lifeboats for all of the

people who are on the deck. So this is a literal lifeboat situation, and we have to make a decision—who's going to get into the lifeboats, who is going to die. North Atlantic, winter, not a happy scenario.

- 3.121** And as the description shows in the New York Herald, the Titanic sinks with 1800 people on board, only 675 survived. So that's about one-third. But of the ones who survived, most of them were women and children. Our question would be, what is the decision procedure behind it? How did it happen that it was women and children? The ethos—and it was an ethical principle on board because this was mostly British men, mostly American men, and some Western European people—and part of the ethos is: in any survival situation, it is women and children first. And that's the operative principle.
- 3.122** What's behind the women and children principle first? Well, part of it is, this is language from 100 years ago: the males are the stronger ones, women and children are weaker. They are under the protection of the stronger male, and it is the obligation of the stronger to sacrifice himself, in this case, whenever necessary, to protect the weaker. And so they, quite self-consciously, to the extent that they were adopting that altruistic moral code: I am one of the stronger. I'm a male, but I'm not going to—
- 3.123** "I could, of course, knock down some ladies and kick some kids, get them out of the way and find a place on the lifeboat. That could happen, but I'm not going to function as a predator. Now, I'm also not going to say, I own that lifeboat. I earned it, I'm going to use it. I will voluntarily sacrifice myself as a result of this principle." So these are high-theory principles being operationalized. And I want to leave it at that for today.

Lecture 4: Resources & Risk

At a glance — Resources and risk — pursuing the best life.

- 4.1 The big question we are asking in this course is, really, what is the best life? Officially, we call it a course in business ethics, business leadership ethics, assuming we're going to take some serious responsibility role. But the question of ethics is always: What is the best life? And since business, consuming, producing, everything in between, is for most of us a significant portion of our life, what's the connection between our business life and our life more broadly conceived?
- 4.2 One important historical and contemporary answer to that is the position we are calling egoism. What it says is, "This is me, this is my life, and maybe I have one life"—setting aside issues about afterlives and reincarnation and so forth. But basically, this is it, and my biggest self-interest is to make the best of my life as I possibly can. What that means is I need to think seriously about what my genuine interests could be. What are the important values in my life? Since I can't do everything all of the time, I need to prioritize those values.
- 4.3 I also need to take responsibility for my life, realize that if it's going to happen, I am going to be primarily the one who will make it happen. I need to commit to making my life, being a producer, working on myself, working on the world in order to create the life that I want. And obviously, to some extent, I'm going to be involved with other people. When I'm younger, they're helping me grow. When I'm an adult, I'm working with them. And in turn, if I become a parent, I'm helping them grow. But there's a huge social component to my life as well, and I need to decide what my policies with respect to other people are going to be, how I'm going to relate to them, and then what expectations I have for myself.
- 4.4 Taking all of that as a description, we then analytically break that down into three broad categories. What are my core intentions going to be? What actions or my policies of action, what are those going to be? And then what results do I want to achieve, both for myself and for the other people that I am interacting with? So we can put all of that, as we have, in a table.
- 4.5 The egoist's answer to that is to say that your self is your top value. You should achieve your top self-interest. There's a lot of different labels in the literature for that: achieving flourishing, achieving the best life, being all that you can be, or the classically Greek concept of eudaimonia, coming out of the Aristotelian tradition. That is going to be one's guiding attempt, and one then needs to become philosophical to some extent to define what the eudaimonistic or the flourishing self-realized life is going to be.
- 4.6 The actions that are going to make this possible are being productive. It's not just that our life comes prepackaged and we slip into it; we have to make our life, so being committed to being a producer, working on yourself, creating yourself into the right

person, and acting in the environment productively. You make your life. Hopefully, the consequences of that, those actions, if they are successful, will be beneficial to you.

- 4.7 If we are measuring the benefits, say in monetary terms, we might use a narrower concept like profit, but you are investing in your life, and you want the investments to pay off. Those are the consequences that you want. To the extent that you are dealing with other people, of course, you recognize that they have their life to live, their interests, and the interactions between you should be on a voluntary basis. They should be trades that leave both parties best off.
- 4.8 That egoist concept of the best life, when we start talking in a business concept, typically shades into thinking of people as entrepreneurs, as being entrepreneurs of their life. If we start from the business side, we say, "My business life is mine, and I'm going to make my own job, I'm going to make my own career, I'm going to make my own business." The whole set of attitudes and traits that we want entrepreneurs and expect entrepreneurs to act on, follow as a result of that.
- 4.9 In one sense, egoism applied to the business world is this entrepreneurial attitude. The idea then is that entrepreneurs have their own idea of what their business is going to be. They make it happen, and they produce goods and services that are win-win for everybody that they deal with.
- 4.10 Now, all of this is controversial. Everything in philosophy is controversial. Everything in ethics is controversial. Everything in business is controversial. So, this description of one answer to this question, what is the best life, is hotly contested over the centuries and right down to our contemporary time. There are two sets of answers, responses to this—"this is not the best life, it's not moral, it's not ethical, perhaps not even realistic"—are based on very different understandings of human nature and the environment in which we are operating.
- 4.11 As we saw in the previous session, one response to the egoist and entrepreneurial model is to say that the assumption here is that people, the raw material of this life, are different from what we think is realistically so. You, egoists, think that people can be harmonious with respect to each other. They're going to be productive. They're going to trade with each other. They're going to seek the win-win results and so forth. But this is not what human nature is. Human nature is dominated by darker, more destructive drives, and whatever capacities that we have for being productive and cooperative and so forth are much more limited.
- 4.12 The Myth of Gyges, for example, wants to say human beings are driven by desires. They are greedy. They want stuff, and they don't really want to have to work for their stuff. They will just take whatever they can whenever they think they can get away with it. This greed as a desire dominates any rational, "I'm going to be a self-responsible person who produces and creates things in the world."

- 4.13 People, sexually, they don't want lovey-dovey romance, and everything is good for everybody. They just want their sexual desire satisfied anyhow. If they can get away with it, they will resort to rape and so on through the list of other human desires. People, for example, get angry. When they get angry, they just want other people to suffer as a result of it. They will lash out, they will dominate.
- 4.14 Then, to the extent that those desires dominate, they will commit to that as a lifestyle. "I will become a criminal." This perspective doesn't see anything particularly wrong with becoming a criminal. You see other people as opportunities for satisfying your desires, and you just get as much power to be able to inflict your desires on other people and power in order to be able to insulate yourself from any reactions from other people, including avoiding the police and so on.
- 4.15 The argument here, then, is that the best life is to recognize that human beings have certain core desires. They are unchangeable, they are strong, they are dominant. The best satisfaction one can achieve in life is having the power to be able to achieve and satisfy those desires any way you want whenever you want. That approach to life—and we know lots of people have advocated and lived that approach to life, and some theorists have said, in fact, that is the best description of human nature—we call that predation.
- 4.16 The argument here is, possibly, we could just draw on the long history of biology and say, "What does the rest of life on Earth seem to be about? It's about the strong versus the weak." All other animal species and plant species have needs; they have desires. Whenever they can satisfy those desires by whatever methods necessary, including capturing other beings, killing them, absorbing them, or just doing whatever it is they want, predation is built into life.
- 4.17 It's a struggle between the strong versus the weak, and human beings are part of nature. We're just more fancy animals with more sophisticated capacities, but built on a basic animal template, so we should recognize that and forget this more romantic entrepreneurial, "everybody's going to be rich and prosperous" conception of life. Reality is much darker.
- 4.18 The other response to an egoist or entrepreneurial business approach to life that takes a more pessimistic position is to say that it's not realistic, not necessarily about human nature, but about the environment. The fact is, from this perspective, that we live, say, on the Earth. The Earth is a certain size. It has resources, yes, but there's a finite amount of resources. To the extent that we have a philosophy, like an entrepreneurial philosophy that says "dream your big dreams, go out there and be productive, make more and more stuff, use as many resources as you need to make as many stuff as you want," what that is going to do is run into the constraints of the carrying capacity of the Earth.

- 4.19 So what this position wants to say is that what we need first to do is recognize that the resources are finite. Human desires and perhaps human productive capacity is unlimited, and those two are on a collision course. If we are going to be strategic about life, particularly long-term life, what we have to do is not encourage people in this unlimited romantic way to be productive and to pursue their dreams and so forth, but rather to limit themselves according to some plan or some conception of what is possible to the carrying capacity of the Earth.
- 4.20 What we have then in this position is to say, again, that we can see human life is continuing with pretty much every other species. Other species often go through population boom and bust in resources. They have, let's say, a laissez-fair attitude toward reproduction, and they just produce a lot more of their species. All of those young, though, they need to eat stuff, but there's only so much stuff for them to eat out there in the environment. They produce too many young, they grow up, and not all of them can survive. What then happens brutally in nature is that some of them just starve to death.
- 4.21 Human beings on this account are not going to be any different. We are confronting scarce resources, and the claims then will be that there are lots of dwindling resources, and we are going to be at a tipping point at some point. If we want to avoid mass starvation, then what we need to do is have moral policies and perhaps political policies in place now that will limit people's dreaming big dreams, thinking they can do unlimited productivity, that they can just be free to do whatever they want in the environment of the resources.
- 4.22 That might require then saying that we have population control. If we say, for example, that other species, nature takes care of the population booms, so it's a massive overpopulation for the available resources. What happens in the next generation, too, is mass starvation and a lot of misery until the population comes down to a manageable level. Instead of just waiting for laissez-faire human beings to reach that point, what we should do ahead of time is say, "We're going to limit the population to manageable resources so that we can carry on." So the idea here is that we need to be more skeptical about the claims that we can have it all, that we can dream big and so forth. But it's not because we are skeptical and pessimistic about human nature, but about the resources that are available in the environment.
- 4.23 What we then have is three positions, two of them that start from a more pessimistic point and one that starts from a more optimistic point. I've got a little schematic here. What is interesting about the pessimistic positions is that they will say, if I start from a pessimistic view of human beings, what their nature and what their drives are, that leads me to a conclusion that fundamentally, socially, we're doing our social ethics and we're doing our politics, we should start from recognizing that zero-sum conflict is fundamental. Yes, we might get along with each other and be friends and lovers at various points, and trading partners, but that is a secondary state of circumstances

compared to the fundamental. Zero-sum conflict is the fundamental that needs to be managed.

- 4.24 Or we might say that people are, by and large, okay, but the fact is that we live in a world of environmental constraints, resource constraints, and those resource constraints are going to put us in a position where some people seem to have more, but some people don't have enough. And so those two groups are going to be in conflict with each other, or in the very near future, it's going to be a place where not all of us can have the available resources. So the environmental constraints put us in a position where the fundamental fact that our ethical decision-making needs to start from is a situation of zero-sum conflict once again.
- 4.25 We either need to decide whose desires are going to be satisfied and who's going to be on the receiving end of the desire satisfaction, or we have to say the resources are not going to be available, some people are going to get stuff, some people are not, and have our policies in place for doing so. That militates against any egoistic and entrepreneurial approach to life.
- 4.26 The response from the other side, then, is—and there's a back and forth, of course, on all of these controversial issues—that the advocates of the more optimistic pole position will say, "No, in fact, you guys are the ones who have the wrong understanding of human nature and the wrong understanding of environmental constraints. What you're doing is giving us a false alternative. What you're saying is we have to see the world in terms of zero-sum conflict and have very harsh ethical and political policies in reaction to that."
- 4.27 It might seem even that the advocates of zero-sum conflict are disagreeing with each other a lot because one side wants to say that human beings are really nasty and that's why we can't get along with each other. The other side wants to say that no, human beings aren't necessarily nasty. The problem is we're in a world of scarce resources. The other side, then, might want to say that the problem is not really scarce resources at all. So it seems like they have some disagreements, but what they do agree on is this fundamental claim about zero-sum conflict.
- 4.28 The other side of the debate, then, philosophically, biologically, psychologically, when we get into them, wants to say that we don't need to be so pessimistic about human nature, for example. Human beings, if we properly understand them, we can give a positive, more romantic understanding of what it is to be a human being. And we have answers to these questions about scarce resources. The claim then is going to be that, in fact, we don't really live in a world of scarce resources. We live in a world of plentiful resources and potentially infinite amounts of resources.
- 4.29 The point of all of this is that we're, in this course, trying to do business and business ethics and figure out what our policies for business are going to be. But just unpacking all of the issues that go into that, we're going back into moral theory and we're going

back into biology, we're going back into psychology. We're going into assessing the available resources out there in the environment. The point is that in order to be able to do business well, the business ethics component of that well, we really need to be universalist in our understanding of all of the issues. All of those issues feed into our policies in business leadership.

- 4.30 What would it mean to have a more optimistic understanding of human nature? Well, then we have to get serious and say that human beings are minds and human beings are bodies, and maybe we are an integration of mind and body. We have physical traits and we have psychological traits, and let's assess these traits. So we start to generate a list. Well, what goes on inside me psychologically, I have certain intentions and certain things that motivate me, and on the basis of those things, I'm going to act in the world.
- 4.31 What is the nature of all of these intentions? Then as we start to do our psychology, of course, it gets very complicated because what goes on in my psychology is I have certain urges that emerge. I get hungry, and so that sends some communications to me. If I smell something, my urge is I just want to eat that thing. All of that is a part of what goes on.
- 4.32 I do have all kinds of emotions. Some people I like, some people I feel resentful towards, some people I feel angry towards, some people I love. I have certain emotions with respect to myself. Sometimes I feel proud of myself. Sometimes I feel a little bit embarrassed about what I did, or maybe I did something, and I feel ashamed of myself, or so forth. So we have all of these emotions that are going on. Then I have all of these thoughts that are going on inside my head as well.
- 4.33 The question there is going to be: Is it the case that our urges, our emotions, and our thoughts, are they necessarily weighted toward the negative, or are they weighted toward the positive? Or is it the case that we have some of them that are weighted toward the negative, some of them are weighted toward the positive?
- 4.34 So we need to systematically go through and not just tell some stories about Gyges and people who stole stuff and people who rape and seem to get away with it. We come up with an assessment of whether the human being is, by nature, born bad, sinful, evil, whatever we want to call it. Or we also know that we have lots of good positive qualities in ourselves. We do like to make stuff. We do like to have friends. We do like to share our toys sometimes with people that we are like. We do like partnership, love, romance, and so on, to make sure that we're not just weighing our understanding of human nature according to a few very provocative stories that can be told.
- 4.35 With respect to our actions, some of the actions are reflexive, automatic actions, the classic one of you're sitting on your doctor's bench and it hits your knee, your knee clicks out. That's a kind of action, but it's a reflexive action, not necessarily under your control. There are lots of actions that we initiate. Some of them we initiate consistently and we turn them into habits. We also know that habits can be changed and so on.

- 4.36 In terms of not only what goes on in our minds or in our psychology, but in terms of what goes on inside of our biology, again, do we want to say that we have instincts or automatic actions and are they weighted toward the negative? Do we have instincts or automatic actions that are weighted toward the positive?
- 4.37 Maybe a lot of those videos that we watch on social media, again, about child development, might be useful to us as well. We take a little child, and you bring a little kitten in, to the child, and the child has never seen a kitten before. What's human nature right at that level? Does the kid naturally want to take a stick and hit the kitten? Is that the automatic reaction, or is the automatic reaction, "Oh, that's so cute. I want to—" I'm putting words in the kid's mouth because the kid can't talk yet. But we see from their actions that they want to hug and affect and be friends with it.
- 4.38 So we'd have to do a lot of experiments and a lot of study of what goes on actually in human beings at that early level to come up with an assessment of what seems to be natural, what seems to be not natural, and what seems to be acquired. Then we would be in a position of saying that if by the time we get to someone who is an adult, whose characteristic modes of thinking is to just let his urges rip whenever he can and he's willing to do whatever he wants, is that a natural human development, or would we say that something actually has gone wrong with this person?
- 4.39 Normally, people would want to not be doing all of those things. They would instead be more cooperative. The point is that there's a huge amount of thinking about psychology and biology that has to get done before we make any very serious conclusions about the moral status of human beings entering into the world.
- 4.40 The same thing would hold on the other side. It's very easy to talk about scarce resources. All of us, of course, know when we are younger, we don't have as many resources as we would like. In many cases, it's a bit of a mystery where all of these resources came from. In many cases, we are tempted to say that some people have more than I do, and that's a mystery, and maybe there's something unfair about that. But is it the case that resources happen by magic? Is it the case that resources are limited?
- 4.41 It may be very well the case that there's a whole learning process before we come to understand what counts as a resource, what can be done with the resource, whether the resources are in principle open-ended, more of them can be created, or if it's the case—I can remember myself being a very hungry teenage boy, and the scarce resources issue was prominent with respect to food. My family would once in a while order a pizza. It would be a big pizza, and basically, I, as a teenage boy, would just be willing to eat that whole pizza myself, but we had to share it among the whole family. Everybody initially was very happy. You'd have a piece or two of pizza.
- 4.42 But I always remember that very quickly, my thinking went to scarce resource thinking. There's a dwindling number of pizza slices left, and every piece of pizza that my brother

has or my dad has, because they were my main competition in this family situation, is one less for me. There's not going to be more pizza. I have no idea how pizzas are made. The pizza delivery guy just showed up with the pizza, and there's only so much of it, and we have this big demand for the pizza. That psychology seems natural and easily learned when one is a child.

- 4.43 If you extend that into your adult life, well, is that the right way to think as we scale up to the entire Earth? Or is it possible that we can learn, in fact, that more pizzas can be made? In fact, you can get a job and earn more money so that you don't have to order only one or two pizzas for a whole family. You can order three. But that's a learning process that young people need to go through and so on.
- 4.44 So this question about resources, for example, I've got a couple of examples to talk through quickly here about scarce resources. The follow-up question always is to ask quickly, when that claim comes out, "Can we identify a resource that is scarce?" Scarce here doesn't just mean that more people want the resource than it exists right now. The idea of scarcity is that the demand for the resource outstrips the supply by a significant margin and that the supply cannot be replenished in any way that is going to meet that demand.
- 4.45 If you're looking for water and you're with your team of 1,000 people in the Sahara Desert, that's a scarcity situation in contrast to another situation where you might go to your supermarket, and you wanted to buy a particular thing, but they ran out just an hour before you got there. Well, that's a scarcity situation, but not really. Your demand is not going to be satisfied for that particular thing, but you know, if you think about it for a moment, that by tomorrow, they can restock that and so on.
- 4.46 But then, if we start to think about the kinds of resources that kick around, we get very seriously focusing on water resources, land resources, air resources, and we start to think about how much of those exist and our demand for those, particularly as our population goes up or possibly as our productive needs go up. What is the relationship between supply and demand with respect to those major and important resources?
- 4.47 Energy is perhaps the most fundamental, generic category of a resource. You might say food is energy, oxygen is energy, water is ultimately a kind of energy or whatever. But we do focus on resources. As we are being more productive and there are more people, it does seem a natural inference to say that we need more energy resources.
- 4.48 Then, at the same time, we have noticed something about the history of energy, that particularly in the modern world, as we have become more productive, and by some measures, we've become more successful, we've been able to support a larger population, living a more comfortable life with more stuff for a longer period of time.
- 4.49 That trajectory then seems to say that the demand side for resources is just going to go up and up. We might say that it is a good thing because we think human living longer and well is a good thing. But for that to be sustainable, the resources, particularly

energy resources, also have to be sustainable, and it seems like they have to grow. But if we're positioned as that we think those resources are limited, then we're going to say we have a mismatch because, ultimately, the resource curve is going to go down, the population curve is going to go up, and then we are in a trouble situation.

- 4.50** One way to think about this is to work through some common examples. If we think about basic energy resources, going back, say, 500 years before the modern world. If you want to have large-scale energy, whatever large-scale energy means in the 1400s, you want to be able to heat things up, give off lots of light, lots of energy, your best chance was wood. Cut down some trees, gather some branches, and build a big fire. From the fire, you can do a lot of things with the fire: lots of light, lots of heat, and you can transform that heat. That was our primary energy source.
- 4.51** Now, then we say population goes up means that the trees are going to be cut down, the wood eventually is going to burn out, the trees will go extinct, so we can extrapolate those trend lines. But at the same time, it is possible, and we do now know this from hindsight in history, that as we develop, we discover new energy resources because we are smarter, we can do science, we can do technology. That's also an important part of human nature.
- 4.52** One of the things that we then realize is, let's say in the 1700s, human beings discovered coal, and that there's huge amounts of coal in the world, and that coal also is another energy source. Now, coal is more difficult to extract energy from. You need higher technology in order to be able to get the energy out of it, but human beings were able to do it.
- 4.53** But what that meant was, even though human beings were now producing a lot more stuff and there starts to be more human beings out there, it's not the case that the resources are going down because after coal is discovered, we then have all of the wood in the world as a resource, and we have all of the coal in the world as a resource. So it might be additive.
- 4.54** I say "might be" because we haven't done the math yet. It also is the case that we can start to scale out as we do our science, we do our botany, we do our biology, we do our forest management, science, and so on. We realize that we can't simply cut the trees down. But what we should do, if we're interested in the longer future, is that as we cut trees down, we will plant more trees. So the trees might then also be a renewable resource in that sense if we have the right science behind it.
- 4.55** Then, in the 1800s, oil was an even more compressed form of energy than either wood or coal. We developed the technology to be able to extract oil from the Earth, and we realized there's huge amounts of it that we were previously unaware of. And we have the technologies to get at it and the technologies to process it and use it. Then by the time of the end of the 1800s, what we have is all of the wood plus all of the oil plus all of the coal plus all of the oil. So the resource stock then is going up.

- 4.56 As we continue to be rational, do more science, do more technology, in the 20th century, we figure out how to split atoms and then eventually to split nuclei to release huge amounts of energy that is there. Then all of the uranium in the world becomes a resource. And now we have all of the wood, plus all the coal, plus all of the oil, plus all of the fissionable chemical elements that are out there.
- 4.57 Then we start to realize that we can have more sophisticated technology and science devoted toward extracting energy from wind, extracting energy from waves, have the waves move over various kinds of generators since they are constant and extract the energy from that. The sun is constantly, every day, pouring in huge amounts of energy, can we capture that energy and redirect it as well?
- 4.58 So the debate then is not a simplistic debate that we have a bigger population, we're using more resources, we're being more productive. Therefore, necessarily, the resource stock has to be going towards scarcity. It is possible then to say more optimistically, partly because we're smart, we can do science, we can do technology, we can think big picture, that we can discover new resources, and we can find ways to make existing resources renewable. In principle, we don't have to worry about scarce resources and see the world as necessarily zero sum in that respect either.
- 4.59 This is all controversial, though. What is human nature? The biologists disagree amongst each other, the psychologists disagree amongst each other. The same thing when we start doing environmental science, the environmental scientists disagree amongst each other. Where the rubber starts to meet the road when we are interested in business matters is when the economists are studying business operations and entire ecosystems of business, such as they say, "Here's an economy," however they've organized that.
- 4.60 But you can see the controversy when—I've done this, you go into a library, you go to the economics section, and most libraries will have dozens and dozens of copies of books by different authors over the 20th century and on into the 21st century called Introduction to Economics or Economics and Introduction. Almost always, what you can do, and you can do this in 20 minutes, is go and read the very first page of those books because almost always what they will do is define their subject matter. "This is what the subject matter of economics is," and the language will typically tell you right off the bat what philosophical perspective they are taking on their subject matter.
- 4.61 There's a huge difference then between the subsequent economics, all the assumptions that are built into it in the rest of the textbook, if you start off by saying, "The world is scarce resources, so economics then must be the science of the allocation of scarce resources." The assumption then governing that entire approach to economics is that resources are scarce. There's a certain amount of stuff, but human beings want to use that stuff. So the resources are the supply, the humans are the demand. How are we going to allocate that supply of resources given the demand? And economics works out all of the logistics there.

- 4.62 Versus an approach to economics that doesn't start from the assumption of scarce resources. It might assume that human beings are productive, that there are potentially unlimited resources, but rather than "if you get something, I don't get something," the assumption here is that we can be productive, resources are potentially unlimited, and by trade, we can make each other better off. It's a more win-win understanding.
- 4.63 All of that then is in the background, and perhaps the philosophical underlying point that needs to be addressed here is not only psychology in general, biology in general, environmental science in general, how we have defined economics as the core discipline here, but what is our understanding of reason? As a philosopher who approaches this, I always like to get back to this issue as well.
- 4.64 Because one side wants to say, on human nature, that human beings are not rational. They are instinct-driven, or they are emotion-driven, or they are urge-driven. And so human beings are a non-rational or even an irrational being, and everything has to be based on top of that.
- 4.65 Versus the position that wants to say, sure, we have perhaps instincts and urges and emotions, right, and so forth. But the most important thing about human beings is they have a capacity for reason. I can train my emotions. I can decide which urges I'm going to act on or not. If I have certain automatically built-in actions as a human being, nonetheless, I can learn to regulate those or I can learn to override those. The important thing is that human beings have a rational capacity and it is competent, and we will then go on the basis of that.
- 4.66 Also, the other side typically wants to argue with respect to nature, that reason is not particularly competent, that this issue of scarce resources or perhaps even reason is the enemy, that we just have to take the resource pie, so to speak, as fixed, and all we are doing is drawing upon the existing resource stock just like all of the other animals do.
- 4.67 Versus the other side of the debate that wants to say human beings are rational. We are then able to do science, we are able to do technology, and because we are rational, we are able to function, not as the other animals do. Other animals, except for a few possible limited exceptions are not productive. They're not creative. They don't do science and technology. But for us as human beings, our rational capacity really is a game changer with respect to resources.
- 4.68 The philosophical issue then often boils down to whether one is pro-reason or seeing reason as ineffective or not operative at all. The point then is for business ethics, we need to think through all of these issues, the philosophical, the economic, the biological, the psychological as well.
- 4.69 All right, let's transition now from some of the more underlying issues to this issue of entrepreneurship itself. It's a concept that becomes increasingly self-aware as the 20th century develops. What is very interesting— this is a philosopher from the outside

looking at lots and lots of mainstream economics books during the 20th century. When I was doing my general reading, my undergraduate education, my graduate education, you could read entire economics textbooks and find very little to no mention of entrepreneurship at all.

4.70 In many cases, the assumption did seem to be that somehow the businesses are here and that the dominant businesses are corporations, and corporations did become an enormously successful form of doing business in the modern world. But the analysis would then be that we have all of these big businesses, and we have a big government that sometimes is trying to regulate or work with various businesses as well. So we have these giant organizations, corporations and governments, and what we're doing is studying how those organizations operate. But there's very little attention to where do these organizations come from in the first place.

4.71 By the time we got to the end of the 20th century, though, it seemed very clear that the biggest corporations that were operating in the American landscape, but then even worldwide, all seemed to be changing very quickly, and that most of the biggest ones were very close to their entrepreneurial roots. So there started to be more attention from economists that there's nothing particularly stable about the big corporations that are dominating. What we really need to do if we want to understand an economy is to study what's going on in the entrepreneurial sector because that's going to be more predictive of which organizations are going to become big in the next generation and more predictive of where the economy as a whole is going to go.

4.72 Also, if we are very interested in innovation, then this issue of the relationship between government and big corporations, if we assume that big corporations are stable, and typically governments want to make rules that apply for all circumstances that are going to last for a huge amount of time, there then seems to be more of a mismatch because the rules that were made 50 years ago by the government for the way the economy and businesses were working then don't necessarily seem to be working anymore because we have such an innovative, changing economy. Even if we're interested in political studies and how politicians should relate to the economy, again, we need to study entrepreneurship because that's where the innovation and the dynamism really comes from.

4.73 As we get into the early 21st century, we do start to see more of a change in how the entrepreneurial sector in economics tech books is treated. There's sometimes grudgingly more space given to it, and sometimes more celebratorially, a statement that entrepreneurship is the heart and soul of business, and business is the heart and soul of an economy. So we need to recast all of economics on an entrepreneurial basis. Now, again, all of that is very controversial, but it is the trend over the last century or so.

4.74 So what is this thing that we call entrepreneurship? Earlier in this series, what we did was we went through a list of traits and actions that were necessary for an

entrepreneur, if we just take a cartoon or stereotypical understanding of what it is to be an entrepreneur.

- 4.75 Here we make the contrast to someone who gets a job working for someone else. It might be the case that I am an egoist. I want to live my best life. I'm going to take responsibility for my life. I'm going to produce and I'm going to trade. I'm going to enjoy the results and I'm going to engage in win-win reaction. But in terms of my productive and trading life, I don't necessarily want to be an entrepreneur because that seems not to do what I want to do. I want to be able to go to work, and the business exists. I will show up, say on Monday. I will work hard. I will add value to the company. I will collect my paycheck on Friday, and that's it. That's a perfectly fine way of living one's life.
- 4.76 But the entrepreneur then seems to be a different animal, existentially and psychologically. The traits that go into being an entrepreneur might be many of the same traits, but they are stressed and, in some cases, prioritized. The entrepreneur can't take for granted that there's an existing business that he or she is going to work for because he or she is going to start the business and make it happen. That person has to have an idea. Typically, it's a creative idea.
- 4.77 The person is ambitious. The person takes some initiative. It's always risky, so the person shows some guts or some courage, perseveres through the difficult startup phase, makes lots of adjustments as they're going through, grinds it out, gets the prototype done, gets the stores to the point where you can actually open the doors and the customers can come in, takes the leadership role in hiring people and showing them how to do the job, is the public representative of the business in order to attract customers, saying, "This is going to make your life better, come over here," and then engages in all the trades that are a mutual benefit. And then, hopefully, at least according to the egoist model, is be able to enjoy the fruits of his or her labors. That's an idealized description of what goes into being an entrepreneur.
- 4.78 From the ethics side of the equation, we then would say that if that's what it takes to be an entrepreneur, or even if I'm going to be an entrepreneurial person inside an existing organization, these are the traits that are going to enable entrepreneurs to be successful. I've identified them. Then my question is going to be, "How can I see myself as a resource, as a human resource?" So if I want to be successful as an entrepreneur or as an entrepreneurial person, I need to work on myself, take the raw material, whatever it is that I have, and I need to learn how to become more of a person of initiative. I need to work on my perseverance, or I need to work on whatever it is that I need to work on.
- 4.79 One that always works with my students is the issue of procrastination. We all deal with the issue of procrastination, where you're a student, you know that there's an end of the essay project or essay that needs to be done. It's very easy to say as a rational person at the beginning of the semester, "I'm going to work two hours a week on this essay, and that will add up just the time." But it's very easy to say, "Well, this week, I'm

just going to blow it off," that is to say, I don't work on the initiative point this week. Training yourself to be the person who says, "No, I think this is the right policy for the long term," and putting that into practice the first week of semester, the second week of semester, and developing the capacity for initiative, is difficult.

- 4.80 Or we all struggle with courage because courage is actually a very natural phenomenon. But at the same time, it's tested on a regular basis. The opposite of courage is giving in to one's fear, but also, fears are also natural in a part of human nature. Almost everything that we think or do has the possibility of failure, and we don't want to fail. It evokes a certain emotional response. So, at what point do I say, even though I'm aware that I might fail and I fear the failure, I nonetheless need to do this? That is what we call the virtue of courage.
- 4.81 We all need more of that. We all know when we were little kids, three years old, and I can remember this, my dad took me to a park and it had a big slide. It was the grown-up kid's slide. He thought that I was ready for the grown-up kid's slide. You climb up that ladder, and you're maybe 10 feet off the ground, and the ground is really far away down there. So that's fear. You know what pain is because you know how hard the ground is.
- 4.82 Or the first time, in my case, again, it was my dad teaching the kid to ride the bike. You get up on the bike, and it's all shaky. Again, the ground is very hard. You're not confident in your skills yet. But that moment where you let yourself go down the slide, that's a courage moment. Then you're ready, in a couple of years, to ride your bike. Say, "Dad, let go. Just give me a push and let go." That's a courage moment. But those are small-scale ones. How do we then build those up to the ones we need when we're driving a car at age 16 or 17? Or we're giving a big speech, or we're going to invest \$10 million in some speculative company that might go belly up in the next nine months. How do we work on that? That's the ethics side of this equation.
- 4.83 I want to run through, though, the business side of the equation, the leading thinking, not all of the leading thinking, but the most important theories that have emerged in the entrepreneurship literature. What is it that makes entrepreneurs, entrepreneurs? Three names I want to float. I'll say a few words about each of them, but keep them in mind for future reading on entrepreneurship.
- 4.84 The question that these economists—these are economists that are starting to take entrepreneurship seriously—say is what makes an entrepreneur an entrepreneur? We recognize that an economy is a big, huge division of labor and specialization entity or organism or whatever metaphor we want to use here. What is it that entrepreneurs are adding to the economy, or what is their unique role in an economy?
- 4.85 Frank Knight, an economist, his thesis was that entrepreneurs do all sorts of things. They start new businesses. Sometimes they are innovative, sometimes they are disruptive, and so forth. But the unique value added of entrepreneurs is bearing risk

and bearing uncertainty. The contrast here is to businesses that are operating, that are adding value to the economy, but there's not really any risk involved.

4.86 In your neighborhood, for example, if there's an existing open space and the population has been growing, you say, "I'm going to open a convenience store on this corner in this neighborhood." Well, that's an entrepreneurial move, but not particularly so from Frank Knight's perspective, because what you are doing is something that's not particularly risky, and there's not really very much uncertainty involved in this situation. It has a high probability of success.

4.87 The entrepreneurial thing, the entrepreneurial value added to the economy, is anytime there is a new product or a new service, and one is very well aware of two things. One is: of all the variables that you know, some of them will work in your favor and some will not work in your favor. So there's a risk that this business will fail, and I am willing to take that risk. But at the same time, there are all of the variables that I know, but I also know the world is very complicated. There's lots of things that I don't know, and any one of those things could also cause my business to fail. But I'm the person who is willing, even though I know that I don't know everything I need to know— that's a very complicated sentence—I'm still willing to go ahead and do so.

4.88 The contrast, then, is to other people who might be hardworking and adding value to the economy, but they are much more conservative in their temperament. If something seems too risky, they will say, "I'm not going to do that, I'm going to do the thing that is safer." Or if I'm going into an enterprise and the manuals about how we're supposed to do everything are very thick and everything is— I'm exaggerating a little bit now. It's a recipe. I follow the rules, and everything is going to be fine. Versus, I'm thrown into an enterprise where, "Here's a problem, fix it or solve this problem." Nobody knows what the right thing to do is. I don't want to be in that environment. I want to be in the environment governed by certainty, rules, regulations.

4.89 So Knight's claim then is that the entrepreneur value added in an economy is the willingness to bear risk and uncertainty. This is not quite a cognitive trait, although there is a cognitive element to it. You can assess risk, and you can guess what you know and sometimes reach the limits of what you know and say, beyond that, there's just lots of things that I don't know. But it is a more effective state. I can handle risk, I can handle uncertainty, and I can still function well and still function optimally. Instead of, by contrast, we then might say effectively, someone, when the risk stakes get too high, they freeze or they become inoperative. We want, from the Knightian and normative perspective, more people who are willing to bear risk and willing to bear uncertainty.

4.90 Now, a competing, it may be complementary, but in this literature, if we're trying to say what is distinctively unique about entrepreneurship—comes from an economist called Joseph Schumpeter. He was Austrian by birth, ended up in the United States teaching at Harvard University. Frank Knight, by the way, was at University of Chicago. His claim here was that rather than the effective state, being willing to bear risk, bear

uncertainty, that it's by their deeds, shall ye know them, so to speak, that what we're interested in is the results of entrepreneurship.

- 4.91** There are businesses that are stable, they are following the recipe, they are more or less creating commodities, and everybody knows how that does, and we can measure what their value added is and so on. Whereas there are businesses that come along that are innovative, that change, that introduce something that is radically new: a product, a service, a process, or whatever it is. The entrepreneur is the person who is able to do that. The entrepreneur is the innovator who succeeds in getting his or her innovation operative in the business world.
- 4.92** His dramatic romantic phrase about that is "creative destruction." The destruction part is that, almost always, the innovation displaces an existing way of doing things. Lots and lots of people, of course, are willing to bear risk and bear uncertainty, but lots of them fail. The entrepreneurship failure rates are pretty high. Those people are not adding value to the economy, except perhaps a negative lesson: don't do things that way.
- 4.93** But what we're interested in, in explaining the economy, particularly modern economies, and perhaps the American economy most uniquely in the modern world, is these people who are change makers, and they are willing to upend entire industries in order to take us on a new path. It's the innovator who is successful that drives the entrepreneur.
- 4.94** Another, third view, I want to put on your horizon is from Israel Kirzner, Professor of Economics at New York University. What he emphasizes is the cognitive element of entrepreneurship. The phrase that he uses is this alertness to opportunity. There are lots and lots of opportunities out there, the idea is. Perhaps all of us can know this, that in many cases, we are oblivious to the many opportunities that are out there.
- 4.95** But there is a difference between a person who's going along and is aware, generally speaking, of what's going on, and another person who's going along and is aware of the same situation, and this person notices something and comes up with an idea and says, "Did you ever notice this? And we could do this," versus the person who has the exact same knowledge but doesn't do that. So there's an alertness to a potency or a potentiality. Then subsequently, there might be a willingness to act on the basis of that. It might be risky or it might not. It might be successful and it might change the environment.
- 4.96** What Kirzner is doing is emphasizing the difference between people who are operative in the economy, and these can be value-adding people in the economy, but at the other end of the spectrum, or they're closer to it, they're operating more on automatic pilot: I go to work and I am following a routine, and my expectation is that my workday is going to be very similar, if not identical to the previous workday, which is similar to the previous workday. In some sense, I can put my mind on automatic pilot and be a productive member of this business and thereby of the economy as a whole.

- 4.97** What Kirzner is identifying is that there's a difference between that person and the person who might be in a situation where the work days are similar, but is active-minded and always looking for a new way of doing things or a cost-saving measure or a way of reorganizing things, or maybe even a more radical suggestion that we take whatever productive resources we're using in this business right now, basically shut this business down, and start doing all of that over there, we would make more money. That is the entrepreneur. The entrepreneur is the person who sees an opportunity, in contrast to the person who is following established ways of doing things.
- 4.98** Now, I want to work through very quickly some examples to illustrate this. Suppose you're driving along and you notice in some part of where you live, there's a whole new subdivision that is being developed. A million people a day drive by that part of the world, and they all are vaguely aware that there's a new subdivision. But you say, "Wait, new subdivision? Subdivisions need all kinds of services. There's going to be, say, a thousand families there. What do a thousand families want? Well, every Friday night, they want pizza because nobody wants to cook on Friday night," so to speak. So there's an opportunity here.
- 4.99** If I bought this other chunk of land right across the street from it and I put a pizza shop on there, then I could make a pretty good business. Okay, so I am thinking like an entrepreneur. Maybe then I've got some money saved up. Maybe I go to my bank, or I go to my angel network, or whatever. I get the money, start the pizza shop, and it's a going concern.
- 4.100** Was I an entrepreneur? Suppose we ask that question. In one sense, we say, obviously, yes, you are an entrepreneur. If our definition of being an entrepreneur is someone who has an idea and shows some initiative to start a new business that did not exist in the first place. But let's run through our three theories.
- 4.101** From the perspective of—I'll do them in the order that we address them— from the perspective of Frank Knight. Frank Knight's claim is that an entrepreneur is someone who is bearing risk and bearing uncertainty. We take that and apply it to the example of the new pizza shop. I think in this case, you would say, "No, this is nothing particularly entrepreneurial from the Frank Knight perspective." Because if you are in the United States of America, as you are, you basically know 98% of the population likes pizza. So it's a no-brainer that if you open a new pizza shop across from a new subdivision, it's going to be successful. There's not really any risk here.
- 4.102** And there's not really any uncertainty. You know how to make pizza. There's established recipes. You can study all kinds of pizza franchises. Everything is automatic. So, in the Frank Knight perspective, this is not uniquely entrepreneurial. This is just a guy starting a new business, something pretty ordinary. We might even say opening a pizza shop is almost a commodity in the context of this dynamic economy.

- 4.103** From Israel Kirzner perspective—actually, I'm jumping out of order, but in the third one here. If an entrepreneur is someone who is alert to opportunity, then we would say, "Yes, absolutely, this person is an entrepreneur." This is an opportunity. Lots of people were driving by. They never paid attention to that opportunity at all, even though all the data was right before their very eyes. This person had his or her mind turned on and said, "Yeah, there's a chance to make some money here. I'm going to act on the basis of that." So, thumbs up. Yes, this is entrepreneurship, according to Israel Kirzner.
- 4.104** From the perspective of Joseph Schumpeter, Schumpeter's core claim is creative destruction, or at least that's the sexy phrase, and it really is a great phrase: "Not really." In this case, the pizza shop is pretty ordinary. You're not really going to transform anything on the basis of that. So it doesn't really count as entrepreneurship. It's something closer to commodity creation and so on.
- 4.105** So, I'll do a different example: ceviche. This is a fish dish popular in Peru, and it's now expanding because it really is tasty, and everybody who tries it, basically, unless they have fish allergies, likes it. It's a very popular food dish. Suppose we kept the scenario exactly the same. There's a new subdivision going in. I've driven by that, and there's a chunk of vacant land right there. What I could do is, because I just took a trip to Peru and love ceviche, I'm going to become a ceviche restaurant owner. This is my new dream. I buy the land, I open the shop, and a ceviche restaurant with all of the different recipes is now in existence. Would I be an entrepreneur, according to the three?
- 4.106** Well, Kirzner, alertness to opportunity—there is an opportunity here. You are aware of it. So yes, you would count as an entrepreneur. Is it entrepreneurship according to Frank Knight, bearing risk, bearing some uncertainty? In this case, I think we would say, yes, this is an entrepreneurial thing because ceviche is a relatively new dish in the American context.
- 4.107** Even though it's an established dish and we know that human beings in general from any part of the world like it, we don't know whether it's going to take in this particular corner of America. There's a lot of uncertainty and a lot of risk that's involved here. But if, on the other hand, I still believe in my product enough that I'm going to go for it, then not only am I alert to an opportunity, I'm willing to take the risks and the uncertainty. So Frank Knight would also say that I am functioning entrepreneurially.
- 4.108** Joseph Schumpeter, the phrase here would be creative destruction—I think we have to say probably not, because in just one sense, even if the restaurant is successful, it is just another restaurant. That's a great accomplishment, but it is just another restaurant if we scale out, because there's restaurants that are always opening and always closing. You didn't actually invent ceviche. You were just a tourist who happened to like it and had the idea of starting a business. So you're not really an innovator in those senses at all.

- 4.109 If, by contrast, you were someone who invented some recipes, the ceviche, and you transformed a significant portion of the American restaurant market, that might then count as entrepreneurship. In that more romantic, big scale innovation sense, I think Schumpeter would say no.
- 4.110 My third example is an entirely fictional example. Canada, where I am from, is not noted on the world cuisine market. But suppose I were a Canadian—I am a Canadian—but suppose I were a Canadian interested in food, and I found some way to take natural Canadian ingredients and did something special and unique with those Canadian ingredients and developed a new food or a new genre or a subcategory of food that we called Canadian fusion cuisine, whatever that would be. It's all entirely imaginative.
- 4.111 But I came up with it, and I believed in it, and I came, say, to the United States, and I opened a restaurant in an important cuisine market, maybe downtown Manhattan, and it took off. And then within 20 years, suddenly it's become franchised, and there's lots of imitator organizations out there all over the United States. Then in that case, Schumpeterian-wise, I would clearly be an entrepreneur.
- 4.112 So one thing, of course, we can do is to say this is an interesting, in some sense, academic exercise, the difference between Frank Knight, Israel Kirzner, Joseph Schumpeter. They're asking a very specific question about entrepreneurship. If we say all of the things that are value-adding to an economy, can we see what distinguishes entrepreneurs from all of the other value-added things that happen in an economy? As a result of that, what they're looking for, in effect, is a differentia in a genus-and-differentia definition.
- 4.113 But we also then might scale out and say from an ordinary business context or from an economist perspective on entrepreneurship as a whole, we do recognize, of course, that just being alert is not enough, having creative ideas is not enough, just being a risk-taker is not enough. What we mean by entrepreneurship in full is a certain mental attitude, a certain emotional set and also a certain action orientation and a certain set of consequences in the environment. So again, we are back to robust business people operating in the world, understanding what entrepreneurship is. We don't want to confuse the search for a differentia in a definition with an understanding of the phenomena in its entirety.

Lecture 5: Entrepreneurial Virtues & Property

At a glance — Entrepreneurial virtues and property, from theory to practice.

- 5.1 We've been shuttling, as I think of it, from high academic theory down to very practical considerations about business entrepreneurship. At the same time, going more horizontally from looking at business ethics from the business side, focusing on entrepreneurship and controversies there, and also from the ethics side, and looking for the sweet spot in the middle of all of those.
- 5.2 What I want to do next is go back to the ethics theory side. We have been looking at debates over egoism and altruism and predation as modes of living or as principled philosophical commitments to what one thinks of as the best life. Now that we have drilled down into business and into entrepreneurship in particular, I want to focus on a subset of ethics that we call virtue ethics.
- 5.3 The label virtue ethics comes from a broader conception of what ethics is. When we do ethics, we try to sort out what's the difference between the good and the bad, or what's the difference between the right and the wrong. Sometimes we look for facts in the world or facts in our conscience or perhaps commands from a higher authority that make a fundamental distinction between good and bad, right and wrong. On the basis of that, then we try to specify what are the top values in the world.
- 5.4 So we have our general principles of ethics, what's good and what's bad, what's our fundamental standard. Then we use that to measure all of the things that we are possibly interested in the world: the values, money, health, wealth, love, romance, adventure, peace, freedom, and so on, all kinds of things that are potentially valuable. How do we determine which ones are real values, which ones are not real values, which ones are more valuable, which ones are less valuable? So value theory is then a part of an overall ethics as well.
- 5.5 A follow-up question that takes us to virtues is, we say, suppose we identify the things that are valuable in the world, or perhaps valuable as a person I need to strive to be. "Here are the really good, top important values in the world. What person do I need to be in order to achieve those values?"
- 5.6 So suppose I say, for example, we enter into one big debate in value theory, "Is love real?" We might say, "Love is real." We have a romantic understanding of love. Two people can find each other, a deep value connection. They like the look of each other. This is a real phenomenon, and people can fall deeply in love and for a long time.
- 5.7 Or we might be more cynical about love, and we might say, "No, love isn't really real. Love is just a byproduct of some biochemical reactions." Really, what happens is people get into lust, and lust has certain psychological byproducts, and that's what we call love. But really, it doesn't exist. All that really is love.

- 5.8 Or we might be cynical in another direction and say that love is just some sweet words that people make up in order to get each other into bed. They talk the language of love, but the reality really just is certain physical interactions that we want to go on.
- 5.9 Now, suppose, though, if we get into all of those debates and we come out on the side of saying, "No, I think love is real. But if I want to have real love, deep love, lasting love, and so forth, then I need to be a person who can sustain that. Someone who has deep values is able to make deep commitments and maintain them for a long time to a person. It may be the case that I need to develop certain character traits, and I would have to work on those character traits.
- 5.10 When you start doing that, you say, "I need to work on myself," then you're starting to talk about virtue from the connection of being, "If I am a certain person, if I think and feel and act in a certain way, then I'm the person who can be successful in this value pursuit." So if I think love is real, but it doesn't work because some people can't make it work, then the people who do make it work, I want to be like one of those people and what that is.
- 5.11 So then, I might start considering things like honesty. We start to say clichéd types of things, but often clichés aren't entirely true. Honesty is a foundation of a relationship. So if a relationship is going to be deep and they're going to share certain important values, then both parties need to communicate accurate and true information about themselves and what they want and what they feel and be willing to listen to the other person. But that deep sharing only happens if people are honest.
- 5.12 So the lesson then would be that I need to be an honest person, and it has to be, so to speak, in my bones, in my second nature, in my character, if I'm going to be the person who could become valuable. So we have a conception of the good that tells me that love, say, is real and that honesty is a character trait that makes it possible.
- 5.13 Now, suppose we then transfer that same structure of thinking over to the business world, and we say, for example, that wealth is a good thing because wealth enables various possibilities: more health, more leisure, more good things in life. So wealth is one of the top values, and what we are doing in business is creating or producing that wealth. We might say, as we have done, that the creation of that wealth starts with an entrepreneurial move. So entrepreneurship is a valuable thing because it leads to productivity, which leads to wealth, which we have decided is a good thing. We have a whole cause-and-effect chain that's going on.
- 5.14 Now we go back here, and we say, "If being entrepreneurial is a good thing, what does it take to be an entrepreneur? If I want to be more of an entrepreneur or more entrepreneurial, what would I need to do to work on myself to become the person who can be successful as an entrepreneur?" Then, in ethical theory language, we say, "What are the virtues of an entrepreneur?" That's just ethics speak for saying, what are the

character traits, the mindset, the habits of action, the dispositions that entrepreneurs have and realize successfully in order to do so.

- 5.15 We've done some of that work already. We've got a list that we have generated here: creative knowledge, initiative, ambition, guts, perseverance, etc., all of those traits. What I want now to do is connect that with the traditions in virtue ethics. In ethics, as we also have already seen, everything is controversial.
- 5.16 What happens when different ethical theories say, "This is our conception of the good. This is what fundamentally differentiates right from wrong, good from bad, and these are the top values in life." The different ethical theories then end up having very different virtues. If you want to be a good person according to this ethical theory, here are the virtues that you need.
- 5.17 But if you have a very different understanding of what the good life, the valuable life is, you have a very different set of virtues over here. So the entrepreneurial set of virtues is in conflict with many of the traditional ethical sets of virtues. But I do want to delineate what those virtues are, and they do connect with one of the long traditions. Let's go through the list here.
- 5.18 Let's talk about knowledge and creativity. We say the entrepreneur is someone who comes up with an idea. We have to be someone who is able to come up with an idea, and typically come up with a new idea, you have to have lots of pre-existing knowledge to be able to tell what's a new idea, as opposed to just copying a pre-existing idea. Or lots of knowledge over here and lots of knowledge over here, but creativity often is a matter of making connections between two domains of knowledge that were previously unconnected.
- 5.19 Or I'm thinking like a biologist over here, what happens if I take my biologically trained mode of thinking and think about economics? Maybe the way the economists have talked, they've developed a different vocabulary, but the biological way of thinking develops some new metaphors or some new allegories or some new insights that can lead to some creative thinking in economics.
- 5.20 The idea here is that if knowledge and creativity are essential to entrepreneurship, that's where it all starts. That connects to what in moral theory we call the virtue of rationality, and that is a person who's committed to developing his or her mind, her cognitive capacity for taking in new facts, lots of new facts, absorbing all of them, organizing them, packaging them and repackaging them in various directions, doing the logic, doing the math whenever necessary, or whatever other kinds of analytical tools, such that you become a more knowledgeable person and therefore a more creative person.
- 5.21 An entrepreneur—and often we will talk about entrepreneurs as the people who will have twenty new ideas for a business before breakfast each day. They are a very active, idea-generating kind of person. That maps on to what some philosophers have prized

as a commitment to the best exercise of one's rational mind. So the virtue of rationality maps on very clearly here.

- 5.22** Ambition maps onto pride. Ambition—I want my life to be better. I want it to be the best that I possibly can. I want to be able to take pride in my accomplishments, and I want to accomplish a lot with my life. I want to be able to stand tall, stand straight, look at myself in the mirror. All of those metaphorical examples map onto, traditionally, what we call pride. A proud person is someone who has a strong sense of his or her own worth. "You're not going to push me around. I'm not going to push you around, but I'm going to be treated as a person of dignity and of some worth, and I want to be the best person that I possibly can be."
- 5.23** Now, already, by putting the word pride on the list here, we know that we are entering into controversy because there are many traditional historical codes of ethics that will say that pride is a great sin. Perhaps it is the worst sin. You should not think well of yourself. You should not be ambitious. You should realize that you are not a very worthy person. You should be humble, you should be modest, and so on. So already we are staking out controversial territory. But nonetheless, there is a tradition that says pride has an honorable place in the list of virtues.
- 5.24** Initiative maps onto what we typically call the virtue of integrity. The connection here is that a person of initiative is someone who says, "I have a good idea, and I do something about it. So my actions map onto my thinking. My thoughts are integrated with my actions, or my thinking is integrated with my behavior."
- 5.25** The opposite would be someone who says, "I think this is a good idea," but doesn't do anything about it. There's a disintegration in that case between their thinking, "I should do this," but they don't do it. Their action is nowhere, but their thinking is pointing in a different direction. Or another kind of disintegration would be to say, "I think that would be a good idea," but then I go and do something that's completely the opposite. That one is often very irritating to us because we start seeing that person as a hypocrite. You say one thing, but you do the other. That's a disintegration.
- 5.26** But a person of integrity is a person whose thinking is integrated with their speaking. Their speaking is integrated with their action. They are an integrated person. So, someone who characteristically has and demonstrates initiative, what he or she really thinks, really feels, follows through, and is integrated with the rest of their life, has been prized as a traditional virtue. So far we've got a commitment to rationality, a commitment to pride, a commitment to integrity.
- 5.27** Guts—this one is easy: courage. There's a long, glorious history studying courage as a virtue—courage in social context, courage in facing physical fears, whether you're climbing a mountain, or swimming in rough seas or public speaking in the social context, or you have to go into battle, and it requires courage. Many moral traditions, not all, many moral traditions will recognize this one and say that life often involves risk

and awareness of failure, but nonetheless, one still has to do certain things. Being able to get oneself to do those things despite the fear, that is the virtue of courage, and we all need to work on that.

- 5.28** In this context, we're talking business context, we know that business, particularly business in an innovative, fast-changing environment, always involves lots of failure, lots of risk of failure. So, a willingness, nonetheless, to follow your judgment, to take the actions necessary despite the possibility of failure, courage is going to be an essential part, especially in an entrepreneurial context.
- 5.29** Perseverance maps onto independence as a virtue. Perseverance, sticking with it when things get tough, when you're tired, when you're not sure that you can pull it off. You say, "Nonetheless, I need to carry on. I'm going to persevere." Kids being able to—I think of, in many cases, my university students who have had shorter academic workloads to be able to work on a project not merely for a day, to work on a project merely for a couple of weeks, and then turn it in to the teacher, but to work on a project and persevere throughout an entire semester.
- 5.30** That is in part preparation for then adult work life, where you're going to be working for more than one semester, you might work for a year or two or three years before a project is finally completed. Or in other areas outside of the business context, you become a parent. Well, that's a minimum 18 years of perseverance before the child is minimally an adult and able to go forward.
- 5.31** The connection to the idea of independence, though, is that one is able to identify what one needs to do and continue to do that, independent of all kinds of other pressures on you that would cause you perhaps not to do so. My being willing to finish the product does not depend on how tired I am at 11:00 at night. I'm going to say that it's more important that I finish this project. I need to put two more hours in, even though I am tired, independent of my tiredness.
- 5.32** Or I might feel I'm working, but I get some rumbling in my stomach. I'm getting hungry. My working to get the job done does not depend on the state of my stomach in the short term. I will be willing to say that I will put off eating for a little while and focus on what I think I really need to do.
- 5.33** My willingness to persevere does not depend on other people's opinions about whether what I'm doing is a good thing or not. Most entrepreneurs, when they tell people what they're planning to do, other people will say, "That's a stupid idea," or, "That's too risky," or, "What if you lose your money?" And they'll start doing all of the typical naysaying. But the entrepreneur, if he or she is going to persevere, they will say, "Well, I still think this is a good idea. I might listen to you, but my opinion and my judgment does not depend on other people's opinion."
- 5.34** So the connection to independence is necessary for perseverance because all through the process, you will be tired at various points, you will be hungry at various points,

you'll be dealing with lots of naysayers at various points, so cultivating an independent attitude is essential.

- 5.35** What we call experience-based adjustments connect to the virtue of honesty in the following way. We know from the entrepreneurship side, most ideas start as a rough and ready idea, and you don't know if it's a good idea, if it's going to work, until you put it to the test. Very often it sort of works, but it doesn't really work. So you have to take that data in and make some adjustments to your prototype, to your idea, to your service. You get customer feedback.
- 5.36** And so the success of your entrepreneurial venture always involves, "I have got my idea and how I would like to do it, but I've got my real-world feedback coming in. On the basis of that experience, I adjust my idea and then put it back out into the world again." That's essential for virtually every entrepreneurial venture. The point here is that it requires honesty. You can't lie to yourself, or you can't fake the data that's coming from your customers or from experience. And we do know that one of the big problems people have is that they do, in fact, lie to themselves, or they talk themselves out of that experience that's coming in from the idea.
- 5.37** The classic cases or the most extreme cases will be a my-way-or-the-highway type of mentality. I know how I want to do this, and you won't listen to your coworkers, you won't listen to your customers. Instead, you'll persist trying to do things the way you initially thought of them instead of all of that.
- 5.38** Now, this requires a certain amount of dishonesty because no matter how much you think your idea might be a good idea, you do know that you can make mistakes and you do know that you have only thought a certain amount of this and that there is a lot of data that's coming in. If you are putting walls up to block that out, that is dishonesty. Honesty in the robust sense is, "I'm open to the facts, I'm open to the data, I'm open to the feedback, and I'm willing to say I was wrong or I need to change my idea." Absolutely essential here.
- 5.39** Productivity, we just turn that into an abstract noun: productiveness. There's a difference, though, between people who are committed to working, being productive, getting the job done, and people who are not, who are clock watchers, or looking for the shortcut that they really know is not a shortcut, but it's a work avoidance thing. Having in one's bones, "I am going to get the job done." Whatever jobs I make a commitment to following through on is a learned behavior.
- 5.40** Leadership—I thought a lot about this one here, and a very significant amount of the leadership literature. Leadership, we know, is very complicated. There's a lot of factors that go into it. We don't have a traditional single label for the network of traits. It involves certain character traits, it involves certain cognitive traits, habits of action. It may involve an element of charisma, a psychological state as well. The best I can do right now is to say that after we think about leadership and we identify all of the

subtraits and actions that go into it, let's call that leadershipness. That's only half serious.

- 5.41 More serious: the commitment to trading value for value. If I'm an entrepreneur or more generally, I'm a person in business, I want to take pride in what I have made. I think I've created something valuable, and so I want to be rewarded according to the value that I have created. But at the same time, I recognize that I'm creating this value for other people, and I want it to be actually adding value to their lives.
- 5.42 So many entrepreneurs will talk about the pleasure they get when they're out on the street or riding around or whatever, and they see someone using their product. Or authors will have this experience of having written a book. Typically, being an author is a very solitary process, but there you are out in the real world, out in the wild, so to speak, and there you see on a subway bench waiting, someone is reading your book, and you realize that they paid money for that book. They are halfway through the book and it's adding value to their life and you feel an immense sense of satisfaction.
- 5.43 So what I've done is valuable for me, it's valuable for others, and there's a trade here. I didn't extort value from people. I didn't force anybody to buy my product. They chose to buy it. That's an honoring thing. There's a commitment to justice here. I was the cause, and the effect was all of this value that was created in the world. So there's an economic justice commitment.
- 5.44 The contrast here is, of course, going to be to people who want to cheat in business or in entrepreneurship in various ways. They want the rewards, but they don't want to do the value creation necessarily to deserve those rewards. That would be an injustice. And of course, on the customer side of things as well, there's lots of people who are willing to steal, go into the shop and shoplift. So that's an injustice to the person who's created something valuable that you know is going to add value to your life. You get the value, but the other person does not get the corresponding value. That's an injustice.
- 5.45 And then finally, self-esteem, the ability to enjoy yourself as a person who was successful in entrepreneurship and to esteem the value that you have created, realizing that it is coming from you. Then part of this is going to be indirect through other people, when other people respect you for your business contributions, whatever they are, and you realize through their eyes, in part, if you trust them and you know them, and they are persons whose opinions you respect, that their respect means something to you, so you feel a measure of self-esteem.
- 5.46 This is also something I think that is partly learned and partly a commitment because we do know a lot of people who deserve to feel good about themselves, having done something special, but actually find it hard to enjoy the feeling of success. Other people will praise them, but they will downplay the praise or try to avoid it. It doesn't necessarily mean that you are out, prospecting: "Tell me how glorious and wonderful I

am." Or getting up and looking in the mirror every day and saying, "Oh, you're such a special human being." There's something a little desperate about that. Genuine self-esteem is something that some people do struggle with because they have perhaps insecurities of a sort.

- 5.47** The idea here, then, is, if we say, "What's the difference between right and wrong?" We go on to identify wealth as a top value, and that wealth is a top value in part because it leads to health, it leads to various pleasures, and we then go on to say entrepreneurship underlies the creation of wealth. Then, when we're talking about virtue ethics, this becomes an integrated set of virtues that one should aspire to.
- 5.48** Next, I want to make a transition from virtue ethics back to the concept of leadership, specifically. We're cycling in and out of leadership angles. Having looked at the difference between predatory ethical theories, altruistic moral theories, and egoistic moral theories, and then earlier, we said how those will predict different attitudes with respect to money, with respect to sex, with respect to sports, with respect to giving gifts and so on, what does ethical theory predict for our understanding of leadership in particular?
- 5.49** When one starts reading into the leadership literature, this is again a drilling down point: an entrepreneur is going to be a leader. Even if you're not an entrepreneur, you might rise up in the ranks to a managerial or executive position in an existing organization. Start reading into the literature. Again, you will find the literature on leadership is extraordinarily divided in terms of the value or ethics orientation with respect to leadership. So this is another level of application of those very highly general principles: egoism, altruism, and predation.
- 5.50** In this case, I wanted to start with predation. Suppose you are a predatory theorist. That is to say, you have thought deeply about the nature of human goodness and badness in human relations, and you have become convinced that life really is a jungle out there. You might say things like business is war, life is war, life is conflict, and built into human beings is this struggle for power. Power over other people is a top value, and the strong acquire it; the weak then either get sacrificed or are forced to submit to the more powerful one. My understanding then of the good life or the best life for human beings is entirely in terms of that.
- 5.51** When one starts studying business, when one starts studying the economy, then all of that will carry over, not only in the rhetoric you will use to describe business activities. The Wall Street jungle, for example, will be a tip-off. Or one will talk about organizations totally in terms of office politics—who's gossiping about whom and who is backstabbing whom and the jockeying for a position, and so forth. One's entire analysis of, say, corporate social dynamics will be in terms of predatory jockeying for a position.

- 5.52** The subset of literature that focuses on leaders will then say that leadership should be understood in a predatory manner. A leader is the person who has found a way, typically a hook or a crook, clawed his way—usually it's a he—right to the top of the heap. He is the one who has the power, and the metaphor that is most often used is the topdog metaphor.
- 5.53** The reason for that being adopted is to say that just as in the animal kingdom, to the extent we look at species that are social animals, particularly the predatory ones, they organize themselves hierarchically. Dogs are pack animals, wolves are pack animals, lions are pride animals. But there's always one, an alpha, who is at the top of the heap, and he got there by predatory means. He was the best hunter, or he was the best fighter and got to the top, and the others all need to be in relations of submission to him.
- 5.54** This will then, in many cases, carry over to the management style of the person. It will be command and obey. There's not any collaboration, it's not a discussion, this is not a democracy, this is not a family. "I'm not working for you; you are working for me. I'm the top dog, so I make the decisions, I give the orders, and things flow down through the rest of the organization." There's a large worked out literature on leadership that takes this approach, not necessarily in quite as extreme terms as I just characterized it, but sometimes yes, and sometimes in moderate form.
- 5.55** Here's a good example right here talking about political leadership: Machiavelli. It's very interesting how in the leadership of business literature, there's almost always a recommended list of readings. One can almost always tell what the perspective is going to be if you find in the top recommended books to read, to read Machiavelli's *The Prince*, and it will be part of your leadership training.
- 5.56** I've got one quotation from one of the most famous passages. Social relationships—if you are a leader, if you are a prince or a leader among men, how are you going to motivate people to do what you want them to do? Or how are you going to demotivate them from doing things that you don't want them to do? And he says that human psychology is complicated, and there are positive ways of motivating people and negative ways of motivating. You can use the carrot, or you can use the stick.
- 5.57** The extreme there is people love you. Since they love you, or they like you, or they respect you, something positive, they're willing to do what you say. The other end is that people fear you. They're afraid of you. You walk into the room and [imitates a reaction of people who are scared] . Or all of the stereotypical cartoons: at the office, workers are all out there, and someone says, "The boss is coming, look busy." The idea is they're only going to do it if they have the eyes of the leader on them and they're a little bit afraid, "Is he coming? Is he coming?" So that attitude.
- 5.58** So Machiavelli, quite forthrightly, says that if you are a leader, of course, you can try to motivate people by love, and of course, you can try to motivate by fear, but you have

to make a judgment call about what your characteristic policy is going to be. He quite forthrightly says that fear works better. Love is fickle—and that's a shorthand for everything on the positive side of the equation.

- 5.59** "It would be best to be both loved and feared. But since the two rarely come together,"—that's a nice way of saying almost never— anyone compelled to choose will find greater security in being feared than in being loved." So the most important thing is: make sure they're scared of you. Now, we can borrow from the animal kingdom. All of the other lions are afraid of the top lion. All of the other wolves are afraid of the top wolf. And it's the secular biological language.
- 5.60** We might say, even though Machiavelli was not religious—I'm pretty sure he was an atheist, and he's trying to do a secular political philosophy—you can find analogs of this in religion, quotations, such as "Fear of the Lord is the beginning of wisdom," the idea that the Lord is the ultimate leader of the ultimate power, and one should be afraid of Him in order to make sure that you're acting in the same way. So religious or secular or biological, there's a long tradition of this analysis of leadership, all coming out of the predation approach to ethics.
- 5.61** Altruists typically struggle a little more with leadership issues, but there is a significant altruistic-based leadership literature. In many cases, the literature comes out of the nonprofit sector. Many strong altruist theoreticians are suspicious of business. They think life should be about service and sacrifice and selflessness, and you should not be interested in personal ambition and power and wealth and all of the materialistic goodies that life can offer. One should be a strongly selfless person.
- 5.62** The business world is not particularly of interest to them as a discipline. If they do enter into the literature, it will be typically with an eye to putting constraints or controls on the business world, so it doesn't get out of hand too much from their perspective. This literature, at least as I have read it, has been typically coming from the nonprofit sector, where lots of people who are interested in their fellow man, they will be philanthropic or they will be charitable, but they don't want to organize their operations on a profit model, so they will organize it on a nonprofit model.
- 5.63** There are ways of combining that with egoism, but the altruists often find it a more compatible institutional arrangement and organization, because at least we're not motivated by profit, we're not motivated by money, so we can feel altruistically better about ourselves. Even so, for these organizations, nonprofit organizations, to be effective, there needs to be leadership. Someone still has to define what the mission of the organization is, what the strategy of the organization is going to be, to organize the work, to be the public-facing front, to raise the money, and so on. There's recognition in this domain that we need to know what is going to count as effective leadership, even in the nonprofit sector.

- 5.64 But to combine that with our more altruistic theory commitments, we don't like the idea of talking about leaders in terms of any predatory model for sure, but even the idea that somehow the leaders should be more esteemed or that the leadership should be more respected or that the leaders should have more power, even though it does seem like people will naturally respect or look up to and give more power to the person in the leadership position.
- 5.65 There's an interesting literature here that goes by the label "service leadership." It's not simply a semantic way of avoiding some of the problems, but the idea of saying yes, you are going to be a leader, but what you need to do is avoid in any way possible any element of predatory thinking in your thinking. Just the fact that you are a leader does not mean that you are a special person or that you have your power and that the power is to be used for your personal interests in any way. You should always see that you are just another member of an organization, and this organization exists for the purpose of service.
- 5.66 You are servant number one, and the power that is delegated to you is not for your purpose. You need to be entirely selfless about any personal agendas that you might have and submerge yourself into the organization and its purposes as well. So, try as much as possible to characterize all of the functions of leadership in terms of a service or altruistic type of model.
- 5.67 A couple of quotations here: "The best way to find yourself is to lose yourself in the service of others." It's Mahatma Gandhi, mid-century Indian thinker and a public intellectual, announcing the altruistic ethic. It's not about me. I am a no self, and I submerge myself in society.
- 5.68 Then someone influenced by Gandhi, an American businessman, in the late 20th century, who is somewhat associated with this literature, saying explicitly, "...the leader is a servant." He's trying to get away from the exact opposite model that comes out of predatory language: masters and servants. Masters are up here, servants are down here. The servants are led by the master. In this case, we want to flip that and say it's the person who's at the top of the heap, so to speak, who functionally is nonetheless still a servant of all those below and the rest of the organizations by contrast.
- 5.69 The third option, and the most common language that is used in the leadership literature, that's more influenced by egoism, is the language of collaboration. The idea here is, as it mentions here, that everybody who's in the business organization is making a commitment to being productive, and we are trading with each other, but we all bring to the organization different things that we are capable of producing, and we trade along various dimensions.
- 5.70 So we should understand the organization not in terms of a predatory top-down model, nor in terms of "I'm nothing special, or I'm selfless, I am just a servant," but rather that everybody in the organization is valuable. Everybody has their own interests.

Everybody has their own knowledge, their own skills, and we work out a network of relationships that are mutually beneficial to everyone. That seems much more compatible with the egoist model.

- 5.71 So we are all collaborative. Some people will have more knowledge than others. Some people will have more skills than others. Some people will have more capacity for forming leadership than others. Some people will be more able to make decisions than others. So there's all of these differences, but nonetheless, everybody is adding value, and we're coordinating it all together.
- 5.72 So if we go back to this initial list of what we think the collaborative value-added of leadership is, the idea here is we can't just say, here we have a thousand people, and we're all going to every morning have a meeting and say, "I don't know. What do you want to do?" Then, we're all going to listen to everybody until we have some consensus about what we're all going to do. That's not going to be very functional.
- 5.73 It's not going to be very functional because we know people have different ideas. Some of them work; some of them don't. Some people are more educated; some people are less educated. Some people have a preference for working with their hands; some people prefer to work with their minds. Some people have more abstract ability, some people have less. We have all of these different abilities.
- 5.74 So what we want to do in the organization is say that some of the functions that need to be done, somebody has a defined vision and some people are better at that. Some people have to do a strategy. Some people are better communicators and public-facing representatives of the organization. Some people are better able to handle risk and uncertainty. Other people want the certainty of knowing what they're supposed to do each day at a paycheck at the end of the week. So we analyze leadership into a set of functions that are valuable to the organization.
- 5.75 But there are also lots of other functions that we recognize that are equally essential to the functioning of the organization. So we're dividing up the labor into specialties, but we're not saying that one is less essential than the other; they all are going to be essential. Nonetheless, there's a subset that we call leadership, and we should assign some labels to that in terms of the moral valuation of them.
- 5.76 Dwight Eisenhower was the head of the armed forces for Europe during the D-Day invasion in the year leading up to that—a very successful leader in the military context during one of the greatest conflagrations in human history—and then President of the United States afterward. But what then is leadership? "The art of getting someone else to do something you want done because he wants to do it." That then is to say there's a collaboration that's going on, something that you want done and something else that you want the other people to want to get done, but you sometimes have to get that person to want it, too.

- 5.77** So you have the vision of what needs to be done, and you're enlisting the other person in getting that project done. But your enlistment isn't at the point of a gun or force or any power play model. You generally have to find a way to get that person to want to do it. So what he's really focusing on is, "I want this done. This is my intent, this is my value. I'm motivated to do so. My value added is motivating other people to want the same thing: value alignment, value motivation, overlap, value integration, so the organization functions well.
- 5.78** In the context of, we have originally separated out all of the functions, which is a disintegration move, division of labor into all of these specializations. But nonetheless, they need to be all reintegrated. Again, everybody has to be on the same page, metaphorically speaking, or acting in a coordinated way. The job of the leader is to make that happen.
- 5.79** We end up with a filled-in chart. The ethical theory says we are human beings who act in the world, but we act according to certain intentions, and we are working toward desired consequences in the world. We have the three-way debate over what all of those things are. We introduced three short stories, since that's very abstract—Carly versus Tonya versus Jane— to concretize and to work from. It's well worth spending some time thinking about other people who are famous, what seems to be motivating them, to have one's own working examples of real people who are representatives of the different moral traditions. Then, finally, a connection to the leadership literature, service leadership, top dog leadership, or collaborative leadership.
- 5.80** We'll start this unit with a personal anecdote. When I was transitioning from graduate school to my first full-time job as a professor, there was a gap. My funding—I was working as a teaching assistant at my university while I was a graduate student—that funding ran out in May of the given academic year. My first teaching position was going to start at the beginning of September in that academic year, which meant that I had June, July, and August of no income to come through.
- 5.81** Now, I had always been very fortunate, as I thought of myself at all, during my graduate school years, I had an apartment to myself, a modest one-bedroom apartment that had everything that I needed, but it was more expensive than I was going to be able to afford for those three months before I got my first paycheck working as a junior professor. So what I decided to do for that summer was to move out of my one-bedroom apartment and into a house with seven other guys.
- 5.82** There was a giant box frame of a house, two levels, and there were four bedrooms upstairs, four bedrooms downstairs, a kitchen, a living room, a bathroom upstairs, and a bathroom downstairs. Eight guys sharing the rent, that was economical for me. But I had to move from being on my own to sharing a house with seven other guys. I'm emphasizing the "guys" word a lot for reasons you possibly understand already.

- 5.83** When I moved in, it turned out I got one of the bedrooms upstairs in the corner, and it was right around the corner from the bathroom. The room was fine because it was empty. I could do what I want with it. But the first time I walked into the bathroom, it was disgusting. This was a shared bathroom by a number of guys, yes. Cringe as much as you want, and it was worse than that.
- 5.84** I took the room, and the day I moved in—I didn't have a lot of stuff; I put most of it in storage, so it was pretty simple. I said, "This is going to be my bathroom for the summer. I'm going to get it cleaned." So I spent an entire afternoon scrubbing everything in the bathroom to the point where it was not good, but it was tolerable. I move in, and the question is: How long did it take until the bathroom was completely disgusting once again? I would use the bathroom, do my normal hygiene things, but nonetheless, the other guys, whatever they were doing in there, were turning it into a tragedy. And that's the word that I want to get to.
- 5.85** I remember three days later, I went into the bathroom and it was disgusting once again. I said to myself, I'm not doing that again. I'm not going to clean the bathroom again. My solution to that was to go to the gym and work out regularly and have a shower and do as much as possible outside of the house. I very rarely used that bathroom.
- 5.86** Similar situation to the kitchen: a nice big kitchen, downstairs, lots of things that one needs, working stove, microwave. But again, I went into the kitchen and the stove was coated with crudities. The oven, you didn't even want to look inside. The microwave smelled like you open up an old microwave—yeah, the kitchen was quite a disaster. Now, this point, though, I said, "I'm not going to eat out all summer. That's very expensive. I want to use this kitchen."
- 5.87** So I took a little bit of a leadership role and I said, "Guys, let's all get together and let's just talk about the kitchen situation." These were all basically good guys. We all met in the living room. I said, "Look, the kitchen is a mess." They said, "Yeah, the kitchen is a mess," for usual reasons. So let's try to solve the problem. So it seemed like a no-brainer. So I said, "There's eight guys living in the house, there are seven days of the week, why don't we set up a rotation schedule?" They said, "Yeah, that's a good idea."
- 5.88** I said, "One day, Monday will be, say, my day. I will go first. Everybody can use the kitchen, and at the end of the day, whatever state the kitchen is in, it's my job to clean the kitchen, put everything in the dishwasher"—it had a dishwasher—"and make sure that everything is functional for the next day. But for the rest of the week, I will just use the kitchen, but I won't have to do it. On the second day, it'll be your turn, and you'll be the Tuesday guy, the Wednesday guy, Thursday guy." It's even great because there's eight guys. We've got a guy left over, an extra guy who can pitch in, in case someone gets sick or something comes up or whatever.

- 5.89** So we talk about that. Everybody is smart enough to say that is a good idea. A functional kitchen is in fact a value to me personally. Their interests are aligned. The vision has been articulated. The strategic plan has been agreed to. Now my question is: Monday comes around. I'm the first guy up. I did my part. I was very glad when I could finally go to bed that night. But how long did it last until the kitchen was completely a disaster again? The answer is three days. Because the Tuesday guy did a so-so job, the Wednesday guy did a more so-so job based on the so-so job, the Thursday guy came in and said, "Hey, there's leftover messy stuff, and I've got a date tonight anyway, so I'm going to blow it off." He just blew it off. The next guy comes in and the kitchen is a total disaster. He says, "I'm not going to do this. You guys didn't carry your weight. It's full of —"
- 5.90** So the whole system broke down in less than one week. This is a tragedy—that's the word. It's a disaster. It's a mess. It's a common problem that emerges in social circumstances. It's a problem that, in one way, is puzzling because these were all university students, and so you'd like to think they're pretty intelligent guys. These are all in their self-interest. They all know about hygiene. They don't like a dirty kitchen. They don't like a dirty bathroom, so it doesn't fit with their interests. They can understand the principles of cleaning and self-responsibility, and someone's got to do it, it's your life and so forth. But nonetheless, when we were in this social group of just eight guys, we couldn't make it work. Why not?
- 5.91** What explains the tragedy of the commons? This is a partly technical term of art. The term "tragedy of the commons" comes from a biologist who then became a philosopher and social commentator named Garrett Hardin, back in the middle part of the 20th century, and he noticed this partly from studying nonhuman species, but also from studying human beings as a population biologist. There was a fairly common pattern known as the tragedy of the commons.
- 5.92** The connection to my homey example about the house with eight other guys is that the house was divided into two kinds of areas, socially speaking. There were the private rooms. Each guy has his own room, that is, so to speak, private property, and he is in total control of that room. And the areas that are a commons. The areas that are a commons are the ones that anybody can use. They are open, or they are common: the bathrooms, the kitchen, the living room.
- 5.93** The issue is, why is it that, by and large, the private areas seem to be functional— or even if a guy is a messy guy, he's not going to complain because he likes his mess— but the common areas almost always are a disaster? It seemed like there was something worthy of study that would have more general points for running families, because families have some things that are private, some things that are common. Some things happen in the case of shared housing between people who are not members of a family.

- 5.94** Business organizations—we have "this is your desk, this is your locker," but this photocopier, say, is to be used by anyone, or the lunchroom might be used by anyone. Or when we start scaling up to societies at large, where we say there's a lot of commonly used areas in the society and lots of privately used areas of society.
- 5.95** If commons traditionally become a tragedy, it would be useful for us to figure out why this happens and if there is something that we can do to try to solve it. So Garrett Hardin is most noted for launching this huge literature that's been enormously influential in philosophy, in public policy, in political philosophy, in economic thinking, and so on. It has a direct relevance for business leadership and business ethics, and so I want to include that now.
- 5.96** Here's the initial problem. What we have is an area, some resource, it might be a housing resource in my example. It might be the example that Hardin used—a plot of land that some farmers used for their cattle. They put their cattle out on the land to graze, and then they might take the cattle out of the common area back to their private barns for the evening. A common resource might be the air that we breathe. Some water is privately owned, some water is a commons. Anybody can use various commons. So any resource that anybody can use. That's the definition of a commons. It's not an owned resource, but it's something that has some economic value.
- 5.97** If you have a commons, and then you have people who are using the commons. The common, so to speak, is the supply; people who are using the supply are the demanders of the resource. So we have a resource and the resource users. The important thing about the people who are using the resource is that they are self-interested beings. So the example that Hardin used is the one that is most commonly used. So let's take that as our first working example.
- 5.98** Let's imagine a large chunk of land that a group of us have discovered is usable for cows. It's maybe not so great for growing corn, but it has lots of plentiful grasses on it, the kind that cows eat. Suppose we are all cow farmers and we each have herds of varying sizes, but our practice is, as we came to this area, we just let our cows graze in the commons. You have however many cows you have, you have however many cows you have, and the same thing holds for me.
- 5.99** It's a commons, but we are also self-interested farmers in this case. What we want is these are my cows, and I want my cows to graze. I want them to be healthy. I want them to get big, so they produce lots of milk, or produce lots of beef, or produce lots of baby cows. I want them to be a productive asset so that I can make a profit on the basis of them. Hardin's analysis is then to say that if this is your initial starting point, that's always going to lead to disaster, or it's always going to lead to tragedy.
- 5.100** The example of the housing is that we're all self-interested. We all want to eat. We all want to use the kitchen, but the kitchen is a commons, and it became a disaster. Same thing for the bathrooms. And how is that going to work for the grazing? Now, I

mentioned that he started off as a population biologist because one of the working examples that he had was an area of North Africa, and the early satellite photos had shown that there are lots of areas that were green and fine. But there was this one big, huge area that was completely brown and overused, and it was a disaster. It turned out it had been used by cattle farmers as a common. What's going on here?

- 5.101** First thing: thinking as a human psychology action person, you have to understand what incentivizes people to act a certain way. In our language, we say people have intents. What is the intention of people when they are in action? How do people respond to incentives and incentive structures?
- 5.102** The argument here is that in a common situation, we all have an incentive to overuse the resource. We do not have any incentive to maintain the resource, and we do not have any incentive to improve the resource. That's the first big claim. We are making some economic incentive claims because ordinarily, we would say that if I'm a farmer, I have an incentive to look after my cows. If my cows are using a resource, my normal self-interest, it seems like, would be to say, "I should look after this resource, make sure the grass is plentiful, make sure that it's well maintained, etc., so that my cows have a food resource."
- 5.103** The commons, the argument is, changes people's incentives to the opposite of that. There's a logic that is at work here. Suppose we say, for example, there are 10 of us neighboring this commons. Just to keep the math simple, suppose we say the commons is 2,000 acres; it's a big chunk of land. I am a self-interested farmer. I recognize that my cows are using that resource. It is to my interest that the resource be, say, weeded because there's lots of grasses there, but there also are all sorts of weeds that grow up, and my cows don't eat the weeds.
- 5.104** So what I might think about doing is saying, "There's the 2,000 acres. I'm going to go out and do weeding. I'm going to pick weeds for the 2,000 acres. That way, more grasses will grow. That way, my cows will have more grass, my cows will get bigger to my self-interest, and I'm a profit-seeking, self-interested individual."
- 5.105** But if I think about it for a moment, I'm going to then say, "If I go and do all of the weeding, it's a commons, and I can't stop your cows from now eating the more plentiful grass." I, in this case, would be doing, say, 100% of the weeding—that's my cost. But what's the benefit that I'm going to get from all of that? Well, if there's 10 of us altogether, I'm incurring 100% of the cost, but I'm only going to get 10% of the benefit because each of you is going to get 10% of the benefit.
- 5.106** That cost-benefit calculation, bearing 100% of the cost but only getting 10% of the benefit, does not make sense to my self-interested calculation. It also doesn't make sense to you to go out and do 100% of the weeding if you're only going to get 10% of the benefit. So I'm not going to do the weeding, and you're not going to do the weeding. Instead, what's going to happen is the weeds are more likely to proliferate. So

this is a perverse, unintended consequence. Our normal rational self-interest behavior, because we are operating in a commons, turns into something that is dysfunctional.

- 5.107** Suppose, though, we say, "Okay, what if I talk to you and I say, 'Wait, I don't want to do all of the weeding. What about if you and I agree that we're going to go out and do the weeding?'" You're a smart person, you say, "Okay, fine." Then, as we're weeding away, we're doing the numbered calculations. We're saying together we are doing 20% of the weeding, but the other 80% of the people around are still going to get the benefits because it's a commons, we can't stop them from using the resource. I'm still doing then 50% of the cost, but only getting 10% of the return. Not going to happen.
- 5.108** Suppose then we say, "Let's get all 10 of us together—and then we're back to the house, cleaning the kitchen example once again. So as all 10 of us say, "Fine, we'll all do weeding together. We'll set aside one day a week, and we all go out and do the weeding." But what's going to happen? Somebody's going to sleep in, somebody's going to blow it off, somebody's going to have a wedding to go to and so on, and the other people are going to say, "Hey, he didn't do his share, she didn't do her share. I'm not participating anymore," and the whole system is going to go down.
- 5.109** So, commons plus self-interest calculations leads to disaster. Now, that's just a maintenance example. Normally, if I'm a self-interested farmer, I might say things like, "Well, my cows sometimes get picked off by wolves. There are predators that are out there. Maybe I want to build a fence all around this commons to protect my cows from the wolves." That's a normal thing that people would want to do. Then I think, "How much is it going to cost for me to build a fence around 2,000 acres? That's a lot of money. If I bear 100% of the cost, though, I'm only again going to get 10% of the value because you guys are all going to be putting all of your cows out there, and they also will be protected by the fence. It doesn't make sense. So I'm not going to put a fence up."
- 5.110** What if I say, "Sometimes I've noticed the dry season comes, and the grass turns brown, and it all gets eaten up towards the end of the season. Maybe the smart thing to do would be to dig a well and maybe plant some shade trees over in this corner of the commons to do some investments, some improvements on the commons to make them a more economically productive resource."
- 5.111** How much does a well cost? Expensive. How much would planting shade trees cost? I could put a bunch of shade trees in, and I come out one morning, and you guys all have your cows taking up all the space under the shade trees. Or I dig a well, and I come out some morning, and you guys are all lined up taking all the water in the well, starting to run dry because you guys have gotten to it before. I'm not going to do that. That's stupid. And you're not going to do that. Nobody's going to do any maintenance, nobody's going to do any improvements, and as a result, the commons is just going to get worse and worse.

- 5.112** What happens, though, if we start to do this over a two-year cycle? We say things like, the first year, nobody did any maintenance, nobody did any improvements, and the weeds started to take over a little bit. But the next year, we start from a lower productivity point because there's more weeds, and no maintenance and other various things have been done. So by the end of the second year, the grasses are even more depleted and there's more weeds. But then, by the end of that second year, I'm looking at my cows, and I say, that when I came here, my cows all weighed, say, 1,200 pounds each. And then at the end of the first year, all my cows only weighed 1,100 pounds each. At the end of the second year, my cows only weigh 1,000 pounds each because the resource is not as good for the cows anymore.
- 5.113** So what am I going to do? Well, I still want to make money. Maybe what I need to do is to say that I've got a herd, say, of 20 cows right now. If I really need to sell more cow weight at the end of the season, I need to buy five more cows and put five more cows out there so that at the end of the season, I have the same amount of cow products at the end. But if I put five more cows out there, then they're going to eat more grass, and the cycle is going to commit.
- 5.114** What are you going to do when you see me suddenly show up, instead of with my usual 20 herd, I show up with 25 cows? You're going to say, "Oh, his cows are going to get to the grass before my cows get to the grass. So maybe I need to put 30 cows out there." Or maybe my habit is to get up at 6:00 in the morning and take my cows out there so they get the best spots. But I come out at 6:00 in the morning, and you are already out there because you got out there at 5:30, so your cows would get the best spots. So I'm going to get out there at 5:00. The whole point is that we are then adding more and more users of the resource, more cows feeding for longer periods of time.
- 5.115** The whole cycle that started downhill becomes a vicious cycle, and an increasingly vicious cycle, until what we end up with is a lot of weeds, all the grass is eaten, cows are very skinny, and of course, then we start to get very skinny as well. That is a tragedy, and it is called the tragedy of the commons.
- 5.116** Now, Garrett Hardin's first claim is that there is an ironclad logic here that if you have self-interested, profit-seeking farmers, and you have a resource that is a commons, necessarily, this is going to happen. If you take eight guys and you put them in a shared house and there is a common bathroom, it will become a tragedy. The first thing for then us to think as we reflect on this is whether that logic is in fact valid.
- 5.117** Most people who read this part of Garrett Hardin's analysis will agree with him. They will say, "Yes, this analysis of the problem is legitimate. There's a disaster." Now, though, we are smart people, and we believe that problems should be solvable. This is a problem. How do we fix it? In the next section, that's what we will turn to: competing solutions to the tragedy of the commons. If we can predict, different ethical theories are going to predict different solutions to the problem.

Lecture 6: Politics & Power

At a glance — Politics and power, including the tragedy of the commons.

- 6.1** Tragedy of the commons is a hotly contested area within social science. The initial analysis that we laid out, most commentators will agree that this is a serious problem. If you take a commonly owned resource—a resource is anything that has economic value to us—but the institutional arrangement for that resource is that nobody owns it, nobody can stop anybody else from using it, and anybody can use it as they want. That's the definition of a commons. But you add—since the resource has an economic value—self-interested, profit-seeking people who want to use that resource, that necessarily is going to lead to a disaster.
- 6.2** Because it's a commons, no one is going to have a self-interest or an incentive in doing maintenance, doing any improvements. So those things that would ordinarily happen in a business won't happen, but the resource will be used. It will then be overused. The vicious cycle will then be created. Attempts at voluntary collective action will break down the first time someone has a different interest, a different agenda at work. Of course, there are lots of communication problems with collective action and organizing people with respect to a common.
- 6.3** What do we do about this? The standard thing is to say that if you have identified a set of initial conditions, and that, as a matter of practical logic, something results from those initial conditions, and then that leads to a further consequence, and that leads to another consequence, and that one is bad, if the logic is necessary, then you have to go back to the beginning to what are your initial conditions and see which of those you can change.
- 6.4** In this analysis, we have two initial conditions: we have a commons, and we have self-interested resource users. That will then say, if we use the standard language, that we have some demand on the self-interested resource user, we have the supply, and the problem stems from that. But is the problem then on the supply side, or is the problem on the demand side?
- 6.5** If we go back to the root or back to the initial conditions, we can say that we have two possible ways of trying to attack this problem. We could say, jointly, a commons does not work with self-interested people. So we say there's something wrong with the commons, then. The commons is the problem, and we need to change the institutional arrangements with respect to the commons. We're going to be fine with self-interests, people seeking profit and so forth, but we think the commons is the problem, and we need to change that.
- 6.6** The other possibility, of course, is to say that we think self-interest is the problem. The problem is profit-seeking, people being greedy, people wanting something for themselves. We're fine with the commons. Maybe we even like the idea of a commons.

We don't want to change the commons, so we have to do something about the self-interest, something about the people who are abusing the common resource that we want to hold.

- 6.7** This is going to take us in two different directions as possible: do something about the commons, and we'll see how that plays out, or do something with respect to the self-interested people, and see how that plays out. Now, a priori, if you are approaching this, that is to say, not having just done empirical studies of the tragedy of the commons, suppose you start, though, from an a priori ethical theory. You're a high abstract moral philosopher, and you've already done some thinking about egoism and altruism and predation. Then you come to this particular problem about resource uses, which is the tragedy of the commons. Depending on the commitments that you might already have made, your inclination toward one of those solutions will be very different.
- 6.8** If, for example, you are someone who is already committed to altruism in general terms, you believe people are supposed to be selfless, they're supposed to be sharing. If there's a problem, they're supposed to be willing to sacrifice for the benefit of other people, and you like the idea of people sharing and so forth, then it's going to seem like a no-brainer to you. You say the commons sounds nice. The commons is about people sharing. It's not about private property and profit-seeking and so on.
- 6.9** So the problem has to be the self-interested resource seekers. And already your moral theory is telling you there's something wrong with self-interest anyways. You're not supposed to be that way. But self-interest and profit-seeking and greed are already bad words in your lexicon, so what you are likely then is to say, "Let's keep the commons, and let's see what we can do about these self-interested people who are greedily abusing the commons." The kinds of solutions that you will approach will go from that direction.
- 6.10** By contrast, if in your ethical thinking, you say, "I'm fine with people acting in their self-interest." People should maximize their happiness, seek their goals in life. We know ordinarily people seeking to maximize their profits leads them to look after their resources and invest in various ways and improvements and do maintenance and so on. The problem has to be not the self-interest, that's normal, and we might even valorize it. The problem has to be the commons.
- 6.11** There has to be something wrong with this institutional arrangement that says, "Here we have a resource that's valuable and anybody can use it and nobody can stop anybody from doing it." We're fine with the self-interest. What we need to do is change the commons, get rid of the commons or change the institutional rules with respect to the commons, and that is the direction we're going to do the solution.
- 6.12** Let's try each of those. Suppose we say self-interest is fine, but the problem is the commons. Let's go back to our working example. There are 10 of us. We're all farmers.

We have our cows, and we have 2,000 acres that currently is a commons. And we're smart enough that we recognize that there's a tragedy starting to develop here, but we don't let the thing completely deplete.

6.13 Now, in human history, that's not often how it has happened. Often, it has been the case that farmers who are herders will come to an area. The grass is plentiful, and they will just put all of their cows out there. It ends up being depleted, but then they just are nomadic, and they just move on to the next area. That, of course, is a possibility. We could just deplete the resources here and go on to the next thing.

6.14 But suppose we want to fix the tragedy of the commons with respect to this resource. We think it can be made sustainable. Then what we say is, right now, our institutional arrangements are "anybody can use this resource, and no one can stop anybody else from using that resource." That is to say, there's no private property with respect to this resource. So what if we consider privatizing the resource?

6.15 We do the math—I've set it up so the math can be simple. There's 10 of us. We have 2,000 acres. Let's just give everybody 200 acres. So we'll plot a grid. You get these 200 acres over here, you get these 200 acres here, and we go around, and everybody has their 200 acres. That is your private property.

6.16 We have rules that are associated with your use of the resource: for these 200 acres, I'm the boss. That is to say, I can use this resource however I want, and I can prevent you from using these 200 acres—that's built into it being private property. I can invite you. I might lease some of my land to you, but nonetheless, this remains my private property. The same thing holds for 200 acres. It's your private property. You set the rules with respect to its use, and you can stop other people from doing things with respect to your property.

6.17 So now we have changed the institutional rules governing this resource. How will this change people's incentives with respect to how they're going to use the resources? Economists like to say people respond to incentives, and so we've changed the institutional rules. The incentives now will change: I've got these 200 acres. Now I start to think about the ordinary things that farmers would think about.

6.18 When it was a commons, I had no incentive to do any weeding. The calculation there was that I would do 100% of the weeding, but I would only get 10% of the benefit, and that is now out of whack. Now I've got 200 acres, and I can see that there are some weeds on my 200 acres. Does it make any sense for me to say, "Maybe I should get out there on a regular basis and weed my 200 acres?" I would say that's a cost. It involves some time, and I'm going to pay 100% of the cost.

6.19 But what percentage of the benefit am I going to get? Well, my cows will get 100% of the benefit. The cost-benefit calculation suddenly is in line. 100% of the cost, yes, but 100% of the benefit. If I think the benefit to my cows is worth my time cost, then I will go ahead and do the weeding. Suddenly, I'm incentivized to do the weeding with

respect to the resource. Of course, you guys will be doing the same calculation with respect to your resources. Then what we have is rather than the resource becoming depleted or too many weeds, the weed problem starts to get solved, where it was unsolvable in the common situation.

- 6.20** As I think about the other situation, suppose I say, there still are some predators around there, or maybe sometimes my cows wander off onto your land, and you get upset with me when I do that. I know I'm not supposed to be letting my cows on your land, so I want to build a fence around my 200 acres. Same thing. I say, "How much is a fence going to cost me? How much time will it take?" I do my cost calculations. And then I say, "Nonetheless, I will bear all of those costs, and I will get 100% of the benefit."
- 6.21** Does that make sense? Maybe, maybe not. Fences are expensive. Now, maybe you're my neighbor, though, and I know because I'm a smart guy, and I know that you're a smart guy, that you have cows, and you have the same problem. Sometimes predators are picking off your cows, and sometimes your cows are wandering off. I will say, "I'm going to have a conversation with you because we share this boundary over here. What if we put a fence up and split the cost?"
- 6.22** I do the same thing because you're my neighbor over there, and I'll split the cost with you. Now, I'm going to get 100% of the benefit of a fence, but maybe I'm going to be splitting the costs three ways. I'm only 33% of the cost, but 100% of the benefit. So the fences get built, and that's an economic improvement.
- 6.23** Do I think about putting a well in? Because again, my cows start to run out of plentiful grass in the dry season. Well is expensive. But then suppose I say, I do my costs, and then how much value am I going to get from the water? I get my benefit calculation: 100% of the cost, but 100% of the benefits. So that improvement is more likely to happen.
- 6.24** I might also actually get lucky. I drill a well, and there's so much water that comes out. There's way more water than I need for my cows. But you haven't put in a well, and you're one of my near neighbors. So what might I do? Or what might you do, initiating the conversation? Or you see that I'm letting a certain amount of water go. So, [you say], "Can I run a pipe over to your well, and I will pay you?" It means you don't have to incur the cost of a well. You can just buy the water as it comes up. Less expensive for you, but I am making more money. It's to my incentive to do so.
- 6.25** So suddenly, by instituting private property, we have changed everyone's incentives. People are then much more likely to engage in the actions that will look after the resource on the one hand—the weeds get looked after, the predators get kept out, cows don't wander off, there are wells now and so on—so the economic value of the resource is improved.

- 6.26** And also, we have improved our social relationships. Every time you put more cows out in the commons, I was like, "Oh, man, I hate that guy because grass is going into that cow's mouth. This is not grass that is going into my cow's mouth." So the zero-sum element goes away. Instead, we're building fences, and fences make good neighbors. I'm selling you water. Maybe you put up some shade trees, and I gave you a little bit of money to plant the shade trees right along the edge of our property, so half of the trees grow a little bit over my property and so forth. So we are engaging in win-win social relationships, and the problem is largely solved.
- 6.27** Now, I say largely because maybe one of us is not a very good farmer. I'll be the bad farmer in this case here. Suppose I'm just a lazy guy. Suppose I like to sit around and read philosophy books all the time when I'm supposed to be out looking after my cows, and I'm supposed to be doing some weeding. So my farm is actually terrible. It's weeds everywhere and bare patches, and my cows are skinny. What's going to happen to me? Suppose you guys are pretty responsible farmers. You're doing a good job with you. Someone might come along and say, "This is a scandal. Look at this guy's private property. It has led to this resource being in a terrible state. It's just a bad circumstance."
- 6.28** Well, if we're actually interested in the quality of the resource, we play this out, what is going to happen is, if I'm a bad farmer, I'm not going to be able to make a living as a farmer. My farm is not going to be able to support me. At some point, I'm going to have to say I need to do something in order to sell my spot. But I do have an asset here. I own 200 acres, but I can't make these 200 acres work. What do I need to do? I need to sell these 200 acres to someone. With that money, that I'm going to get from selling the 200 acres, then, I will be able to support myself. So that will solve my problem.
- 6.29** But who's going to be able to afford my 200 acres? Only someone who has done a good job with his or her farm and has been making a lot of profit and setting some money aside, or is able maybe to go to a bank or some investment, and say, "I've done a good job with my farm. This other farm has come up for sale. Lend me the money so that I can buy this farm."
- 6.30** So in some route that way, somebody who's been a very good farmer, that is to say, using their resources very well, is then going to be able to buy this farm. Then once that person buys this farm, what will they do with it? Well, they will do the same thing that they've always done. So my terrible farm that I have not been looking after, the resource is being wasted, the resource is being depleted, that will turn around, and the person who's the good farmer will take it over and do a good job with it. That's good for that farmer. It's now good for me because I've got some money to survive on. It's also good for the resource itself. So we have win-win-win transactions as a result.
- 6.31** Maybe my money will run out eventually, and so maybe I have to go to work for you because you're the one who bought my farm. But that also is a win for me because if I can't make it on my own as a farmer, having someone else who comes in who is a good

farmer who knows how to run a farm, and me going to work for that person in a sustainable income way, is also then going to be good for me.

- 6.32** The argument here is that we have a solution to the tragedy of the commons. We're not saying that self-interest is bad. We're saying self-interest is fine, self-interest is good. But there is a problem of aligning the incentives of self-interest with the institutional rules. Self-interest works with private property, and if we really want to make sure resources are well looked after, then we want people to have control over those resources, to work with their self-interest so that they make money off of that resource.
- 6.33** If we think even longer term with respect to private property, what happens as I start to get older as a farmer? And suppose now I'm a better farmer and I'm making a goal of it with my farm. Well, at some point I know I want to retire, or at some point I know I'm going to die. What do I want to happen when I die? For most of us, we want our resources to go to our kids or to people that we care about.
- 6.34** If I am normal with respect to my kids, the way I think about my kids is I want my kids to have the best start possible in their life. That means for me, since my most important asset might be my farm, when I retire or when I die and my farm goes to my kids, I want that farm to be in the best possible condition it can be for my kids, so now I'm starting to think about the future, the long future, and my incentive is aligned with the best management of the resource on into the future. It's a long-term, sustainable type of solution. The claim then is if we have self-interest plus private property, realignment of all of the incentives, all of these various things that happen, that solves the tragedy of the commons.
- 6.35** The flip side of that then is going to be if you're worried about places where it seems like resources are being depleted or resources are being polluted in various ways or abused in various ways, chances are good that what you should be looking for is a commons, a place where there is no private property and that maybe we need to think about instituting private property in that resource area in order to solve the problem the way it seems to work. Then that way of describing the solution to the problem in terms of self-interest, property rights, long-term increasing productivity of resources, leads us to political economy conclusions. We're starting to talk about free market capitalism as a solution to the tragedy.
- 6.36** Now, as we know, everything is controversial. So what we need to do is go back to the beginning of this solution and say, "What if we had taken the other fork in the road?" We said our initial conditions are we have a commons and we have self-interested resource users, and that leads to disaster. So we go back and say that one of these two things has to be changed.
- 6.37** The thing in this case that we want to keep is the commons. We like the idea of everybody having access to public resources, everybody sharing, everybody being able

to do what they want. We don't like the idea of private property. Maybe we're ideologically opposed to capitalism. Maybe in terms of our moral theory, we think that self-interest is suspect and it leads to greed and all kinds of bad things and so forth. What we want to do then is keep the commons, but do something about self-interest. If our problem is that we think people are being self-interested, then we have to change their powers of action or re-incentivize them so they don't act in the ways that we think self-interest ordinarily would cause them to act.

- 6.38** What we then might do is say that the problem really is too much freedom in the situation of the commons. We basically say, here's the commons, anybody can do whatever they want. You're free to use this resource as you want. But then we think that people with all of this freedom combined with their self-interest are doing all kinds of bad abuse of stuff to their resources.
- 6.39** Why am I putting more cows out there? It's because I'm greedy, because I want to make more profit. When I saw you put your cows out at 6:00 in the morning, and I used to take my cows out at 6:30 in the morning, now I'm putting my cows out at 5:30. It's because I'm being competitive with respect to you and I want my cows to advance at the expense of your cows. It's just too much self-interest, and so that's the problem that we have here.
- 6.40** So what we need to do is not let people freely do whatever they want with this resource. We need to have some institutional arrangement where decisions are made about resource use, not at a private individual profit-seeking level, but for the little society as a whole. We need to have an institution empowered to make decisions for society as a whole. What we're talking about, obviously, is a government. What we need to do is assign not private property rights, but government ownership over the resource, and the government then will make policy decisions for how the resource can be used in the public interest, respecting the commons and so on.
- 6.41** There's a number of ways that we could do this. It could be, suppose—I'll take the position of being the government in this case here. There's 20 of us, and suppose I'm elected; we'll keep it democratic for now. But I'm the one who has the power to make the decisions about how things are going to go. What I might then do is say, "We have 200 acres. We've done some scientific analysis. We know how many cows each acre of land can support," so we do the math. What this then means is you can have this many cows, you can have this many cows, you can have this many cows, and we go around, and the resource is rationed.
- 6.42** I might limit the size of your herds, or I also might ration your access to the resource. I might say you can put your cows out from 6:00 AM to 8:00 AM. You can put your cows out from 7:00 to 9:00 PM, some staggered thing and so on. So what we have is then a central plan that is imposed from the top, and that policy we call rationing.

- 6.43 Another thing that we might say is that we know, common-sensically, that weeding has to be done. Maybe we need to put some herbicides down that kill the weeds or maintenance needs to be done. We really need a well. We need to have some fences put up. But self-interestedly, none of you are willing to pony up the money to pay for these improvements and pay for this maintenance. But these are a good idea, and I'm the government now, and I can say that this is a good idea. I can force you to put up the money to pay for the maintenance and the resources. I will, in effect, send you a bill for all of the amounts that I judge to be appropriate from each of you. In addition to the rationing, I might do taxation. Taxation is a way for the government to raise revenues to spend on things that it thinks are appropriate.
- 6.44 It might be, of course, that we need people to do the maintenance work, and none of you decided to get up voluntarily and go out there and start weeding. You said, "I'd much rather do various other things," but the weeding has to get done. We know it's a good idea. And so my job as the government then would be to say, "You, Monday, you weed. Tuesday, you, you weed." And so it's government-mandated work on behalf of the community. The technical label for this is conscription. I conscript labor in order to get various things done.
- 6.45 Of course, we know there are cheaters among us, people who are going to shirk in various ways. That's right. You are going to try to sneak your cows in 15 minutes early. You're going to try to avoid your tax bill. You're going to claim that your in-law is ill and so you can't do your weeding on various days. So you're going to all—not all of you, but many of you—try to evade in various ways your social responsibilities. So I'm going to have to do a significant amount of policing to make sure your cows don't get out too early, you pay your taxes, you aren't lying about that in-law, and that you end up doing what you are supposed to do.
- 6.46 Of course, all of these things have to have teeth. It can't be like I'm asking you to do these various things. It can't be like we are voluntarily trading or buying various things. It has to be that all of these policies: the conscription, the taxation, the rationing, if you fail to do those, you are penalized, and so forceful penalties have to be in place as well.
- 6.47 But the point then is that with the proper analysis of the situation and the proper mix of rationing and taxation and conscription, a wise and hopefully benevolent government, if it has control of this resource, can enact the right mixture of rules and regulations so that the resource is looked after: the weeding gets done, the maintenance gets done, the wells get dug, the fences get built, the fences get maintained, the right number of cows are out there and so on.
- 6.48 We have now a long-term solution to the tragedy of the commons. The idea is that that might hurt each of us individually along the way, but socially overall, we are maximizing the resource in the public interest, and so it is a long-term win-win.

- 6.49** To start, again, putting political and economic labels to it: if what we are saying is, morally, we think self-interest is a suspect motivator, but institutionally, with respect to resources and assets, we think centralized government management with the enforcement teeth to be able to follow through on those is the right way to go, then we are talking socialism. So the tragedy of the commons, as an initial resource management problem for human beings, combined with the different ethical theories, most specifically, egoism and altruism, leads fairly logically to public policy solutions that we recognize from doing our political discussions about capitalism versus socialism.
- 6.50** Other examples, let me run by a couple quickly for your thinking about. I gave the simple example of my sharing a house with seven other guys back in the day. I learned my lesson. I've never done that again. No plans ever to do so.
- 6.51** Other examples to think about are people who are in real estate development. There are some experiments in the real estate literature of developers who will buy a chunk of land. To keep it simple, they'll have one street down the middle of it. And then, they will build some townhouses down one side and some townhouses down the other side. Initially, everything is identical. But the difference then is that they will sell all of these as townhouses or as condos. People purchase them, and it becomes their private property. On this side, the developer will say, "I think there's a rental market. I will rent all of these ones on this side."
- 6.52** What we have then is that all of it is still owned as private property by the real estate developer, but the users of the resource, in this case, are owners, in this case, the users are renters. Then, we study the long-term effects of that, given the different incentives.
- 6.53** Not very surprising, but if you go five years, 10 years down the road, all of the owned units are in much better condition: well-maintained, and have higher market value. All of the rental units are in varying degrees depreciated, and in some cases, at the worst end of the depreciation. That is then some data to think about the value of ownership versus use under central management direction.
- 6.54** A controversial example in the financial sector involved what now might seem like the antique savings and loans crisis from the latter part of the 20th century. The way this connects to the tragedy of the commons is that the taxpayers of the United States, in effect, became a commons there to bail out problems that emerged in various parts of the economy. In this case, it was the savings and loan sector of the economy.
- 6.55** A quick version of this story: there's some very interesting literature on this one, particularly if one is interested in the tragedy of the commons. There's a lot of different kinds of financial institutions out there. The banking sector is regulated in various ways about what things they are allowed to do. The savings and loan industry was one subsector of the industry. These were typically small community banks that would take

in loans from the community, and then they would lend that out to people who wanted to buy a house, mortgages, and so forth.

- 6.56** They were limited in their ability to whom they could take and make loans and take in savings and so on. But then along came something called the FDIC, which was the Federal Deposit Insurance Corporation. Effectively, that was the federal government saying of the savings and loans institutions: if any of you go bankrupt, we will bail you out. What this communicated was more directly to the consumers of the bank. If I'm, say, a small farmer or a small shop owner in a community, and I've got my \$30,000 of life savings in this savings and loan bank, the federal government is saying, If that bank goes belly up, they will basically reimburse me my \$30,000.
- 6.57** Now, the bank, the savings and loan, is maybe paying me 2% annually on my loan. So my incentive to leave my money with them is that I get 2% interest per year. But then what the bank can do is then in turn lend that money for mortgages and maybe charge 4% a year. The difference is the profit.
- 6.58** But they also started to realize that if we go belly up, the federal government is going to bail us out. So why do we need to limit ourselves to doing mortgages at 4% or 5%, when there are lots of investments that are out there that are returning 12%, 16%, 18%? And we don't have to worry about the downside, because if the downside materializes, then the federal government will step in and basically give everybody all of their deposits back. But if we can put the loans that we take in, use those as capital and buy some, say, more speculative investments, though, but they're going to return 20% if they are successful, then the difference between the 2% that we're paying to the depositors and the 20% that we're getting is 18%, and so that's much more profitable for us rather than doing loans at 4% or 5% and so on.
- 6.59** The downside being covered by the federal government meant that many savings and loans were institutionally incentivized to take their money and do as much speculative stuff as they possibly could. Then, the way speculative stocks typically go, sometimes it works, sometimes it doesn't, and there was a particular trough in the economy. A lot of the savings and loans got caught, and suddenly the federal government found itself on the hook for billions and billions of dollars. This was back in the day when billions of dollars was a lot of money to the federal government. So it was a huge scandal.
- 6.60** But it is a tragedy of the commons case because in this case, the commons is the American taxpayers. That's an almost unlimited bundle of money. And if we're saying to these private self-seeking actors, you can have access to this funding, that's going to incentivize them to act in not very economically rational manners. So that's one that is worth thinking about.
- 6.61** Another example to float is that we are relatively comfortable, at least in Western societies, with respect to land resources and privatizing land resources. One of the things that we are starting to encounter as populations get larger are water resources

and air resources. These are also equally important resources, but traditionally, when we were a small population, water seems like an unlimited resource. Air seems like an unlimited resource. But what happens, though, when more and more people want to use those resources? Do we start to consider privatizing the resources?

- 6.62** We might think of an example of water. There are lots of examples of fishing associations. One example that comes to mind is in Scotland, where they have a long tradition of fishing in all of the rivers and so on. But there's industrial development, there's farming development, there are suburbs that come in, and there's wastewater runoff that comes from all of those. That affects downstream areas where traditionally, people who like to do fishing, the fish population is affected by a lot of this runoff.
- 6.63** One of the solutions has been for the fishing association or people who form a fishing association to say, "We own this chunk of the river." What that then typically means is we can use the legal precedents that have been developed with respect to the land and apply them to water, considering it now is a privately owned resource.
- 6.64** What happens, for example, if there's a chunk of land here that I am using and you come in and you build a factory on a chunk of land neighboring to me, but you start, I don't know, having waste products that come onto my land? Well, that's a violation of my property rights, and there is a well-oiled legal mechanism for me to be able to sue you so that if your use of your property is damaging my use of my property, an injunction can be placed against you, or you can be forced to pay damages or some restitution with respect to it.
- 6.65** What that then does is that it incentivizes you not to do the polluting or whatever it is in the first place, and so that problem gets solved that way. But if it's a commons, then we can't stop this guy from doing that. So the same thing: we want to apply that to protecting the fish in the structure of the river because we want to fish it, and we don't want the damage here. So we apply the same law. But that requires private property institutions.
- 6.66** The same thing is occurring in big cities. We build more towers there, closer together. But people want fresh air. People need fresh air. The more the air is processed in various ways, the more there are pollutants of various sources. Maximizing the right amount of air around my building becomes an important issue for developers.
- 6.67** It might be the case that if I have built my building here and you buy the chunk of land next to me, and right now, because you have a bus company and you have old diesel buses, right now, I have built my building and all of my air intake for my air circulation system is right here. Suddenly, you've got 100 buses on your property pumping out diesel fumes. That's a problem that needs to be solved.
- 6.68** But it's an air issue. It's not a land issue. It's not a water issue. I have to be able to say, "No, I have the rights to the air in this volume. If your pollutants are coming into my airspace, then I have legal action with respect to you." A lot of this is now cutting-edge

property rights versus commons issues, but all of them are illuminated by the underlying tragedy of the commons problem.

- 6.69** The tragedy of the commons brings forth the status of politics. Naturally, as ordinary citizens, we're interested in our relationship to our government. But there also is an issue for business, particularly business leaders, to think about politics as well. Leadership involves not only knowing your raw material—what is it to be a human being? Not only knowing what your values are, being able to have the psychology and cognitive and affective traits to manage lots of other people, but an important part of the economic landscape is the political environment.
- 6.70** Of course, we have lots of controversies about how big or small or how limited or unlimited government should be, and one can enter into those normative debates. But along the way, as a practicing business person, particularly in a leadership position, being aware of the political controversies of the day as they affect one's business is an absolutely essential part of one's function, and also then, on behalf of one's organization, being able to enter into those political discussions and perhaps alter the political landscape in a way that is important for your business.
- 6.71** We have our competing ethical principles as we've described them earlier: an egoist, predatory versus an altruistic orientation toward ethics. Ethics almost always focuses first on the individual. What is the meaning of life for me? What is the best person I could be? What value should I be seeking? It's me and I focused.
- 6.72** Where politics comes to the fore is when we start to recognize—and this is often fairly early— that all of these things, or the vast majority of them, not necessarily all of them actually, are realized in a social context. And so we need to have, in addition to a personal ethics philosophy, I need to have a social ethics philosophy. How are we going to organize things?
- 6.73** Even if it's simply a matter of we are two five-year-olds playing in a playground, we're going to work out the rules and what are the implicit assumptions about what this relationship is going to be. As the relationships get more complicated—more people, higher values at stake—typically, we want to formalize those in formal governance procedures and then have a formal institution that is empowered to make those governance procedures and enforce those governance procedures.
- 6.74** The connection between ethics and politics is in some ways a matter of scaling up from the individual to larger social groups. But it's also a matter of taking the conclusions that one has reached, when one has done one's ethics, and asking how those can be applied in a larger social context.
- 6.75** The important connection between ethics and politics is this: that we all want to say the government should make good laws and enforce good laws. But that word "good" can't come from the government itself, because what is a good law or a bad law has to

be defined by the science or the area of study that focus on the difference between good and bad, and that is one's ethics.

- 6.76** Then, of course, what we find is that people have different ethical understandings of what it is to be good, what it is to be bad. So when they start doing their politics, they have very different ideas about what a good law and a bad law would look like. At least in the abstract, everybody will recognize that some laws are good and some laws are bad. But in the particular, which of those things fall into which category, is a function of or depends dramatically on one's underlying ethical code. I want to turn to those connections a little more explicitly right now.
- 6.77** Let's do it as a thought experiment for each of them. Suppose we said, first, we've done our ethical theory, and I've come out on the side of being an egoist. Now I'm turning to political philosophy. What, logically, is my political philosophy likely to look like?
- 6.78** Then we unpack the egoist part. I think people are individuals. People have their own life. They should pursue their own interests. They should seek happiness, seek self-realization. I think it's ethical for people to be self-responsible about that, take responsibility for their own life, to work, to improve their condition, to be productive, to recognize that there are other people in society. And maybe you don't want to deal with them, you just want to go and do your own thing. But if you're going to deal with other people, it has to be in a way that your interests are respected and their interests are respected. And so it should be voluntary, mutually beneficial interactions. That's my understanding of what it is to be a good person in a social context.
- 6.79** If I think that way, and I start then thinking about government, what political system is likely to emerge? It's going to be a political system that says people are able to do whatever it is that they want, and when they interact with each other, it has to be on a voluntary, win-win basis. Then the government is going to stop things that don't meet those criteria.
- 6.80** Almost always, advocates of ethical egoism end up talking about free-market capitalism or a free-market liberal approach. Liberty, freedom, the market, as people who are productive coming together to trade stuff with each other, all of that naturally fits. So, some free-market capitalism is the first stopping point, the first transition from ethical egoism to politics.
- 6.81** By contrast, suppose I've done some thinking about ethics and I say, "What's the good life?" The good life is about me getting what I want, when I want, and having the power over other people to make them do whatever I want whenever I want, and having enough power so that people can't do to me what I know they want to do to me, which is the same thing I want to do to them, which is all kinds of zero-sum, nasty things. I'm a predator. I think that's the way life is, and the best thing for me would be able to have a lot of power, so I have a lot of money, I can have sex with anybody I want, and I can have anybody killed that I want, and I have loyal people whom I have paid and

incentivized and aware to protect me from all of the other predators who are out there. I think that's a realistic description of life, and that's the one that I have committed to.

- 6.82** When I scale that up to society as a whole, and I start to think about politics, what is the ideal political system likely to look like to me? I would say some dictatorship is then likely to emerge. It makes sense as a practical matter; if you have a whole bunch of predators together, they're going to fight it out. One will be stronger; one will be weaker. The top one will become the dictator, so to speak, in that group.
- 6.83** If there's a whole network of them, they will all fight out, and there will be some hierarchy that emerges with the top predator at the top, and he will be the one who has all the power, and he will do what predators at the top always get to do. They get to eat first, they get to have sex whenever they want, and every once in a while, they have to go out and show their power and show their dominance with respect to the weaker members of society. So, a dictatorship as a political system is going to seem not only realistic, but also ideal, because I want to be that guy at the top of the heap. So, free-market liberal capitalism versus a dictatorship logically flows out of those two.
- 6.84** Now, suppose by contrast, one has done one's ethics, and you have thought through what it is to be a good person. The conclusions you reach is that I should not be a self-interested person. I should be selfless. I should be giving. Other people have needs. Whenever necessary, I should sacrifice my time, sacrifice my resources for other people. The important thing, really, is just self-sacrifice for the benefit of other people.
- 6.85** If I think that's good for me, but I generalize that, and I think everybody should be altruistic. That's how everybody ought to be behaving. When we are in a society, if everybody is acting altruistically and selflessly sacrificing for each other, anybody has needs, somebody is willing to sacrifice and satisfy that need, and I scale that up to society as a whole, what is the ideal society likely to look like to me and what empowerment should we give to government to make rules to governing that society?
- 6.86** It sounds like instead of saying it should be about me, it should be about other people. It should be about society as a whole, everybody sacrificing for the benefit of society as a whole, and an institution empowered to collect the sacrifices and redistribute according to the neediness in society. Then the first blush seems to be that socialism is going to seem like the morally ideal society that one should advocate.
- 6.87** When one reads the history of moral philosophy as it transitions into political philosophy, and/or one reads backwards, one reads people who are committed to various political philosophies, and they get around to the point of what justifies their political philosophy— this set of links emerges fairly clearly.
- 6.88** People who are advocates of predation think socialism is unrealistic. They think liberalism is unrealistic. At the same time, the accusations go the other way. The advocates of socialism think that predation is immoral and that capitalism is immoral.

Then advocates of liberal capitalism also want to say that, obviously, predation is immoral, but also socialism is immoral because it undermines the freedoms of the individual that we think are fundamental.

- 6.89** No matter how cynical we might be about politics, and it's often easy for us to say, "Oh, politics is not about what's good and bad or what's about right or wrong. It's something else." I think that view needs to be reconsidered because politics is almost always ethical, if one understands ethical in the sense that people go into politics with very different ethical principles.
- 6.90** The person that you might say is the worst, nastiest person in the world— and you probably are right; there are lots of examples of those—but if you get inside that person's head, they will say, "I have a realistic understanding of the world. The world is dog-eat-dog, and probably what you don't like is that you are not the top dog. I'm the top dog, and I feel proud about being the top dog." That's the story that they will tell.
- 6.91** Okay, I want to make a transition here to a sub-issue about power. Obviously, government is about power. But power is one of those words that, again, is used loosely and sometimes used technically. It's fine. There are lots of forms of power. We say that there's intellectual power. Some people have more powerful brains than other people. Einstein—an extraordinarily powerful mind. We know there's muscular power. Some people in the gym can lift a lot of weights. Most of those people are not philosophers, when they go to the gym, who can lift more powerfully less amounts of weight. So there's muscular power.
- 6.92** There's also an important distinction between political power and economic power. As we transition from the discussions of ethics into some political philosophy in just a few minutes, I want to highlight this distinction, which is often a source of much confusion. In the economic realm, it makes sense to say that riches and wealth are a kind of power.
- 6.93** One of the reasons why most of us would like to have more money is that we think it's going to empower us. I start to think here of all of the things that I could do if I had more money. Wealth is a form of power. Power is simply being able to operationalize one's status in order to get to a certain point that one wants to or realize. It's also sensible to say that politics is about power. People who constitute the government: the police, the courts, the military, and so on, have the power to get various things done.
- 6.94** I want to make a sharp distinction between those two forms of power, even though in mixed economies, where sometimes it's not clear whether it's the economic sector or the political sector that is calling the shots, there is nonetheless this distinction. I want to do it just by means of one example of two living people—and this one crossed my desk or my horizon a few years ago, just to illustrate the point.
- 6.95** The year was 2009. It was shortly after the financial crisis of 2008, and there was a commission convened at the federal level in Washington to investigate the causes of

the financial crisis that had occurred in 2008. The person on the right is Wendy Edelberg, and she was pretty high up in that commission, mid-level bureaucrat by Washington standards, but high up in this subcommission that had been empowered in 2009. Along the way, in the course of their investigations, they decided that they would like to have a conversation with Warren Buffett. Warren Buffett was at that point the third richest man in the world.

- 6.96** What is interesting here is that we have two sides of the fence. We have Warren Buffett, who by and large stays out of politics and focuses on economic wealth. He's been extraordinarily successful in the economic sphere, and he has a lot of power in the economic sphere. He's a very powerful man in terms of wealth and riches. Wendy Edelberg is much younger, mid-level in terms of power, but operating in the political sphere.
- 6.97** The anecdote, and what caught my eye and is worth dwelling upon here, is that Wendy Edelberg then sent a letter to Warren Buffett in Omaha, Nebraska, saying to him, "We would like you to show up in Washington, DC, and appear before the committee because we would like to interview you on the matter of the financial crisis." Warren Buffett's response was to say, "I'm not interested. I don't really want to travel to Washington, DC. This is not a set of issues that particularly interests me." What we then have is a political person making a request of an economics person, and the economics person says no.
- 6.98** The second round of letters comes from Wendy to Warren Buffett, and it starts, "You are hereby commanded to appear in Washington, DC, before this commission on this date." That letter gets sent to the third-richest man in the world. The third-richest man in the world, what does he do? He gets on a plane, he goes to Washington, and he appears before the commission.
- 6.99** This is a point about power, because imagine that the invitations had gone the other way. Suppose Warren Buffett had said, "Wendy Edelberg, I heard she's a pretty sharp cookie. I would like to have a conversation with her," and from Omaha, Nebraska, he sent a letter to Wendy Edelberg saying, "Would you please come to Omaha, Nebraska, so we can have a conversation?" Suppose Wendy Edelberg is busy and she says, "No, I don't want to go and talk with Warren Buffett in Omaha, Nebraska." What could Warren Buffett have done at that point? Absolutely nothing.
- 6.100** Of course, he could have written a letter, "You are hereby commanded to appear in Omaha, Nebraska," and she would just tear that up and throw it in the trash basket. So yes, wealth is a form of power, but also politics is a form of power, but they are very different forms of power. In our analysis, no matter how mixed and complicated the economies get and how the political systems get, it's always important to keep the distinction about where the real power lies.

- 6.101** The power of politics is a power of compulsion. If he had ignored that letter, then she could have called the police or the marshals or whichever appropriate branch of the government is. They would have come to his home, arrested him, put him in prison. The most Warren Buffett could do is to say to Wendy Edelberg, "I will give you a million dollars if you come to Omaha, Nebraska." But she can still say yes or no to the million dollars. So the distinction is fundamental.
- 6.102** That leads us into the next question that I want us to drill down into. When we are talking about a government, an entity that has a certain power, it's going to accomplish certain social ends, and a significant amount of those is going to impact business. And so business leadership and government relations is an absolutely essential connection.
- 6.103** What is this thing that we call government? First answer is to say that governments make rules, they make laws, they make regulations and so on. We call them different things. Sometimes they have different status, but those are all in the same area. These are rules that are going to be made. It's a rule-making or a law-making institution for society.
- 6.104** That's a good start, but we also know there's all kinds of social institutions that make rules. Sports—you join a sports team. Your sports team is part of the league, there's lots of rules. There's the rules of the game. There's rules about participating in the league and so forth. We might call it a governance organization, as we sometimes do.
- 6.105** Religious institutions will have rules. If you're going to be a member of our religious institution, you need to believe these things, you need to do these various practices and so on. Universities have rules for their students, rules for the professors. There's lots of rules. Almost every single social institution has rules. Families also have rules, businesses have rules, and so on.
- 6.106** So it's fine to say we have individuals who've come together in some social agreement or social entity or social existence—that has come into existence or already exists, and there are rules that are governed by that social institution. So what we then need to do is to say that if we have all of these different kinds of social institutions, what is distinctive or unique about the government's rulemaking?
- 6.107** I want to suggest there are two fundamental distinctions or two differentia. One is what I call the scope of application principle: the rules that governments make apply to everyone in a society. That is to say, the rules are universal in a society. In a society, there are lots of other institutions, but the scope of those institutions' rules are much more limited. If you belong to a church, the rules of that church only apply to the members of the church. They don't apply to the rest of society. If you are playing a sport, the rules of that sport apply only to people who are participating in that sport. They don't apply to anyone else in society. The same thing for every single other business. So this makes the government a unique institution.

- 6.108** The scope of its rulemaking authority is comprehensive, universal, and that, from the very get-go, makes it a much more powerful institution. Almost all of the other institutions use, "I don't like the rules. I don't like the rules of baseball. I can go and play soccer. I don't like the rules of soccer. I don't like the rules of this university. I go to this university. I don't like the rules of this church. I go to this other church as well." But government is universal for all of society.
- 6.109** The second differentiating feature is equally important, and that is not only that the rules are made and that the rules are made universally, but how they are enforced. Governments enforce their rules by physical compulsion. You see this when you ask the question about what happens when one of the rules is broken. The short answer is: if you break one of the government's rules, the police show up.
- 6.110** The police have batons. They have handcuffs. Sometimes they have guns. They have training in physicality. So they are empowered, because you are perceived to be a rule breaker, to lay hands on you, or if you resist in severe ways, to do even more severe things: to take you, to put you in a prison, perhaps, to bring you before a court of law, and if you are found guilty of breaking the rule, to do various other things, all of which involve coercion, taking money out of your bank account, putting you in prison, maybe even killing you, and so on.
- 6.111** This is important to dwell upon because no other institution in society is empowered to do so. You see that by asking what happens if you break the rules. Suppose you show up at your church, and during the middle of the proceedings, you start to say, "I don't believe any of that. That's all nonsense." You start arguing with everybody. When everybody wants to sing a particular song, you start singing another song. So you're just breaking all of the other rules. What is the worst that that church can do to you? They can just say, "Please leave. We don't want to associate with you anymore."
- 6.112** They can't have a little building out back that is the church jail for the bad believers, and they put you in there. They can't kill you. They can't go into your bank account, and fine you, and take money from your bank account. Same thing that happens at universities, at the universities I teach at. We have bad students. They break the rules in various respects. The worst thing that we can do to those students is say, "You are expelled." That's the worst punishment. "Go away. Maybe grow up and come back in a year or two, but go away." Just dissociation from them. Again, we can't go into their bank account. We can't kill them. We can't put them in the university jail. It's not allowed.
- 6.113** Same thing in sports. You're supposed to be playing a game with a bunch of other people, and you start breaking all of the rules. The worst they can do is say, "We don't want to play with you anymore. Whatever that weird activity is that you are involved in, go be a free agent and go do that. But we are playing the game according to these rules." The worst thing we can do is dissociate ourselves from you. We can't lay hands on you. Government is different.

- 6.114** That then is setting up what I think is the most significant ethics question about politics. If this is what a government is, it's going to make rules—lots of institutions make rules—but the rules that the government is making, everybody has to obey those rules, has to abide by those rules. And anybody who breaks those rules, we're going to send the police after those people. That's how important these rules are. We feel perfectly justified in using physical force on people who break these rules.
- 6.115** That raises the question: What rules are so important about how societies should be formed that you feel entitled to make those claims? And that is not a light claim to make or a casual claim to make. One way of thinking about that one is to say every time I find myself, or you find yourself saying, "There ought to be a law here. It can't be casual. Here's the problem, and I would like to solve it by means of a law." What is built into that is saying, "There ought to be a law, and I think absolutely everybody should behave the way I think everybody should be behaving in that situation." No options. That's a very big cognitive claim to make about every human being.
- 6.116** Also, you are making the claim, you say there ought to be a law, that you are perfectly willing to see that person physically manhandled and put in prison, perhaps even killed, if they break your conception of what the law should be. You are authorizing a certain coercive, very awesome power.
- 6.117** If we think the governments should do some good in society, what that means is that we need to do some very deep thinking about what the good is, and we need to be very clear about what our ethical philosophy is that we are trying to import into our political philosophy. The egoists want to say, "We need to make rules that allow space for egoism." The altruists are saying, "We need to enforce altruism." And the predators are saying, "This is just the way it is, but also I am quite willing to enter into the fray and use the political power that I acquire in this way, and I'm perfectly justified in doing so." Let's pause there for today.

Lecture 7: Customers & Employees

At a glance — Customers and employees — relationships central to business.

- 7.1 A pretty common saying in business: to be successful in business, one has to be a Jack of all trades or a Jill of all skills. To be successful, not only does the business owner, business manager, business leader need to know all of the nitty-gritty details of the business, the financial plans, the accounting, the marketing, the production schedules, and so on, but then also to be able to scale out and become not necessarily expert, but keeping up to speed on what general industry trends are going on, what the competition is up to, how the economy as a whole is going.
- 7.2 Then, dealing with customers, dealing with employees, often that's on a one-to-one basis, a series of individualized relationships, even though many things are done in groups as well. It means one also needs to be a psychologist because people are psychologically complicated in order to do so well. Then, scaling out to all of that, what's the whole purpose of this business? Why am I in business? What does my business activity mean for the rest of my life?—a philosopher as well, or at least philosophical about the organization. So it's complicated.
- 7.3 In many cases, the most complicated part is dealing with the individual people with whom one has working relationships, typically 8, 9, 10 hours a day. The core of most business relationships is the relationship between the business and its customers. When businesses are small, we start with a buyer and a seller. They come together, they form a relationship. Hopefully, they walk away from the relationship both feeling better off.
- 7.4 When the business starts to become more successful, the business owner hires someone, and is typically working with that person intimately over the course of many hours, every day of the week almost, many days during the course of the year. And that then is a very complicated relationship with many dimensions as well.
- 7.5 So a part of business ethics and business leadership ethics is to figure out what are the optimizing policies for business consumer relations and business employee relations or employer-employee relations. That's what I want to focus on today, working on those special relationships. In a way, those are the foundational relationships inside an organization.
- 7.6 We already know that business is a value-laden enterprise. Everybody who is involved in a business is trying to get something out of it. They have life goals, and the business is a part of them achieving their life goals. When we start to think systematically about values, then we get into ethical philosophy, and everything is very controversial there. To be successful in thinking about business as a value-laden enterprise necessarily means that one has to sort out for oneself what one thinks generally about ethical

principles—Is one an egoist? Is one a predator? Is one an altruist?—And then, to make that a principled way of doing one's business.

- 7.7** At the same time, you're going to be dealing with other people. Since all of these ethical principles are controversial, and many of them have long historical traditions, and we're importing people from different parts of the world with different ethical traditions, just to be able to have conversations with people means that one needs to be aware that some people are more predatory, some are more altruistic, some are more egoistic. Those conversations to be informed and hopefully to reach some resolution means that one needs to be up to speed on the ethical principles, the ethical discussions, and the ethical debates.
- 7.8** Now, centrally, businesses are about making profit, making money in a competitive situation involving trade. That leads us to think about economics in general. As we again know, economics is another extraordinarily controversial discipline, but one needs to be up to speed on that. One has to be able to think in terms of cost and benefits and all the tools that economists have developed to help business people do their businesses better, but also from the economist perspective, just to figure out what is going on in the business. So this language of costs and benefits and risks and uncertainties and being entrepreneurial versus being in a commodity business, figuring out whether various kinds of transactions and principles, if they are put into place, are going to be win-win or whether they're going to be win-lose, all of that economics-y language is, again, part and parcel of the business thinking.
- 7.9** Also, it's the case that we live in a politicized business environment. Currently, most countries around the world are a mixture of some free market capitalist elements, some socialistic elements. Some countries are closer to being more free-market, some are closer to being socialistic. The vast majority of them are somewhere in the middle. But the political climate of any given business is extraordinarily influential on how it conducts its business. So this then means that the person in business needs to be up to speed on political issues: What's the current political lay of the land? What is it likely to be one year, five years, 10 years from now?
- 7.10** Then, all of the political debates over what the laws and regulations of the land should be so that person can anticipate, but then also, hopefully, participate in the process of making the business political environment more amenable from that person's perspective to being able to conduct their business. If one is doing international business, it's even more complicated than that because of the great diversity of political systems around the world. The point of all of this is to underscore simply a very obvious point that it's really, really complicated. To do business well, to be successful, one needs to be able to enter into—informedly—into all of these areas and then put them together in a package that enables you to do better at your business.
- 7.11** Now, what I want to do is not to be too intimidating right off the front, is to say, I want to work through this flow chart that I have developed. It's to take one issue in business

customer relations and show how, as an informed person, one would think through the ethical debates, the economic debates, the political debates, and then reach one's own informed conclusion.

- 7.12** I've chosen the topic of rent control, which is a perennially hotly contested topic. It's likely to be a continued hotly contested topic and a reality for significant portions of typically major cities in the United States, but also others around the world. One needs to have an opinion on this, but how does one reach an opinion on this? The idea is that, in part, there are substantive issues about ethics and economics and politics that are involved. But also, since it's such a complicated issue, and it's just one complicated issue of many, developing methods of keeping track of where one is in one's thinking is also important.
- 7.13** Just as accountants will develop spreadsheets and production people will develop complicated flowcharts about what is going on, I would recommend when one is doing philosophy and dealing with any complicated issue, or in this case, a leadership issue, where there's a lot of different moving parts and each of them is controversial, developing some methodological tools in order to be able to keep track of one's thinking and know when one has likely reached a resolution. So the point of this is to be a guide and just one indication of how one might approach this.
- 7.14** Suppose we think about rent control as a particular issue, and we start to frame what the issue is about. Well, we have people who are landlords and people who are tenants. In this case, the commodity in question or the value in question is housing. One of the basic needs human beings have is housing, so this one is quite fundamental. In this case, the landlord, we would say, is the seller, and the tenant is the buyer. So it's a subspecies of buyer-seller relationships, but this is terminology we've developed in the context of the real estate market subset, the rental housing real estate market, and so forth.
- 7.15** Ordinarily, when we think generally about buyers and sellers, we develop a moral vocabulary about it. The idea would be something like a standard analysis: if I want to become a buyer, first I need to become a producer. I need to create something of value so that I have something to trade with when I go to the market. The same thing holds if I want to be a seller, I have to first make something in order to become a seller in the first place. Then the buyer and the seller, supposing they have overlapping needs—the buyer has something that the seller wants, often money, the seller has something that the buyer wants, a product or service—they become aware of each other, they come together, they negotiate a mutually beneficial relationship.
- 7.16** In this case, what are we talking about? We're talking about people who have real estate property that's suitable for housing, and they are willing to put that on the market and trade money for it. Other people can use it and they will get money for it. On the other side of the equation, the buyer is someone who needs housing or wants

housing, and so should be happy initially that there are someone out there who has available housing, who is willing to trade some money for the use of that housing.

- 7.17** Now, I might say, "Well, maybe instead of renting, I could buy some land and build my own house and solve my housing needs." That might be one way of exercising my self-responsibility. But maybe that's not a desirable option for me. Another option for me might be that someone has built a house already and I could purchase outright that house from that person. So I've got that option as well, and I could be a self-responsible person looking after my housing needs by buying a house.
- 7.18** But suppose I don't want to build a house, or suppose I don't want to buy a house. Maybe I want to move around a lot, maybe I'm still young, and I haven't saved up much money. Maybe I'm not very sure about what my future employment prospects are, so I want to keep my options open. Whatever my reasons, I want to rent now. So then I seek rental housing.
- 7.19** The point of this long preamble about things that might seem very obvious is to say that these must be remembered as the foundational terms under which we entered into the relationship that we call the buyer-seller, in this case, landlord-tenant relationship. We're emphasizing that both parties are self-responsible individuals. They are entering into the market to engage in voluntary trades. They don't have to do business with each other. If they do decide to do business with each other, they both will be informed, they will engage in negotiation, they will reach an agreement, shake hands, sign a contract, and therefore become bound by that contract. And so what we should do is think of a rental agreement under all of those terms.
- 7.20** That description enables us to back up in abstraction and assign some labels that we have developed in this course to the extent that we say that both parties are and should be self-responsible agents. If I'm a landlord, nobody has to come and live in my rental unit. I've made some decisions that I want to go into this business. I'm functioning as a self-responsible agent. If I want to become a tenant, nobody owes me housing. It's my responsibility to house myself.
- 7.21** To the extent then that someone is on the other side of that transaction or potential transaction, I should see that person as a value to me. Landlords are happy that there are people who want to rent from them. Tenants are happy that landlords are available to provide rental housing for them. So there are potential win-win relationships involved. Now we're talking economics-y language. We have an asset, it's traded under voluntary terms, and ordinarily, we think that the relationship between the landlord and the tenant should be a win-win transaction.
- 7.22** What then is the political dimension of this? The idea here would simply be to say that we let people do what they want in the rental housing market. If we have self-responsible agents who have become informed, who have negotiated, who have signed a contract, then the job of the government is just to make sure that the terms of the

contract are honored. The landlord has his or her property rights. The tenant now has his or her contractual rights that the landlord has agreed to. And as long as property rights are respected and the contractual rights are respected, the government is going to let people do whatever they want.

- 7.23** People have different values, so the government's not going to say, "This is the proper price for rental units," because rental units are very different. Some of them are big; some of them are small. Some of them are in new buildings; some of them are in old buildings. Some of them come with laundry facilities; some of them don't come with laundry facilities. Some of them have these aesthetic features; some of them have these other aesthetic features. So there's no such thing as the right price for, say, a one-bedroom, or a two-bedroom, or a three-bedroom apartment.
- 7.24** It's up to the landlords to provide what the tenants want, what the tenants—to find what it is they want from the landlords, to work out the price between the two of them. Should it be a three-month lease, a six-month lease, a two-year lease, or a five-year lease? That's completely up to the parties who are involved. The idea is that we will have a free market in rental housing, and in a free market, self-responsible agents will work out mutually beneficial or win-win transactions.
- 7.25** The only time the government is going to step in is if someone starts violating someone's property rights. Maybe the tenants sometimes damage the property, and if the tenant does not make it good, then the landlord might have recourse to the government to protect his or her property rights. Or suppose the landlord has contractually agreed to do certain things, provide certain subservices along the way, maybe the landlord has agreed to pay the electricity or to keep the temperature within a certain range that's specified in the contract, if the landlord fails to uphold his or her end of the contract, then the tenant will have recourse to the government to make sure the contract gets up whole.
- 7.26** This is what we call a standard analysis. We're applying to the rental real estate market, the analysis that applies to any business customer relationship. It doesn't matter if I'm buying a car, if I'm buying clothes, if I'm buying food, anything that I would buy, we would use these same general terms. Buyers and sellers come together as self-responsible agents. They negotiate, they make an agreement, and as long as nobody's rights are being violated, the government stays out of it. But if the government finds that someone's rights are being violated or the government is appealed to in a rights violation case, then it will step in.
- 7.27** What this implies then is that rent control is a non-starter because the idea of rent control is government stepping in and saying what the price, at least one of the terms of the transaction, is going to be. It might say that one-bedroom apartments can only cost this amount of money, two-bedroom apartments, only this amount of money, three-bedroom apartments, this amount of money. It doesn't matter whether the

landlords and the tenants would negotiate for different prices, higher or lower. It is overriding whatever the free market pricing would be.

- 7.28** The question then is: Why might we think that the government ought to engage in rent control? Because we do know many major cities around the world do have rent control, and in some subsectors, it is an enormously popular policy. So what are the arguments for rent control?
- 7.29** The way they typically go is to say that this idea of abstract rights— equal rights, property rights, equal contractual rights—is inappropriate in the rental housing submarket. Maybe there are lots of other business consumer relationships where we can leave things to the free market, but there is something special about this particular submarket. What we need to do in this particular submarket is not pay attention to the contractual agreements people might reach or property rights, strictly speaking, but rather to the relative economic differences between the two agents who are involved in the transaction.
- 7.30** The way this argument often goes formally is to say, first, if we look at tenants as a group—obviously, there are going to be some exceptions here—but by and large, tenants tend to be people who are poorer than the average person in whatever economic grouping we are talking about. And they typically are younger people. What that then means is that relative to the party they are negotiating with, landlords, who are typically richer and older and more experienced, we have unequal bargaining power that's going on. The power issue becomes more important than the rights and contracts issue.
- 7.31** So if I am a tenant and I go to the big city, I'm a young person trying to start out in my world, I'm attracted to the big city—big cities typically have very high rental prices, but I'm just a young person starting out—it's a struggle for me to be able to afford the rent in that circumstance. Also, because these cities are typically concentrated, the supply and demand ratio is that the demand for rental housing is typically very high: lots and lots of people want to live there.
- 7.32** But the supply of rental housing is fixed, or lower, or more static, or can grow only at a slower rate. We might think of cities like Manhattan, that borough of New York, which is a very attractive location for people all over the country and around the world. But it's bounded on three sides by water, and it's very hard for Manhattan to—it can't expand out, it can only expand up. That's often a very expensive building proposition. So the supply is fixed or can grow only at a very slow rate. But at the same time, it's very popular, so the demand is very high.
- 7.33** Anytime you have a fixed or slow-growing supply, very high demand, you're going to have very high prices. But at the same time, we've got all these younger people who are coming in and they don't have a lot of money. So it's a very difficult situation for them, and we feel sympathy for people in that circumstance.

- 7.34 At the same time, they don't have very much bargaining power because of the circumstances. They know what their budget is in mind, but they go in there, they start talking to a landlord, the landlord says, "This is what your rent will be," and the person is shocked and says, "Wow, I don't know if I can afford that. At the same time, I can't say no, and I can't try to negotiate with this person because I know there's 100 other people who will take that apartment if I don't take the apartment. So I don't have any bargaining power. I don't have a lot of money." But housing is a basic human need. So our sympathy goes out to people who are in this circumstance that we want to help them out. That's one part of the argument.
- 7.35 At the same time, we look at the landlords, and we say, "What is their economic circumstance?" Almost by definition, we'd have to say that the landlords are richer people. If you are in a position where you have your own housing needs looked after, you've got your own very nice condo, or you've got your very nice house in the suburbs or wherever it is, and you've got money left over to buy investment real estate, you must be a richer person. So we have poorer people negotiating with richer people, and chances are good that you're more savvy or more experienced in business, so you know how to negotiate better than these young people.
- 7.36 The argument here, then, is that if we leave things to a free market, what's going to happen is that the landlords are going to win and the tenants are going to lose. The landlords will get what they want. Tenants will not get what they want. What the landlords want is high rents; they will get the high rents. Tenants want low rents; they will not be able to get what they want. But we're dealing with people who are richer and who could probably afford to take a little bit of a financial hit. And we're dealing with people who are poorer, who it really would be good for them to get a leg up, particularly when they are younger and just getting started out.
- 7.37 The language, though, that we often find from this perspective is that the landlords then, because they are able to get what they want while the tenants can't, is that landlords are able to take advantage of the poorer tenants. That maps directly onto the language of predation. Landlords are able to function as predators in real estate markets like this. Then, we add the fairly obvious premise to most people: there's something wrong with predation. Predation is dog-eat-dog, and we are not about dog-eat-dog economic transactions.
- 7.38 But if we think that the free market is going to lead to predation, then we have an argument for saying that someone needs to step in and override the free market to stop the predation from going on. That then is an argument for an interventionist government because the government is more powerful than the landlords. It's able to set universal rules that are backed up by force. It can say, "In this circumstance, we make the judgment call. Landlords are making high profits. Maybe we think profits are suspect as well. They can take a hit on the profit, so we will lower the price, and at the

same time, we are cutting the tenants a break." The tenants are in a morally favoured category according to our anti-predation ethics.

- 7.39** We might also be more informed or think in terms of traditional altruism and say that if you are a richer person or a more powerful person, you have an obligation to help out and sacrifice for those who are in a less advantaged situation. What we then have is a certain analysis of an economic analysis of the circumstances in the rental market, which leads us to conclude ethically that it's going to be predation that is operative. Then we bring perhaps an altruistic ethic to justify an interventionist policy.
- 7.40** This is not socialism, but it's also not the free market. It's somewhere in the middle. It's an interventionist position. The government is intervening. It's not taking over the rental estate. It's not saying, "We're going to provide the housing. We are just adjusting some of the transactions that are going on in this subsector of the free market." So it's a mixed economy, or it's an interventionist position.
- 7.41** Sometimes, the word paternalism is used here, that the government is functioning as a father, looking after children. Children need a helping hand. You're not going to do everything for the children, but you'll step in and give them an assist, and you'll protect them from the bullies once in a while. In this case, the landlords are seen as the bullies and the tenants more as the children who need a leg up to get a foothold in the rental market.
- 7.42** What we then have is, initially, an argument that says we can and should see landlords and tenants as self-responsible agents, who negotiate voluntarily to a win-win result, versus a position that says that no, really, what's going on here is parties with unequal bargaining power resulting in predatory win-lose transactions. We need to use a different ethic to justify a government intervention. We're right in the middle of all of the ethics, all of the politics and all of the economics so far. What we then have is an initial argument that says that we should have a free market, and an initial argument that says that we should have some rent control.
- 7.43** The next stage of the argument is typically from the people who are opposed to rent control, who will say that the rent control is trying to solve a certain problem, and we might not agree with your analysis of the problem, but what you are doing is you are enacting a solution, in this case, rent control, that we think is going to actually make the problem worse. Here, typically, the economists in this field go to work—economists who are experts in rent control.
- 7.44** Here are the kinds of arguments that they will make. Suppose rent control gets passed, so we go from a non-rent-controlled market to a rent-controlled market. Or we have some rent control in place, and the politicians come along and say to change the rent control regulations, make them more stringent, lower the prices more, and so forth. Something like that occurs. What we then have is two parties, landlords and tenants, who are going to be incentivized differently now as a result of this new policy.

- 7.45 What we need to do is say that maybe it sounds like all you're doing is taking a little bit of profit away from the landlords and lowering the rent for tenants, but those are both policies that change incentives and change long-term consequences. So again, we have a particular action. We know what the incentives are, but now we need to figure out what the actual consequences are going to be.
- 7.46 One thing is to say that obviously, landlords are not stupid, and when anything affects their bottom line, they think about how they can change the circumstance. So if you say rent control is going to be increased, that means that my profit as a landlord is going to go down. What will I do as a landlord? I, say, own a multi-storey or a multi-unit apartment building. One of the things I might do and probably will do if I'm a responsible business person in this is say that I have all of my rental income that comes in. I pay all of the expenses. I set a certain amount of money aside for maintenance and future maintenance. I know every 20 years, the roof has to be replaced, and that's a big ticket item, so I'm going to save 10% of the cost over 10 years or 5% of the cost over 20 years so that when that big bill comes in, I am covered.
- 7.47 But right now, because of the rent control, I'm taking a hit. My profits have gone down, say 10%, 20%, whatever the amount is. I don't want my profits to go down. I want to be able to take those profits out at the end of the year and do whatever it is that I want to do. So one of the things I might do is then say that I do have all of this money sitting in the maintenance fund. So I'm going to take money out of the maintenance fund and put it in the profits fund and take it out as profits.
- 7.48 But what that will then mean is that the landlord will be engaged in less maintenance. I might say that we have a cleaning service that comes through once a week. I'll have the cleaning service come through once a month or whatever it is in the maintenance budget. What this means, though, is that the tenants are therefore getting a rent reduction. That's true. But they're also now living in a house or a rental unit that is less well-maintained. It's a little bit dirtier. It's worn out a little bit. Are they better off or not better off?
- 7.49 At the same time, to the extent that this happens systematically over the course of year after year, buildings that might last 50 years or 100 years start to wear out sooner. Buildings that are not well-maintained wear out after 25 years or 40 years. The effect of rent control across a generation is—we might take a neighborhood where we have some pretty decent houses, and a generation later, those houses are not very well-maintained. We're on the direction to making a slum. A slum would be the end limit of houses that are not well-maintained at all.
- 7.50 At the same time, rents have gone down. So the landlords might start doing various things, but tenants also will react. My rent goes down. Suppose I was a younger person, I moved into the big city, and all I could afford was this studio apartment, very small. I figured out a way to make it so I can pay my rent every month. But rent control comes

along, and my studio apartment rent goes from here down to here. I say, "That's great. I like that." But now I've got this extra money. What can I do with this extra money?

- 7.51** One thing I might do is to say, "I've been really cramped in this one-bedroom apartment or studio apartment. But what I've noticed is that one-bedroom apartments used to cost this much, and because of rent control, now those cost what my studio apartment used to cost before rent control came in place. Maybe what I should do is move from my studio apartment into a one-bedroom apartment, and I'll be paying the same rent." Of course, then people who are living in one-bedroom apartments, some of them will upgrade to two-bedroom apartments and so forth.
- 7.52** The idea here is that rent control on the landlord side means we're decreasing the quality of the supply, and over time, the quantity of the supply, as the buildings wear out, is going to go down. So the supply is going to go down. At the same time, we're increasing demand. Now people will want more and bigger apartments.
- 7.53** The same thing will occur also for people who are outside of the area. So if we think of Manhattan as our example, Manhattan is very expensive. Maybe I'm a young person, I think I can't really afford to live in Manhattan, so I will live way out at the end of Brooklyn, where rent is cheaper, and I'll take a long subway ride into the city where I need to work. But if the rent in Manhattan goes down, then that person way out at the far end of Brooklyn will say, "Now I can afford to move into Manhattan." So this demand will increase. What we then have is already an indication that supply is going to go down and demand is going to go up. What that means from standard economics is that we're going to have increased price pressures.
- 7.54** But it gets worse from this side's perspective. It's not only that the buildings wear out, and after one or two generations, we've created a slum. One of the interesting things is that when rent control comes in, typically, people get out of the rental market. Landlords will then say, "Maybe last year I was making 10% on my rental units. Now my profits are 6% on my rental units. But I've got my capital tied up in this \$10 million building in Manhattan, and it's only making 6% now. Maybe what I should do is sell my \$10 million apartment and buy a bunch of fast-food restaurant franchises, or put the money in gold, or put it in some other investments."
- 7.55** What this will then mean is that there will be a significant number of landlords who get out of the real estate business. All of that capital then flows to other industry sectors. What that means is that there will be less capital available for building new rental housing. People who don't have buildings will also be looking at this market and say, "Last year, before rent control, we could have made 10% if we built something. Now it's only going to be 6%. Let's look at some other investment vehicles."
- 7.56** What that will then mean is that there will be less demand for the real estate. Prices will go down. The landlords who are trying to get out of the rental business will be forced to sell their buildings for less. Last year, my building was worth maybe 10

million. Now it's only worth 8.5, but I really want to get out of this business, so I will sell it for 8.5. Property values then go down.

7.57 We might then say, "Oh, we don't really feel sympathetic to landlords because they're rich guys. They own \$10 million buildings," and so forth. But another thing we might think of as politicians is that the tax base for property taxes is based on the assessed value of the buildings. If we had a neighborhood where there was a bunch of \$10 million buildings, then we are drawing taxes, city property taxes, based on that assessed value. If all of those buildings now were only worth \$8.5 million or \$8 million, then we eventually have to adjust the tax base, and the property taxes that we're going to get from that will be less.

7.58 Then we say, "What do we, as the city, politicians, do with the tax revenues that we bring in?" One of the things we do is we have parks, city parks. We look after the parks, or we have trash collection that goes around, or we have police, or we have fire services. But if we have less money in the budget, then as politicians, naturally, we say, "I guess we have to start cutting things. We'll start cutting the park maintenance budget." Streetlights go out; we won't replace them as often. The trash starts to—instead of trash collection twice a week, we'll have trash collection once a week or once every two weeks, whatever it is that we can afford. So the deterioration goes down significantly.

7.59 The end result of this, and then economists who study this will say that if we look at places where there used to be perfectly fine neighborhoods three generations ago, but rent control came in, there's a strong correlation between those neighborhoods and the neighborhoods that are now slums, where a lot of people live in rent-controlled housing. They hate their landlords because the landlords aren't doing maintenance. The landlords hate the tenants because the tenants are unhappy with the landlords. Typically, it's a quality of a person who doesn't want to negotiate with landlords and sees it as a win-win transaction. So we've created a physically deteriorated neighborhood, where the social relationships are quite negative.

7.60 One other thing is that often there's a predation that gets encouraged at that stage, because suppose you are a landlord and you didn't get out of the market, but 20 years ago, you had a pretty nice building, but now you have a building that is not in very good shape. You can't sell it. What you might consider is if you have paid your fire insurance premiums regularly, hiring someone to go in and do some arson. Hopefully, you get the arsonist to do it when everybody is out of the buildings, or you have the person call. But higher rates of incidents of arson, and sometimes it's hard to tell what's arson in a deteriorated building, compared to just a normal fire that might happen in a deteriorated building. So you'll have significant amounts of predation in that case.

7.61 The other thing that often occurs is an increase in the black market in rental housing, because now what we have is a situation where rents are high in the non-rent-controlled parts of the city. The rental-controlled parts of the city are very attractive.

But who gets to live in the rent-controlled parts of the city? Typically, the city government will have some income requirements. They might keep a list, and check your tax records, and so forth, and see who qualifies for rent control. This is one way of administering it.

- 7.62 Then the question is going to be: Do I know someone who, say, works in City Hall who knows who is on the list and maybe can add my name to the list? Often, there's a queue of people who want to get onto the list. I might be 85 on the list. Can I get bumped up to being number 4 on the list? Rather than that being a free market allocation of rental housing, we have a political poll, who knows who, and various kinds of fraud. Every once in a while, there are scandals that emerge or someone who is a superstar athlete and has apartments in eight different cities or a superstar model who works all over the world but has a very nice apartment in a rent-controlled district in New York. So multimillionaires who you ordinarily would not think would be eligible for rent-controlled apartments, nonetheless, find a way to do so.
- 7.63 So the argument then is that we have a thorough corruption of the social relations between landlord and tenant. We have a deterioration of the buildings, and the political culture itself becomes corrupted. The argument is now, at this stage of the development, that it's not the case that—we start perhaps with the case of thinking that landlords and tenants are going to work out win-win transactions by and large.
- 7.64 The other analysis comes along and says, no, it's all win for the landlords, it's a lose for the tenants. This argument says it ends up being a lose for everybody. It's a lose-lose. Tenants lose because they're living in substandard housing now, and their landlords aren't working with them. And the landlords themselves also lose, and then the broader culture also loses. So is it win-win in a free market, or is it win-lose in a free market? Would rent control be a lose for the tenants, but a win—sorry, a lose for the landlords, but a win for the tenants? Or would it be a lose-lose for everyone involved? We've now covered all four options.
- 7.65 One more big subtopic. We're emphasizing the moral language and the economics language. I'll say a little bit about the politics, but I want to get to it by means of this quotation here. This is from what was originally the Fortune Encyclopedia of Economics — second edition, it became the Concise Encyclopedia of Economics—an article by a professor who is writing on the rent control phenomenon, explaining the economics and a little bit of the political machinations that are involved.
- 7.66 One of the things that he noted was that rent control is something that most professional economists have studied and have an opinion on. It's a price control. A lot of them will say that price controls have certain negative effects. Some of them will argue that sometimes price controls are justified. But by and large, when you poll professional economists, they will agree with the position that says that rent control ends up being a lose-lose for everyone.

- 7.67 "Economists"—according to this quotation—"are virtually unanimous in concluding that rent controls are destructive." So all the stuff that we just went through. A poll of 464 economists published in the American Economic Review, an academic journal, "93% of U.S. Respondents agreed, either completely or with provisos, that a ceiling on rents reduces the quantity and quality of housing available." Among Canadian economists, the number was a little bit higher. He goes on to point out that this is not just conservatives or liberals or free market people or socialists. It's by and large across the board. All the economists want to say: rent control is destructive, don't do it; bad policy.
- 7.68 We now have then a follow-up question: If it's the case that so many economists are saying that rent control is a bad policy, why do we still have rent control in so many major cities with such support from politicians? It's almost impossible to find a politician who will say that he or she is opposed to rent control. What we then have, it seems like that the politicians are largely in favor of rent control, and the economists are almost uniformly against rent control. So what's going on here?
- 7.69 The answer has to be that whatever value calculations the economists are making are very different from the value calculations that the politicians are making. Ultimately, the politicians are the ones who make the decisions here. But nonetheless, we typically would think politicians have economists on their boards of advisors. They know that they are not economic experts. They listen to their economic advisors. If it is the case then that 93% of all of those economic advisors to politicians are saying, "Don't be in favor of rent control," but nonetheless, the politician ignores his or her own advisors and votes for rent control, something very interesting must be happening here.
- 7.70 This is where public choice economics, I think, is very useful. We have some discussion of public choice subfield of economics in other courses here at the academy and at universities. The argument here is that we have to understand that in a democratic republic, how politicians think is not necessarily in terms of what good science, good economics, good public policy thinking would think.
- 7.71 The dynamic will say, politicians—what do politicians want? Of course, they will say they want good policies that are in the public interest, whatever that means to them. But really, what do they want? They want power. They want to get elected, they want to stay in office, and they want to get reelected. In a democratic context—small-d democratic context—that means no matter how cynical we are about politicians, you as a politician have to listen to the voters. And so politicians pay attention to what voters' opinions are.
- 7.72 If we go to big cities like New York, San Francisco, Zurich, and so forth, and we look at most people who are in those big cities, since they are so expensive— they're very big magnets to people trying to get higher up in the economic ladder, but a lot of them start at the bottom—there's a huge number of people in those cities who are renters. And so the question then is going to be, if I'm a politician and I am up for re-election,

and I am polling most people in my city and most of them are renters, what do they think about rent control? Virtually all of them are going to be saying, "Sounds like a good idea to me. My rent is really high. I like the idea of a politician who says he or she is going to lower my rent a little bit."

- 7.73** So the politician will listen to those people. At the same time, we've got some economic advisors. Maybe the politician went to college, maybe took an economics course, maybe understands the arguments and says, "Yeah, I get all of that, but there's not very many economics people who are voting for me. Economics professors, very few of them. There's a huge number of people over here who are in favor of rent control. Which one am I going to listen to?"
- 7.74** If we're a little bit cynical about politicians—and sometimes it's hard not to be cynical about politicians—I might be, as a politician, quite convinced because I'm smart enough to see the arguments against rent control that it's destroying my city in the long run, but I'm still going to vote for this one. I'm never actually going to come out publicly and say my true opinion, which is "I think rent control is a bad idea." I'm going to vote for it because that's the thing that's going to keep me in power.
- 7.75** What we have then is a big challenge for us. We want to think that the truth is going to prevail or the better arguments are going to prevail. We also think democratic, republican political institutions are the best ones going, but very often those point in significantly different directions, so we have a challenge to overcome.
- 7.76** The point I want to walk away from this is to say that to work all of this out, everything is controversial, as we're looking at some ethics issues, and the language of egoism and self-responsibility comes up, the language of predation comes up, the language of altruism comes up in sorting out just the ethics positions here. The language of win-win versus win-lose versus lose-lose, all of that economics talk, and figuring out short-term and long-term economic and business consequences, all of that comes up as well, as well as the arguments over what the proper role of government is or should be: principally free market, principally interventionist, mixed-economy paternalist or whatever. Methodologically, working out some sort of, often a visual mapping of all of the arguments and how they fit together, is a very useful tool for people sorting these issues out.
- 7.77** There's one other issue just to make the problem even worse—even if we come to the side of saying that maybe price controls are damaging. Maybe in this particular case, I'm a politician who is sympathetic to eliminating rent control. And suppose I have enough chutzpah or courage to stand up and say, "I really think we need to do something about rent control, even though I know it's politically unpopular." And suppose I get enough people politically on my side to be able to do something about it. There still is the follow-up hard question about whether we do it quickly or do it slowly.

- 7.78** Because we might then say, the sooner we get rid of rent control, we know immediately rent prices are going to go way up. That's going to be very painful for the tenants. That's a hard pill to swallow politically. But then we look at the other side of the equation and say, as soon as profits go up, landlords, of course, will be very happy. There's going to be a lot of people who will want to get into the rental housing market because the profits are so high. There will be lots of new construction. There will be people who have a separate, extra bedroom to rent out in their house. They will be encouraged to add that to the mix.
- 7.79** So the problems will be solved relatively quickly, but a lot of pain initially. Versus maybe phase out rent control over 20 years, which means we spread out the pain. It's lower doses each time, but we don't get the fix until after 20 years. So I often think it's the decision we make when we know jumping into this pool is going to be good for our health, to get in there and swim and do some exercise, but the water is cold. Do you just jump in and get it over with, or do you inch in and take it slowly? That exactly is the dilemma politicians face.
- 7.80** I want to do the same now by switching from businesses and consumers and looking at a complicated issue internal to businesses, the relationship between employers and employees. Here we have another price issue. In this case, the employers are the buyers and the employees are the sellers. The employers want knowledge, labor, skills. Employees, potential employees, have those to offer, and they are selling them to the employer. So it's a buyer-seller relationship.
- 7.81** One of the terms of the relationship is what the price is going to be. There's lots of things about working conditions. Do you like the people that you are working with? Do you have prospects for rising up in the ranks, learning things that you might take to some future business or entrepreneurial venture? Employees will think about lots of dimensions. Employers will think about lots of dimensions of the transaction. But certainly an important part is: What's the pay going to be? Show me the money, so to speak.
- 7.82** Again, typically what the employers want, they want to get super smart, knowledgeable, skilled, motivated employees for the lowest possible price. And then what the employees want is as much money as they can possibly get for whatever work it is that they have to do. That is something that also needs to be negotiated.
- 7.83** What we will find is, when we sort through the minimum wage debate—and again, it's a moderately complicated set of issues, everything is controversial, where there's an ethics component, an economics component, and a politics component to it—we end up with another big complicated chart that I'm recommending for methodological reasons to sort out one's thinking. Let's see how this goes.
- 7.84** One way to think about employment is, and it's a standard way, to say— and we'll start with morally charged language from the beginning—you are responsible for your life. If

you take that as a moral principle, that means I am responsible for making a living, being productive in some way. I could become an entrepreneur, or I can go and work for someone else. That's a choice that I can make. If I go to work for someone else, how should I think about, on principle, my going to work in a relationship with someone else in that particular relationship?

- 7.85** This is Andy Grove, CEO of Intel, and he puts it somewhat negatively, initially, "The sad news is, nobody owes you a career." In general, nobody owes you anything. You owe yourself to make your way in the world. That's the point. But if you go into expecting that people are going to give you what you need, that's a sadness that you're going to have to endure. "Your career is literally your business. You own it as a sole proprietor. You have one employee: yourself." So think of yourself as in business, as an entrepreneur entering into the labor market. This is the right self-responsible psychological set.
- 7.86** "You are in competition with millions of similar businesses, millions of other employees all over the world. You need to accept ownership of your career, your skills, and the timing of your moves. It is your responsibility to protect this personal business of yours from harm and to position it to benefit from changes in the environment. Nobody else can do that for you." This is a strong assertion of egoistic entrepreneurial self-responsibility.
- 7.87** If we take that and we apply it to the employment market, how should this transaction go? We would say in general that employers want certain things from employees. Employees want certain things from employers. They check each other out. They do a certain amount of negotiation, including negotiation over the price and where the wage is going to be. If they're both happy with that negotiation, they shake hands, they write a contract, and now they have become a team. They are part of the same organization, each doing certain things for the organization, and the compensation structure has been worked out.
- 7.88** That's fine. Let people do whatever they want, do whatever work they want, whatever prices they want, whatever working conditions they want. If they are voluntarily accepting those, voluntarily willing to provide those, that's what the labor market should be like. We'll have a free market in the labor market. The only time government would step in is if there are obvious violations of the person's rights, some of the contractual provisions are not respected, or someone has lied, perhaps along the way, something is a lot more dangerous and that was not disclosed during the negotiation process, and someone gets hurt or could get hurt, then there can be a rule for the government to step in. But by and large, we're going to let employers and employees work it out in a free market.
- 7.89** By a parallel structure, we find almost the same kinds of arguments as in the rent control case developed on the pro-minimum wage side of the argument. We can't abstractly talk about contractual rights and bargaining power and see the two parties

as equally self-responsible agents. The reason for that is that the bargaining power between the two parties is not equal. Again, this issue of power and inequalities of power comes to the fore. Contractual issues, abstract rights, we set that aside.

- 7.90** What we have typically when we're talking about employees, typically the employees we're thinking about who are going to be in the minimum wage area, these are typically younger people, these are inexperienced people, these are people who don't have much money yet. We're emphasizing their relative weakness in this circumstance. At the same time, they're negotiating with employers. Employers are people who have a successful business. They're already rich, they're comfortable.
- 7.91** Typically, also, every time we advertise a position, there's one position— that's the supply in this case. But then maybe 100 people apply for that job. So the demand for that job is going to be 100 to 1. The employee then comes along—I'm a young, inexperienced, poorer person; I really need to get a job to pay my bills this month—and the employer says, "This is what the wage is going to be," some number way down here. I really want more money than that. But I know there's 99 people waiting outside, and one of those will take the job if I don't take the job. So I don't have any bargaining power. I just accept the lowest possible wage.
- 7.92** What we have then in this asymmetrical power relationship. The conclusion is going to be from this is that necessarily employers have the upper hand, employees have the lesser hand to play with, and the employers are going to take advantage of that. Employers are going to get what they want, that is to say, low wages. There will be lots of workers who have to take those jobs. They don't have the power to say no. And so the employees are going to be exploited by the employers. Exploitation, then, from this perspective, is characteristic of this sector of the employment market.
- 7.93** Now, exploitation sounds like a bad word, and it's often used as a bad word in this context, but it maps directly onto predation: the stronger party is able to take advantage of a weaker party, make them work hard for low wages, and they're in a tough situation. So these guys profit from the misery, so to speak, of these ones.
- 7.94** Again, if we think there's something wrong with predation, we bring in our anti-predation moral sentiments, and we're going to say that we have to do something about this. If it's the case that the free market is going to lead to large numbers of poor, unskilled people just trying to get a start in the labor market, they're all going to be exploited by these profit-hungry employers, we can't trust the free market. We have to override the free market. That means setting aside property rights, setting aside contractual rights, setting aside liberty rights for this submarket.
- 7.95** The way we will do that is the opposite from rent control. Rent control was a matter of lowering the price in order to protect a vulnerable target population. In this case, we will raise the price in order to protect or help out a target market. We might then say, "That's fine. We're helping the poorer, we're helping the more vulnerable." Maybe we

have a moral philosophy that says we have an obligation, those of us who are richer and more powerful, to sacrifice for the poorer and the weaker. In this case, we think the employers are the more powerful, the richer. They should be doing this anyways. If they're not going to do it as a matter of their own altruistic moral responsibility, we are justified in having a government policy that enforces that altruism as an anti-predation measure.

- 7.96** Similarly, the next stage of the argument then is to say that people who are opposed to the minimum wage will say, if we don't think the initial moral analysis that we have, that we can take people as self-responsible, people who are going to negotiate voluntarily to win-win contractual arrangements, that argument, you don't believe that, you think it's really predation and win-lose, here's a whole bunch of then purely economic arguments that will show why, once again, your policy, your price control policy, is trying to solve a problem, but it's actually going to make that problem worse.
- 7.97** Let's say there's no minimum wage, and we put a minimum wage in place. Or suppose the minimum wage is here and we raise the minimum wage. Suppose we raise it \$1 just to make the mathematical calculations a little bit easier. Now, initially, we're thinking the richer employers are going to take a hit, their profits are going to go down, but the employees are going to get a raise, a politically mandated raise. It's a zero sum, but we're comfortable with this zero sum because it's rich people who are on the losing end and the poorer people who are on the gaining end.
- 7.98** But also people respond to incentives and they respond to different incentives. What we have to do is ask: How will the employees react once they get their raise? And how will employers act once their costs have gone up? Then we start to think, okay, let's take the side of the employers first. Suppose I have a stereotypical employee, I'm paying him this amount of money. Minimum wage has gone up; that employee now costs me \$1 per hour more. Well, I don't like that.
- 7.99** Let's do a little math here. Typically, an employee works, say, 40 hours a week. Typically, works 50 weeks a year, gets two weeks of vacation. That employee is working for me for 40 hours a week for 50 weeks. It's 2,000 hours per year. The minimum wage increase of \$1 per hour means this employee is costing me \$2,000 per year more. Okay, what do I do about that?
- 7.100** One thing I might do is to say that the wage is not the only part of the employment package. There's also benefits. Maybe I currently have, as part of the employment package, health insurance coverage. Health insurance coverage right now is a \$5,000 per year employee package. What I will do is I'll change that to a \$3,000-a-year health insurance package. I'm paying the employee \$2,000 a year more wages, but \$2,000 per year less in terms of health care benefits. For me, it's a net zero. It comes out to zero.
- 7.101** What's the effect then on the employee? Well, the employee is now getting more wages, but less coverage with respect to health insurance. Is it worth it or not? Well,

it's somewhere in the area of a net zero. Maybe the policy has not benefited the employee anymore, and it hasn't really harmed the employer anymore. So it's a wash.

- 7.102** Another thing I might do, though, is to think, I don't want to do that. I don't want to mess with people's health insurance. But maybe there are other benefits. Maybe there's a gym membership, or maybe we pay some tuition costs if my workers are trying to go to college and so on. Maybe I'll just cut those, so not cut the health insurance.
- 7.103** Another thing I might do, though, is to say, maybe I can pass the costs on to the customers. Whatever it is that we are making. This is how many of them we sell. This is how much more my labor costs are as a result of the minimum wage. I will raise the prices of my goods to a certain amount to cover the costs over here. I just do my calculations. What happens then? I pass the costs on as a consumer, intentionally.
- 7.104** Then we say, how do consumers react when their prices go up? I raise the price tag, my customers come in, and they say, "Oh, the prices have gone up." Customers will then, some of them, buy less. "I can't afford so many. I don't want to pay that much, so I'm going to buy less." If they buy less, then coming back to the company, we need to make less. We don't want our inventory to pile up making the same amount of stuff, so we make less stuff. But if we are making less stuff, we don't need as many workers to make the stuff.
- 7.105** So, as a result of trying to pass the cost on to the consumers, I end up coming back over to the employees and saying, "Customers, because we raised the prices 10%, are buying 10% less stuff, so that means we need 10% fewer employees." So I will lay off 10% of my employees. Now, what's the effect then on the employees? In that case, we say it's still good for the employees who got the minimum wage raise kept their job, but it's not good for the employees who lost their job as a result of the minimum wage increase. And so we have pressure that's increasing unemployment.
- 7.106** We might also say that there are lots of businesses out there that are in marginal sectors. Last year, they didn't make very much money. Maybe last year, they made 0.5% profit. The year before, they lost 2%. The year before that, they were 1.5 % profitable. Whatever we're doing, we have a certain number of largely unskilled minimum wage workers, but we're just scraping by. There's lots and lots of businesses that are in that category. So we have a thousand employees. We're barely scraping by. All of our employees are minimum wage employees.
- 7.107** But then the politicians come along and they raise the minimum wage. It goes up \$1, and we say each of our employees is costing now \$2,000 more per year, and we have a thousand employees. So suddenly our costs of operation have gone up by \$200,000. That means that our profit margin, which was last year 0.5%, has gone away. And we don't think we're going to be able to change other things in how we're doing business. We can't raise prices, maybe. Laying people off is relatively pointless in this situation.

So maybe what we should do, long-term trend looks like we're losing money, we shut our doors, we go out of business. If we go out of business, all of those employees, all 1,000 of them then, are laid off.

7.108 Not good for the business. We were trying to help the employees, but we have actually just put a certain number of them out of work. Were they better off having a lower paid job or not having a job, but officially the minimum wage is higher? It seems pretty clear that that's not good for those employees.

7.109 Another thing I might do, if I have some savvy and have some capacity, I'm a business owner, labor costs go up. Here we are in the United States, labor costs are pretty high already. If I am really employing a lot of people who are low-wage, unskilled, relatively young people, well, there's lots of unskilled, low-wage people all over the world. Maybe I should ship my factory or outsource everything to a lower labor market around the world. That works out fine for me. My labor costs might stay the same, but at the same time here, that means all of my domestic workers, I'm going to lay them off and they become unemployed.

7.110 I might also say, think of the kinds of work that unskilled laborers engage in, people who don't have very many skills, they don't have very much experience. It's typically simple mechanical types of operations. What do we know about in this increasingly technological robotics environment about jobs that are done by repetitive, low-skill, not very complicated things? I, as an employer, might say that instead of hiring someone to work in my factory peeling potatoes, I can just invest in this fancy new \$40,000 robot that peels potatoes for me, and that will pay off in a year, two years, whatever it is. It will then incentivize employers to think more about investing in automation and robotics, and that then again lays people off and causes employment.

7.111 The point of all of this—and there's lots more that the economists have worked out—is then to say the right way to think about this issue is not just the short term, "Oh, we're giving employees a raise and rich employers can take a bit of a hit." We need to think of the longer-term consequences, how employers are going to act, and then also how the employees are going to act.

7.112 There's an interesting sub-issue here if we go back over to the employee side of the equation. Suppose I am an employee and the minimum wage goes up. First time I get my paycheck, suddenly I've got more money than I typically get. This is great. I want to celebrate. So I go home and I take my family out to dinner. Maybe we only go out for dinner once a week. Now we're going to take the family out twice a week because I got a raise and this is a wonderful thing that we can do.

7.113 But typically, if I'm going out to, say, modestly priced restaurants, those restaurants, I will find, have also raised their prices, partly because those restaurants are hiring a lot of minimum-wage, low-skill employees, plus also all of the products that they are buying in order to make your food in the fast food restaurant are being made by

unskilled workers. So as the increased costs filter through the economy, the employee gets more money in the paycheck, but finds, when he or she becomes the consumer, prices have gone up. Again, it might come out to something like a net zero.

- 7.114** The bottom line of all of this is to say from this economics-y analysis of the consequences of minimum wage, it doesn't seem like it's benefiting employers, and it doesn't really seem like it's benefiting employees either. In some cases, it's an outright lose-lose transaction.
- 7.115** But we have one more follow-up question, which is to say: Why do we still have minimum wages then? Once again, interestingly, when we survey professional economists, almost all economists will say, "We've done a minimum wage analysis and we think it's destructive. We think it doesn't work." This is Professor Linda Gorman, American Economic Review, one of the premier economic magazines. It's like 90% of the economists surveyed agreed that a minimum wage increases unemployment among low-skilled workers. By and large, the economists are opposed to minimum wages, but we still have minimum wages, and on a fairly frequent basis, they become a political issue and minimum wage increases go up.
- 7.116** What's the analysis here? Again, we think politicians operating in a democratic republic, however cynical we are about them, are responsive to voters' views. What do most voters think about a minimum wage? Well, if they are economically at the low end of the employment scale, and that's a lot of people, they're in favor of the minimum wage. So they're going to vote for any politician who says that the minimum wage is going to be protected, the minimum wage is going to be increased. Any politician who says, "I read these white papers by some economists and minimum wages are bad, let's get rid of the minimum wage." That politician is going to get voted out.
- 7.117** It's the exact same political dynamic in a democratic republic context. By and large, the informed economists on the issues about the economic consequences of it and the politicians and their incentives to listen to the voters are at loggerheads with each other. I'll leave you with this, again, complicated chart, and we will make this chart available for further study, further emulation, further improvement.
- 7.118** The point has been that all of these issues are extraordinarily complicated for people in business leadership positions. But being able to think through rent control arguments, minimum wage arguments, and dozens of other policy arguments that affect how business is done is complicated work. You need to be up to speed on the ethics, the economics, and the politics, but it's part of the job.

Lecture 8: Thinking for the Future

At a glance — Thinking for the future — the leader's cognitive demands.

- 8.1** A theme of this course has been that business leaders need to have a cognitive ability to be able to focus on the nitty-gritty fundamental—all of the details of their business—but then to be able to scale out to see increasingly bigger pictures. How the nitty-gritty fits into the business as a whole, into industry sectors, into economy, into my life as a whole and everybody's life as a whole, which takes us into all kinds of philosophical territory.
- 8.2** Another cognitive skill is to be able to shuttle from past to future, to be able to reflect on not only where one is, but how one got there, and the launching from where one is into one's conception of the future. That has come up in this course in that we have argued that we are in revolutionary business times, revolutionary economic times. An enormous amount has occurred in the last century, in the last three centuries.
- 8.3** If we go back to the last five centuries, in the modern world business and economic activity is unprecedented, not only in scale, but in ingenuity, innovation, and the kinds of challenges and opportunities that it presents to all of us. If we put things on a simple timeline and we try to measure those things, it seems like the curve is starting to accelerate along a number of dimensions. So not only where are we now, but what are our thoughts for the future?
- 8.4** Now, it's starting to be commonplace to say that robotics—this generation—are set to transform, once again, the business and economic landscape. In some sense, this is an old story, going back to the Industrial Revolution 270 years ago or so. Before that, there were lots of ingenious machines, but there was a great revolution with respect to industrial machines and the Industrial Revolution that has occurred. Perhaps we are at another significant tipping point.
- 8.5** Artificial intelligence, now starting to sound in one sense like an old story. We're all talking a lot about it at the same time. Better information processing, better communication technologies is a strong feature of the modern world. Going back to Gutenberg's printing press and the automation of printing over the course of the next couple of hundred years and everything being available about every subject to everybody, pretty much at low cost. Then electricity and radio and television, and the internet and now new developments in mathematics and computation.
- 8.6** We're on the cusp of artificial intelligence. What does this mean then for our future? One of the immediate things that people always talk about is to say, well, we have a lot of people doing a lot of jobs in the blue-collar sector, working primarily with their hands, as we think. A lot of people working in the white-collar sector, working more with their minds. Of course, all jobs involve some body and some mind element, but the proportions are different in different kinds of jobs. Are we not worried that robotics

are going to put huge numbers of blue-collar workers out of work; and mass unemployment? Are we not worried that artificial intelligence is going to put huge numbers of office workers, so to speak, out of work?

- 8.7** Now, we are in the 2020s as we are recording this. I want to say, once again, historical perspective tells us this is an old story. Every inflection point in the development of technologies and modes of production over the last 500 years has raised exactly the same concern. I was charmed to come across this New York Times piece from the 1920s, one century ago, and the title tells it all. "March of the Machine Makes Idle Hands," subtitle, "Prevalence of Unemployment With Greatly Increased Industrial Output Points to the Influence of Labor-Saving Devices as an Underlying Cause." That was a realistic question to raise 100 years ago, just as it's a realistic question to raise now. Again, I'm predicting that in 100 years again, there will be further technological revolutions and the exact same question will come up.
- 8.8** What can history teach us about this? Borrowing the phrase from Joseph Schumpeter, the "creative destruction" phrase, the worry about unemployment is the destruction part. Certain kinds of jobs are destroyed every time there's a new technological advance or some other advance in the production sector.
- 8.9** A hundred years ago, with the rise of the automobile, we would focus on, well, most people are getting around on foot or maybe they're riding those newfangled bicycles. But a lot of transportation is done by horses and had been done traditionally by horses. If you're rich enough to own a horse, then the horses, of course, require farmers—they require people to grow the food for the horses. They require veterinarians to look after the horses. They require blacksmiths to look after the shoes of the feet and the harness makers and so on. Then, for richer people who can afford a carriage, there are all of the carriage makers and public transport with the horse-drawn things. All of those jobs are going to be destroyed by the advent of the automobile, as was apparent in the early part of the 20th century. And that's true, all of those jobs do go away.
- 8.10** But the other side of the equation always has to be: when there's a new technology that comes along, how many jobs—that are perhaps a little bit unimaginable to us at that point—are going to be created by the new technologies? And then by the time we get to the middle part of the 20th century, we are a generation into widespread automobile use.
- 8.11** Then we can look around and say, "Well, look at all the people now who are making cars, millions and millions of them every year." The people who are making the motors for those cars, the tires that wear out on a fairly frequent basis, and all of the people now who are in the rubber and tire-making industry, all the transmissions that need to be made, and the electronics as the cars get better and better to run various components on the car, all of the lubrications, the gasoline, and the oil industry, that's all a part of that.

- 8.12** The pattern from history—this is abstracting across all major domains of production—has been that technological innovations do destroy a lot of jobs, but on average, they create 2.8 jobs for every job they destroy. The pattern then is to say that technology is not a net job destroyer; technologies are net job creators. So yes, we are worried about the people who are in existing jobs that are going to go away, but what we need to do is have some informed imagination about all of the new jobs that the technology is going to create.
- 8.13** A fairly simple-minded example is if you talk to people who are in HR in technological developing firms. They hire research scientists, they hire research engineers, and development engineers, and so on. They almost always will say, "If we hire one engineer, we always need to hire three or four support people to work for that engineer." Every time there's a new innovation that comes along, we're going to be creating three or four jobs. The engineer doesn't want to do all of the paperwork. He or she wants to be in the lab doing whatever cool stuff they're doing in the lab; doesn't want to deal with sales and marketing, doesn't want to do the bookkeeping, doesn't want to attend the meetings and so forth. So you build around the engineer that team of people. And that is a fairly common pattern across all industry sectors.
- 8.14** So job creation is one set of issues, but we do need to think about it, and we do need to think about the people who are going to be phased out of their current positions, as well as onboarding the people who are able to fill the new positions. Maybe transition plans for the people who have old skill sets, and getting them up to speed with the necessary new skill sets. So that's a business leadership challenge to think about.
- 8.15** In terms of job creation, one fascinating set of statistics is how much job, how many of the jobs rather, are now in fields that required scientific input. It's somewhat of a common place for us to say we live in a high-tech society, we live in a high-science society, and that two of the great success stories in the modern world have been the growth of the sciences and the growth of fields of engineering and industrial production and so on. When you start putting the numbers to it, it really is surprising.
- 8.16** If we then say scientists in the past discovered new knowledge, and in many cases, it was just abstract knowledge—maybe they weren't interested in how it was going to be applied. They were curious, and they wanted to figure out the way the universe works, but they discovered something. But then someone who came along who was scientifically literate and more engineering-minded started to say, "What can I do with this knowledge?" They started to tinker around and came up with some sort of an idea.
- 8.17** Then people who are in business, who are entrepreneurial, who are aware of what the inventors and the engineers are doing, say, "How can I make money off of that?" And so they work with the engineers in order to start new businesses, and then they create all kinds of jobs. Here we are several centuries later with lots and lots of people working in jobs that came into existence because of basic science that happened two, three, or ten generations ago.

- 8.18** This is a trend of the modern world that does seem to be accelerating. Again, future predictions are tricky. But if we go back to the beginnings of the modern world, when people are already remarking on, "Wow, look at all of these new sciences that are coming along," and they're starting to become institutionalized, and we're starting to have special departments and research labs. And we start to be wealthy enough that we can support a certain number of people who are scientists.
- 8.19** But the economic historians who study this often point back to basic R&D. They go and talk to the historians of science who do the demographic studies. They'll say, at the beginning of the modern world in the year 1600, Francis Bacon— about whom we've talked in other courses, "Nature, to be commanded, must be obeyed," sometimes seen as the father of modern philosophy, modern inductive scientific experimental philosophy, born just a few years before—but in the year 1600, the best estimate is that there were all over the world, predominantly in Western Europe, about 11,000 scientists. And that was in year 1600, an astounding number. Imagine 11,000 people dedicating their lives just to figuring out the way the world works. And that was hugely transformative.
- 8.20** But if we just jump two centuries, 200 years later, the year 1800, now we are second generation after the Industrial Revolution—generation after American Declaration of Independence and so forth—this is our timeline. Now we have 300,000 scientists that we are supporting around the world; all of them, their careers devoted to figuring out new knowledge about the way the world works. That's, again, an astounding number, 300,000. But then we come to the year 2000, our generation, and the number that was published shortly after was that 6,300,000 scientists are working around the world.
- 8.21** Then some of the people we might consider research engineers are sometimes doing science, sometimes the scientists are also doing some application stuff, so the boundaries are fluid and subject to conversation. But the point is going to be that we now have over 6 million people figuring out new stuff about the way the world works in all kinds of scientific fields.
- 8.22** We might not be up to speed on very many of those sciences ourselves individually, but abstractly, we can say, chances are very good that any time they come up with something new, that's going to be operationalized over the course of the next generation, and that will then ultimately have economic impacts and create jobs right down the field. So instead of merely 11,000 people figuring out knowledge that we can then operationalize, we have some huge multiple of people engaged in that same process. Perhaps the worries about job creation and the effect of new technologies is not to be worried about quite as much.
- 8.23** It's not simply that the scientists are working in the established fields: physics and chemistry and biology and so on. The boundaries of those fields got defined, say, 300 years ago, and what we're doing is still working in those fields and fine-tuning our knowledge in that field. One of the things that seems to be happening is the expanding

number of scientific fields as we go along. There are new domains. Nature turns out to be more complicated than we thought 200, 300 years ago. And so new subfields of science come into existence, and in some cases, brand new fields of science come into existence, and then next generation of scientists comes along to populate that.

- 8.24** So just from our generation—this is my casual trying to keep up with some of the literature— some of the exciting new fields, artificial intelligence and robotics, get the most talk. But also biotechnology, extraordinary developments that are happening there. Nanotechnology, whatever that is, you have to go and look it up and get up to speed on what this nanotechnology stuff is, but it's huge. It's exciting and it's got a lot of potential down the road. Fuels and batteries, 3D printing, new kinds of sensors, quantum computing, material science, and the list goes on. That is just my relatively uninformed philosopher's assessment of what seems to be some of the very exciting new fields that are out there.
- 8.25** It's not only that all of these fields that are going on—you have scientists working on all of these areas—one of the very interesting things is how much crossover there is by people who are interested in more than one of those fields. One of the things we know about creativity in multiple domains is that creativity often is, people who have spent some time working in this field, then because of the nature of their interest, they became interested in something else that did not initially at all seem related to that other thing. But they had something close to expert knowledge, or expert knowledge in this area.
- 8.26** They learned certain facts and they learned certain modes of thinking, that when they come to study this completely seemingly unrelated field, analogically or metaphorically they are able to illuminate problems and solve problems that people who have often been working in that field were not able to solve and vice versa. If we then start to think about the potentials for taking two perhaps unrelated fields and people who are conversant in both what new things will come out, the future starts to look extremely exciting, open-ended and full of potential, particularly economic potential.
- 8.27** Another aspect is—one of our sub-themes in this course has been—entrepreneurism and thinking entrepreneurially, as a cultural evolution has occurred in addition to technological development, in addition to scientific developments as well. As culture has transformed, we seem to have more and more people in each generation who are open to the idea that they want to be in charge of their own business, to start their own business someday. That longitudinal studies, for example, of students in college, going back to the ones I have seen back to the 1960s, 1980s, year 2000, year 2020, and you ask students about their career aspirations. And there's a lot of literature on this.
- 8.28** One of the questions you would ask to students in 1960 is, "Do you plan to start your own business someday?" Just a question like that. Some percentage of the students will say, maybe 3%, "Yes, I plan to start my own business someday." But 97% are expecting to go to work for some existing big organization and say they want to go to work for a

big corporation—job security, advancement, and so on. But by the time we get to 1980, that same question, it's now 7% who are saying, "Yeah, I want to start a business someday." And by the year 2000, it was into the teens. And significantly, the last one I saw in the year 2020 was that it was more than 25% of young people are thinking seriously about the possibility of starting their own business one day.

- 8.29** Now, that then is a change in cultural attitudes—have something to do with parenting, something to do with education, something to do with the broader culture—that is encouraging more people earlier to think, "Well, yes, you do need to be self-responsible and self-supporting and to grow up to have some career." But we're not only encouraging people to go and work for pre-existing businesses. To go to work for a pre-existing business is a slightly different mindset from thinking, "I'm going to start my own business." If I am from a younger age thinking that I might be starting my own business, then I'm going to start to develop myself in slightly different ways. There seems to be also a cultural shift.
- 8.30** This seems to be reflected in some of the data. This is now one generation old, this data. This is a Harvard business professor, and I like this quotation because he talked about the realistic assessment of what's going on in the employment landscape. And the trend here, there's a short version of it, is to say that it's more entrepreneurial now than it was a generation ago, two generations ago, or three generations ago. But let's pause and read this quotation. "In the 1960s, 1 out of every 4 persons in the United States worked for a Fortune 500 company."
- 8.31** "Fortune 500 company" was the 500 biggest companies in the United States, the really giant corporations. But 25% of the workforce in basically the middle part of the 20th century was working for giant corporations. When you're working for a giant corporation, typically things are more routinized. The HR manual is this thick, the procedure manuals, everything is all worked out. It's different from working in a family business, in a single proprietorship, in a partnership, or starting an entrepreneurship.
- 8.32** But that then is to say in the 1960s, 75% of the population was not working in these giant corporations. Often, stereotypically, we think about the economy as being dominated by the giant corporations. But that is to say, even in 1960, that's not a realistic assessment of the employment landscape for the majority of America. By the time we get to the early part of the 2000s, which is when Professor Rogers wrote this, it was not 1 in 4, but only 1 in 14 people who was working in Fortune 500 companies.
- 8.33** So already over 40 years, that's a very significant shift. So that then is to say, it's maybe 7%, 7.5% instead of 25% that is working in large corporations. That then means that it's probably 92 to 93% of the American workforce is not working in these big corporations. They're working in small businesses, middle-sized businesses, sole proprietorships, they are entrepreneurs. Then if there is a trend line and data indicate that that trend line is still continuing, means that the mindset of an employee is closer to entrepreneurial roots.

- 8.34** Another way to slice the data is you say, if you ask who those Fortune 500 companies are, the ones that are at the top, often we think it's the big ones that have been around forever. But in fact, it's not big companies that are around forever. Often the companies in every generation that are in the Fortune 500 are very close to their entrepreneurial roots. It's within one generation of entrepreneurs.
- 8.35** And that is to say, that the entrepreneurial culture is still part of them. It's one thing to say, "I'm working for this corporation. It's been around for 500 years, and we've been doing everything the same way for 500 years." That's one way of work life. But if you're working in a relatively new company that took off like a rocket and is still very entrepreneurial in its culture and in its mindset, then that means something necessary for your mindset as well.
- 8.36** I have a list here. The print is very small initially, but the point of this list is to say in the year 2000, there are 10 companies at the top of the Fortune 500 list. Only two of those companies were still in the top 10 by the year 2020. Eight companies had dropped out and they were replaced by eight other companies that were hard chargers. The hard chargers that we now recognize when we look at the list are all going to be companies that are extraordinarily innovative and entrepreneurial in the last generation.
- 8.37** The same thing is true—you can look the data up so you don't have to take my word for it—but if you were to go back to 1980, there's a significant amount of churn. Companies that were on the list in the year 2000, most of them were not on the list in 1980. Same thing in 1960.
- 8.38** Now, if this is a big "if," if that trend continues, then that means when we look to the future, the year 2040, it's very hard for us to predict what companies are going to be on the list in 2040. I don't know, is it very hard, it's impossible for us to predict what companies will be on the list in 2040. But chances are very good that the companies we now look at as the giants, as the big names, a lot of them will not be on the top 10 list anymore. The pattern will repeat, and it's going to be maybe nanotechnology companies, maybe artificial intelligence companies, maybe fuel sensor companies, that are going to come along and do spectacular things. They're going to take over and be on the list in 2040.
- 8.39** What that then means is when we are thinking about unemployment, that we don't need to be thinking about what does it mean to raise kids, say, to go to work for a giant Fortune 500 companies— but our model of a giant Fortune 500 company is stuck in the 1950s or the 1980s. We need to be thinking about what employment is going to be like working for companies that don't even exist yet. That, I think, is the big hard question.
- 8.40** The question for us, if we are in business leadership positions, is we don't necessarily know what our companies are going to look like in 20 years. We know there's going to be change, and we have to change with it. But part of our responsibility is to think about the jobs that we will be creating, and the people we will be hiring to work and

what our customers are going to expect of us in this very rapidly changing, future-oriented attitude.

- 8.41** How do you do that? I want to put that out as a serious question for leaders to think about. Because if you are in a management position, if you are in an entrepreneurial position, or if you're in an executive suite position in any organization in the United States, you want to stay competitive, you want yourself and your company to succeed, but you are in an environment that is rapidly transforming. That's an old story, but the rate of rapid transformation might be increasing in our very generation. So that requires a certain mindset, a certain emotional resilience, a certain cognitive attitude for me. I also have to then, as a leader, be able to communicate that to everybody that I work with.
- 8.42** The way I like to think of it is this way: you're preparing yourself for jobs that do not exist yet. And you are going to be a leader of people doing jobs that don't exist yet. How do you do that? This is a real question because if we think, for example, of all the people who were the last generation who made a living as software programmers—70 years ago, we didn't know we needed millions of software programmers. How did people 70 years ago who were entrepreneurial prepare themselves such that when that need arose, they were able to act upon it? A hundred years ago, we did not know that we would need video editors. The technology was too young. Now we need lots and lots of video editors.
- 8.43** How do we, without being able to imagine the particulars of the job function, prepare ourselves for that job function when it arises? I'm emphasizing that certain cognitive skills are necessary. We should be aware of the trend lines, some historical awareness, some awareness of where we are now, some ability to predict the future. Some openness to all of the data and all of the trend lines, anything that might be relevant to my current business thinking. A certain flexibility of mind to be able to change my thinking, change my thought-directed actions, instruct people, dialog with people in various ways in order to keep up with it.
- 8.44** I want to suggest also a significant amount of character skill development is necessary. A new piece of technology comes along and we know some people immediately put barriers up against it. I'm not interested in that. Versus others who are curious about it and who are willing to play with it. They see it as exciting to try it out, to fail a certain number of times, then eventually to master it. That's partly a character issue as well as a cognitive issue. But we need lots and lots of people who are able to do those.
- 8.45** I like this chart. It's from an HR discussion about 10 years ago now. The short version of this chart is to talk about employers, people who are in leadership positions, who hire lots and lots of younger people into their organizations. What are they looking for? And how easy is it to find people coming out of university, typically, who are able to perform those skills? This is a snapshot of the most important cognitive skills, social skills, character skills that employers of this generation are looking for.

- 8.46** There's a lot of things that people want. Basically, we want employees who are able to do everything, who are creative thinkers, they're good at oral communication, they're proficient with new technologies, they can work with people of different backgrounds and so on. What is interesting is how a pair of cognitive skills come to the fore. The most important skills for the future are going to be problem solving skills and critical thinking skills.
- 8.47** Now, what this chart shows along the horizontal axis is employers when they are surveyed, saying, "Here are all of the things that are essential; things that are further to the right on the chart are super essential. You don't have these, we're not hiring you." Things toward the left end of the chart, things that are nice but perhaps optional. The vertical dimension is asking those same employers to rank. When you are dealing with people, you're thinking about hiring, how easy is it to find people?
- 8.48** This target group in the survey was mostly hiring students out of university. So these are final year of university students coming out with their bachelor's degree ready for the workforce. How many people in that pool can do what you want them to do? What they were finding is most of them were organized, able to do oral communication, most of them. Very hard to find people who can write clearly, concisely, effectively. Even harder to find people who can do anything creative.
- 8.49** Apparently, this seems like a big problem to me, many university students are able to solve problems that their professors have put before them and to solve them the way their professors taught them or the textbook taught them how to do it, but give them a new kind of problem, they can't do it. That creative thinking, apparently, is a big challenge.
- 8.50** Then quantitative ability basically, math skills. What this chart seems to indicate is that there's a very small number of people, even among our university graduates, who are doing all of our mathematics for us, that the vast majority of us are not able to do the mathematics.
- 8.51** But even more important than the mathematics is critical thinking and problem solving. Those are both cognitive skills. You take a problem and you are willing to take the problem seriously instead of avoid the problem—that's already a character issue. Then you are able to think of three or four possible solutions to the problem. You know how to test the possible solutions to the problem, or you evaluate which one is better, which one is worse, and so forth. All of that cognitive set of skills seems to be absolutely essential. It seems a no-brainer to say that those are going to be increasingly important as we get into our entrepreneurial innovative future.
- 8.52** Critical thinking, the other important one. That's somewhat of a term of art— there's a lot of things that can go into critical thinking. But the essence of it is being able to take an idea, assess its strengths—it has its positives, but also to be able to assess its

weaknesses. In many cases, that's easier to do when it's other people's ideas, but it's very difficult for many people to do when it's their own idea.

- 8.53** "I came up with an idea. I like this idea partly because I came up with it. I see a pride of ownership." But is it really a good idea? To be able to step outside of that idea and find weaknesses in that idea—because we do know from creative people and innovative people that they will have 20 or 30 new ideas per day, but they will say only one of them really is any good. They have to get very good at discarding all the ones that superficially seem strong as well. Doing it oneself is a learned strength.
- 8.54** And to be able to do the critical thinking in a social context so that you can put your ideas out there—this is partly also a character issue— and be comfortable with it being criticized by other people and to welcome that criticism by other people. We do know one of the challenging problems we have in social contexts is people put ideas out there, someone raises a mild criticism of it, but the person gets very defensive, reacts in an off way, the whole discussion breaks down. Having the right kind of character to be able to engage in the critical thinking in a social context.
- 8.55** It's very counterintuitive, but absolutely essential for us to be able to say, "Here is my idea, what do you think about it? And you give me a good criticism of it." And I say, "Thank you for criticizing my idea so well. Now I'm going to set that idea [aside] and come up with some other new solution to the problem." All of these character skills and cognitive skills, absolutely essential in the past, but perhaps increasingly essential as we go into the future.
- 8.56** Now, this leads us to, I think, another business leadership challenge, because one of the things we know already is we can talk a lot about all of these skills— problem solving skills, creative skills, ability to work with diverse people. We want people to have some quantitative knowledge since we were in such a high tech society, to be up to speed on the sciences and so on, to be adaptable flexibly so that they can keep up with the workforce. We have this very idealized understanding of where we are now and where we want to take ourselves and the people in our social groups forward.
- 8.57** But the harsh reality is that we already know in our generation that a large number of people are not able to do very many of those things. If it is the case that we are increasingly innovative, innovation puts cognitive and character demands on people to keep up with the innovation. What about the people who are maleducated? They don't have the cognitive skills to be able to keep up with all of those scientific and technological developments. They are 18 years old. They are officially graduated from high school, but their literacy is low. Their math skills are low. Their social skills are low. What are their chances that they will be able to survive economically in an increasingly high-tech, high-innovation, high-entrepreneurship world?
- 8.58** There is going to be a huge gap, I think, a huger gap between those who grow up with the cognitive skills, with the character skills, who are able to keep up. But the sad

reality is that we already have a huge number of people who are not able to keep up, and that is going to cause a social problem. They will not be self-supporting or they will be minimally self-supporting, and they will then have their own problems. The question is going to be: How do we solve those problems if they're not going to be able to solve those problems themselves?

- 8.59** But also it's going to mean, to the extent that we are worried about gaps between those who have and those who have not—in this case, we're worried about the gap between people who have certain cognitive skills and who don't have those cognitive skills, or between those who have certain character skills and those who do not have those character skills—because those are the things that underlie the difference between people who have a lot of money and people who don't have very much money. So they are all networked. That problem, to the extent we are on an accelerating curve, will be an increasingly severe social problem.
- 8.60** Now, if it's the case, already—I just pulled this one-off social media—we've got huge numbers of people in the workforce, and they think about their work, and they think about their future of their work, and their job sucks, to put it bluntly. And so they like to laugh about it and post a meme like this. This is your work forecast. "What's your Monday going to be like?" "Well, sucks. Tuesday, sucks. Wednesday, sucks. Thursday, sucks. Friday, sky clearing after five." After five, you don't have to work, then finally, you can do something with your life.
- 8.61** What's it like, though, to be a person for whom that is the reality? That's going to be, from their perspective, their future reality for the next 10 years, 20 years, 30 years, 40 years. That is not the person who's going to be able to keep up with economic reality on this trajectory that we are projecting. We already have lots of people in that situation. We are likely then to have more in the future, and that's a real problem. These are people, of course, who have jobs. They just have jobs that they think suck. They don't like their jobs. We're going to have a lot more people who don't have jobs if they are not then able to keep up.
- 8.62** I think the leadership issue inside the business sector is hugely important. I like this quotation from—it was a CEO at General Motors in the middle part of the 20th century. There's an attitude issue, in addition to all of these cognitive issues much more that we have been emphasizing. Advice particularly to young people, and those of us who are mentoring young people or formally even educating young people or parents to young people, we think a lot about the cognitive skills that are necessary for them. But I like this one about the character skills. Particularly when you are young, you don't have any money, you get your first job, and it's a job that you don't particularly like. And that's where most of us start.
- 8.63** Curtice's advice was, "Do it the hard way! Think ahead of your job." Not just, I have a job that sucks right now. Think where it might lead. "Then nothing in the world can keep the job ahead from reaching out for you. Do it better than it need be done. Next

time doing it will be child's play. Let no one or anything stand between you and the difficult task, let nothing deny you this rich chance to gain strength by adversity, confidence by mastery, success by deserving it. Do it better each time. Do it better than anyone else can do it. I know this sounds old-fashioned. It is, but it has built the world."

- 8.64** It was old-fashioned in the 1950s. It sounds old-fashioned in the 2020s, but it's not old-fashioned. In fact, it is new-fashioned. That's the only thing that has worked ever in human history, and it's the only thing that will. It's a perennial piece of advice, but it's a character set that he is urging. In addition to the cognitive set that we want to train in young people and the people who work with us and under us, this character set, we need to spend as much as possible on that.
- 8.65** Just to show how new-fashioned, a lot of these old-fashioned ideas are—almost every innovator runs into the similar set of obstacles. So this is Edwin Drake, who was one of the pioneers in oil drilling in, I think it was Eastern Pennsylvania. When he was trying to raise money for it, he was even trying to get people, he's offering them money to come and work for him. And he summarized the common reaction to what he was doing. He said, "Drill for oil? You mean drill into the ground and try to find oil? You're crazy." And his nickname was Crazy Drake. It caught fire. Everybody just referred to him as Crazy Drake until finally he succeeded. Oil is spurting out of the ground and a whole new industry is launched. But that's a character issue: being able to have lots and lots of people think you are out of your mind, but again, trusting your own judgment, following a certain path. We need lots and lots of people like that.
- 8.66** We need lots of people who are not like Oscar Wilde. Slightly different problem here. "Most people are other people." Somewhat paradoxical formulation. What he means by that is to say, "Their thoughts are someone else's opinions, their lives a mimicry, their passions, a quotation." Now, I don't know how journalistically true this is, but there is, whatever your number is, a significant number of people who do not think for themselves. They do parrot. They don't have independence of mind. It might be behind that character issue. They're not willing to stick their neck out and think for themselves and do something different. But a lot of people are followers of the crowd. Whatever seems to be the most popular opinion or the most authoritative opinion, that's their view. To the extent that that's a problem that's different from people just thinking you're crazy, that's people who are not willing to think for themselves, is another issue we in leadership positions need to think about.
- 8.67** A related problem—Japanese proverb. It's interesting how many cultures in the world have a very similar proverb. But this one here is, "The nail that sticks up gets hammered down." The metaphor is if you are a person who tries to rise above the crowd, you are going to get hammered, socially in some respect. The idea is don't rise above your peers. There's a leveling here. What we do need, though, is a culture of people who are celebrating people who are eccentric, different, better in various respects than the rest of us are, not seeing that as a threat that we react to with respect to envy.

- 8.68** The Australians have this phrase, the "crab bucket mentality." This is based on a real thing. If you take a bucket and you put a bunch of crabs in it, the crabs start doing all kinds of things to try to get out of the bucket. But one crab, if it seems to be succeeding at almost getting out of the bucket, almost inevitably, some of the other crabs that are in there will grab it with their claws and pull it back down into the bucket. So the crab bucket mentality, we know this is applicable to human beings as well. As soon as someone in their social group seems to be advancing, doing a little bit better, they find various ways to bring that person back down to undercut them in various ways.
- 8.69** The Russians have this phrase, "only the empty head of grain stands above the rest." So all of the field of wheat, only the one that has an empty head is— so you're an idiot if you think you are better than the rest of us. So, common problem.
- 8.70** Courage, particularly for innovators, entrepreneurs, people who are taking the first step. A thoughtful remark from Roald Amundsen, reflecting on people who were great explorers, going out—geographical explorers into uncharted territory. He said, "There's a difference between the person who reaches the South Pole first and the person who reaches it second." Both extraordinarily difficult. There's a psychological difference. The person who gets there first didn't know that it could be done. This person who gets there second knows it can be done. There's a comfort. But we need the people who are willing to do things that nobody knows can be done. We should celebrate those people.
- 8.71** Thomas Edison, my favorite quotation from him, obviously a great entrepreneur, great innovator, extraordinarily productive individual. But when he was 67 years old, there was a fire that destroyed his factory—everything lost. What's your attitude when a massive disaster happens to you? Well, most people give up. Thomas said—even though he was 67 years old, most people are retired at that point—he says, "Well, fire destroyed my entire studio. Well, I'm 67, but I'm not too old to make a fresh start." And he did. Started over. Built a new lab, continued on productively.
- 8.72** The point is not whether you're 67 or 43 or 22 or whatever the age is, always building, willing to make a fresh start. If our analysis of the economic trajectory as a technological trajectory, scientific trajectory is right, we're in a highly innovative culture that we always need to be, or frequently need to be making fresh starts. That mindset has to be fundamental.
- 8.73** Now, this sounds hard, but I hope it also sounds fun, sounds like a welcome challenge rather than something to start putting barriers up. We do face challenges just like every generation before us has faced. We're worried about unemployment, we're worried about undereducated young people entering the workforce. We're wondering whether we are up to what the new prospects are going to require of us.
- 8.74** I want to throw some history out here by way of encouragement and possibly consolation. This is a [bubble] chart from [Gapminder], a very good research organization based in Sweden. This is the year 1815, as the numbers indicate, the large

numbers in the middle. Every circle there represents a country in the world. So there are about 180 or 190 circles there. They are coded by color. The red ones are East Asia. The pumpkin orange ones are Europe. The ones that are green are North America. The ones that are a darker blue are African nations and so on. Big circle, big population, small circle, small population.

- 8.75** The bottom of the chart is a measure of GDP, which is gross domestic product, and it's adjusted for purchasing power parity— production and consumption equalized there. It's an income number from 500 to 1,000. It's an exponential scale, though. Just pay attention to that when you look closely at it. It goes from 500 to 1,000 to 2,000, then 4,000, then 8,000, 16,000, and so on. That's for a future thing that we will get to. Vertical axis is life expectancy from 20, 30, 40, 50, 60, and so on.
- 8.76** This tells us a little over 200 years ago. We're now a couple of generations into the Industrial Revolution. Napoleon has just been defeated, so the French can carry on modernizing and becoming—actually, their history is complicated. We're two generations after American Revolution, but still a couple of generations before the Civil War and so forth. But what this tells us is the economic distribution and life expectancy distribution of every country in the world.
- 8.77** What it tells us is that if you look at the one that is doing the best, that's the one that is the farthest to the right on the income scale, that is Great Britain. It tells us that the average Great Britain, in terms of current money, was earning a little over \$4,000 per person, and their life expectancy was in the low 40s, maybe 41 or 42. Great Britain, the first country to have a democratic, republican revolution, its Glorious Revolution, home of the Industrial Revolution, first place seriously to be engaged in religious toleration, taking women's rights seriously, mounting a huge anti-slavery campaign. So it's the leading nation in the modern world, and those are its numbers.
- 8.78** The big red circles in the middle, those are China and India. So the Chinese population on average life expectancy around 32 or 33, and the average Chinese person earning maybe \$1,300 per person per year. Most of the African nations not doing quite as well. Many of the other Asian nations not doing quite so well. The green one, if you can make it out a little bit behind Great Britain, that's America or the United States of America. Still a very small population country. Average American making less than \$4,000 per person per year, life expectancy just under 40. Now, that's where the world was 200 years ago, and already everybody is doing better than they were doing 100 years ago or a thousand years ago. Things are starting to get better in the world.
- 8.79** I want to jump one century now. This is the year 1915. And just so that's in the same visual frame, go from here to here. What has happened in 100 years? Well, the big green circle up to the right, that's now the United States. The United States, the population is much huger. People are much richer, and they are living much longer. That rate of increase over one century never happened before in human history. Great Britain is lower, but still improved. The little green dot behind United States, very

important country, Canada. We always highlight Canada whenever we can, but keeping up population, though, about one-tenth the size of the United States. Significant improvement.

- 8.80** Not very much an improvement in other parts of the world. China, India, pretty much the same. African nations, pretty much the same. Little bit of improvement in both cases. But Western European nations, North American nations have taken off dramatically. Why? We go back to the question we raised in our very first session. Some discussion of scientific revolutions, engineering revolutions, industrial revolutions, political revolutions, revolutions with respect to religious rights, women's battles against slavery, all of that. These are the places, and it's paying off in terms of wealth and life expectancy. This is the year 1915, one century more.
- 8.81** I want to go to the year 2015. This is the world in our generation. Now, about 10 years ago, the numbers take a year or two to get crunched. So this chart is from a couple of years later. And there what we find is the big green, if we use that as a reference point, that's the United States now. The United States 200 years ago, even though it was doing well as a nation, on average, Americans now are 32 times as rich, and their life expectancy has more than doubled. That's a success, and we know that the business culture is a large part of what has made that possible.
- 8.82** Equally successful: now notice where China is, now notice where India is. To some extent, in the early 1990s, they made dramatic transformations to their business culture as well, and that has started to pay off. African nations much more scattered, much more distant. Some of them are doing very well, some of them still lagging behind. Nonetheless, life expectancy all around the world has doubled, sometimes almost tripled, but not quite tripled. Extraordinary. And everybody is richer off.
- 8.83** The way I like to look at it is by putting all three of these charts together. What is very interesting is that 200 years ago, every single country was in the lower left quadrant of this chart. If we go to the year 2015, no one is there anymore. We've taken the entire world and lifted it out of poverty, and we have doubled the entire world's life expectancy. Certain cultural institutions, certain philosophical revolutions, political revolutions, and also those of us interested in business know that certain kinds of business institutions and business leadership decisions made that possible. That's where we are.
- 8.84** Now, that's encouraging. I like also this quotation from Henry Frick, one of the great American entrepreneurs of the 1800s in railroads, when the United States was building railroads across the country. Sometimes we think of business as humdrum, boring, materialistic, not very cultured. What is important about Frick was after he became wealthy, he became one of the world's great art collectors of all time. There is still a very important smaller museum, the Frick Museum in New York City right now that is well worth one's time.

- 8.85** But his way of thinking, there's an integration between the innovation and creative, soul-immersive experience that we associate with being a great artist. That same thing applies in the business world, and that is the kind of psychology and culture of business that enabled him to do what he did, and he thinks America more broadly and other cultures that have been following this path, and that's the direction we need to know. We need the inspiration and the creative thinking that goes into art in the business world, and that should be just as realistic.
- 8.86** Now, interestingly, when we look at some of the famous corporations and they think a lot about their image, I like to notice that when they come up with a motto or a slogan, that they then put millions of dollars behind advertising campaigns. They become very philosophical and they become very psychologically encouraging about aspirations, all of the value issues, and what business really means to them, and that they are inviting you into that world and trying to live up to that aspiration themselves. So from Nike, the "Just Do It," action-oriented; IBM, "Think;" DuPont, "Better Living Through Chemistry;" GE, "Imagination [at Work]," ASICS, "Sound Mind, Sound Body."
- 8.87** What's interesting about those is if you just abstract them, and I've colorized all of these ones here, they're all very philosophical elements and big-picture important elements. Act, think. We want to have the best possible life. Use your imagination. Some kind of integrated understanding of the best life that carries on. Teledyne, "Ingenuity." AIG, "Strength." "Your world," take ownership of your world. US Cellular, "Believe in something better." Apple, "Think different." Grammatically, that should be think differently. But the point is, of course, sometimes you have to break the rules, including grammatical rules. Think and be willing to break the rules. So that one is characteristic as well.
- 8.88** So all of this by way of conclusion, I would like to say, points up: where we have come from, where we are now—that's an impressive set of achievements, but the future is open-ended. Almost all of the important indicators indicate that huge improvements are still possible, but it's going to take certain kinds of thinking, certain kinds of character set, and especially among those who are taking the leadership position to be able to think that way and act that way and be that way themselves, but also communicate that in a way that is inspiring for the people they work with and any person who is up and coming.
- 8.89** In one way, all of us are business leaders. When we become parents, we have children, and a big part of our job is to prepare them for their career. That's a business leadership position. The same thing is true if we are teachers in kindergarten, high school or university, we are preparing, in part, young people for their careers. We have to be business leaders, and we might ourselves be business leaders in some social context. Then I always like to think, most importantly, you have to be your own leader, whether you are socially a leader or not, you are in charge.

8.90 Final thought, the theme of entrepreneurship, entrepreneur-ism, as I like to think of it, has been a constant theme underlying much of what we've talked about in this course. I think history teaches us the great success stories that we look at in our current generation. And our projection of the future underscores this, I think, is the most important ethics point about business: Think of yourself as the entrepreneur of your life.